

ACME Solar Hold. (ACMESOLAR)

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Call: Nov 2024

Leading Through Innovation

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CME Solar Holdings Limited

(formerly ACME Solar Holdings Private Limited) CIN :: U40106HR2015PLC102129

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ate: 29th November, 2024

To

The Compliance Manager

BSE Limited

Corporate Relationship Dept.,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400001.

Scrip Code: 544283 To

The Manager, Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051

Symbol: ACMESOLAR

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Subject: Transcript of the Audio-video recording of Earnings Call | Q2 and H1 FY25 results

Ref: Information under Regulation 30 of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended

("Listing Regulations") and our earlier intimation through our letters dated November

20, 2024 and November 21, 2024 in regards to Earnings Call with analyst(s)/institutional

investor(s)

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing

Regulations, please see enclosed herewith transcript of Earnings Call with the

Analysts/Investors held on Monday, November 25, 2024, post announcement of Unaudited

Financial Results (Standalone and Consolidated) of the Company for the quarter and half year

ended as on September 30, 2024.

The audio-video recording of the Earnings Call along with the Transcript has been uploaded

on the Company's website and the same can be accessed from the link provided below:

<https://www.acmesolar.in/investor-corner/financials/ Webcasts-and-Transcripts>

W

e request you to kindly take the aforesaid information on record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

Membership No.: F3043

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Q2 & H1 FY '25 Earnings Conference Call"

November 25, 2024

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&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th November 2024 will prevail.

MANAGEMENT :

•Mr. Manoj Kumar Upadhyay – Chairman & Managing Director – Acme Solar Holdings Limited

•Mr. Nikhil Dhingra – Chief Executive Officer – Acme Solar Holdings Limited

•Mr. Ankit Verma – Head of Corporate Finance – Acme Solar Holdings Limited

•Mr. Purushottam Kejriwal – Chief Financial Officer – Acme Solar Holdings Limited

•Mr. Arun Chopra – Head of Finance & Accounts – Acme Solar Holdings Limited

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Moderator: Ladies and gentlemen, good day and welcome to the ACME Solar Holdings Limited Q2 FY25

Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, I now hand the conference over to Mr. Sudhanshu Bansal. Thank you and over to you, sir.

Sudhanshu Bansal: Thank you, Sagar. Good evening, everybody. On behalf of JM Financial, I welcome you all to the first conference call of ACME Solar Holdings to discuss the Q2 FY25 results.

We have with us the leadership team of ACME led by Mr. Manoj Kumar Upadhyay, Chairman and Managing Director. Thank you so much, sir, for your kind presence and giving us the opportunity to host the call. With this, I would like to hand over the call to Mr. Upadhyay for introducing his team, opening remarks and taking the call forward. Over to you, sir.

Manoj Upadhyay: Thank you. Good evening, everyone. A warm welcome to all of you. Let me introduce my team to you, Nikhil Dhingra, CEO of ACME Solar, Ankit Verma, Head of Corporate Finance, Purushottam Kejriwal, Chief Financial Officer, Arun Chopra, our Head of Finance and Account, and our Strategic Advisor and Investor Relations. We thank JM Financial team for hosting our first earning call. We have uploaded our results and investor presentation for the quarter and a half year on the stock exchange and the company's website.

Hope everyone had gone through and we will be very happy to answer your question, whatever you have on this one. As you are aware, on 13th November 2024, ACME Solar Holding Limited got listed on BSE and NSE. It was a momentous day for all of us.

Thank you to all the stakeholders who believed in us. Since this is our first call post-listing, I will share a brief overview about the company. As we have shared in the past that we are a fully integrated utility company, renewable energy company.

When I call it fully integrated company means that we design our plant, we construct our plant, we engineer our plant, and then we run our plant for 25 years. So we are fully integrated in the value chain. The idea to be fully integrated is that you capture the entire value chain and keep in the company.

At the same time, you are able to optimize when you deal with the technology, when you deal with the time, when you deal with the tariff and remain competitive in the market. We started our journey from 2009 when we started getting into the renewable energy. We were the first few companies in India.

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We set up our first plant in 2012. And that plant gave us a lot of learning. And from that plant onwards, we kept on building a smaller plant to a larger plant. Even now, we built recently one of the largest plants of India, which is an 1,800 megawatt peak plant, which we commissioned, which we energized October, and we are in the process of final commissioning, which is going through the various regulatory approval.

So in this journey, what we have learned is that while the market went from megawatt to gigawatt scale, we remained competitive in the market because of this value addition, because of our understanding and working with the technology, because of our operational excellen

ce. I think

my team will be very happy to share with you our operational performance.

And I'm here to answer whenever we start the question. Thank you. Nikhil, you may take over.

Nikhil Dhingra: Yes, yes. So as Manoj Ji mentioned, we are the integrated EPC and utility business. And of course, we only focus on long-term PPAs.

We have a very selective focus on working with the 25-year PPA, which gives us a lot of visibility on the cash flows, and of course, a lot of visibility regarding our EPC, which is in-house. We don't do third-party EPC. So when we have the long-term projects, of course, it brings a lot of predictability to the revenues.

The second thing which brings a lot of predictability is the nature of our portfolio, which is 100% solar as of now. So solar has been a great source of renewable energy in terms of if you look at overall industry performance in India, you would see that the variability in solar has been far lower than the other sources of power, which enables us to borrow long-term and service that debt on a very reasonable term, and of course, get refinancing for that at a very competitive sort of DSCRs. Because when we borrow for the first time, we get financial support which is, you can say, slightly lesser than what you could have thought that asset can generate.

But when you are operational, you really get extra support because the asset is generating better

than the predicted by the green field lender. So in terms of the overall strategy of the company, we have been 100% solar until, you can say, one, one-and-a-half years back. And as the market progressed towards round-the-clock power and FDRE, we were one of the first to orient ourselves towards that.

As you can see in the last one-and-a-half years, two years, we have really captured a large chunk of that market share. And we have very good PPAs and good LOAs with us, which are in that segment, where we target a mid-teen return in all these projects from the long-term cash flows. And also we target a competitive sort of overall return, including the integrated business model we have.

And of course, as we are seeing the market grow in that segment, we are seeing that we are able to solve a very significant problem of all these utilities in terms of the peak power rates. As you can see that with the Energy Conservation Act in place now, the RPO compliance will be more stricter. So we see that the large sort of off-takes are happening at various state levels.

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And the peak power is a problem each state wants to solve. So we had a very – 1,600 megawatt of PPAs in hand in the last year or so, which is of course the result of all this demand. And of course, in terms of the FDRE and hybrid, we have worked out a unique solution wherein we have increased the component of solar and tried to reduce the component of wind, again to get predictability to the overall revenue stream and also to reduce the liability which can come from not servicing the peak power.

So that is again something we have done, and of course, which will help us minimize the risk possible in the firm and dispatchable renewable energy and hybrid. In terms of executing these plants, our integrated business model becomes very, very important because you get to basically control the time and cost once you have the integrated value chain control, starting from getting the connectivity before the PPA, acquiring land, and of course then designing the plant in terms of deciding the configuration of the plant, which you do.

So some of these activities happen prior to the bid, which is basically deciding the connectivity where you will participate the bid from, because as you know in the renewable energy, resource is the only revenue-generating source. So if you are located in, let's say, Fatehgarh, which is the highest sunlight zone in the country,

your revenue will be better than the next second-best location by at least 5% to 7%, if you take a representative set of locations.

So it is very important to have connectivity in place when you are deciding to set up a plant, and that is what we have connectivity for all of our under-construction projects, and also we have connectivity far in excess of – for the next upcoming bids. And it's very important to have this connectivity in the right places in Rajasthan, Gujarat, and which are the best solar, wind, and hybrid zone in the country.

And in terms of the key execution metrics, of course our plants are operating at a very high-grid availability and plant availability and a good CUF. In this quarter, I think Ankit will brief you on the operation performance. We did CUF in excess of 26%¹. And of course, as we are – I would like to update you on the successful energization of our ISTS plant, SECI plant. There are four PPAs of 2.44 (INR per KWh), where we have energized the plant. The plant is operating at around 85% of the capacity today.

We are doing daily revenues of around INR1.5 crores per day from that plant as of 20th November. And we see that in the next month or so, we will reach the peak revenue from this plant. And this is a very significant milestone for us, because it increases our capacity from 1.3 odd gigawatt to 2.5 gigawatt AC, which of course is a much larger DC capacity number. So that takes us in terms of the capacity to a very significant number, and these plants are done at a very competitive capex.

If you look at the overall capex to EBITDA from these plants, so very, very important milestone for our company. In terms of the upcoming plants, of course, we are doing our best to complete them in the – and next upcoming plant is our Bikaner 2 plant in Sikar, which we will be operating at a merchant for let's say six months to 12 months, and then try to put it in the upcoming bids

¹ Stated as 26% during the call, but the correct figure is 24.6%

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as PPA, because you are now allowed to put up an operational plant to a long-term PPA, which we will try and do, because we don't want to play the merchant market for 25 years. We only

want to play it for the next six to 12 months.

And of course, our first wind plant is also coming up in a month or so. So that will also help us. As we execute these FDRE and hybrid plants, our focus is we have built a team to execute these plants. Of course, we have to execute large bids of solar, largest bid of solar, small bids of wind, and of course, large bid of battery execution, which we are geared to do. In terms of the critical success factors, like execution capability, I think we have spoken about. Then, of course, the ability to finance is a key success factor.

We have been – we are very fortunate that we have long-term partners who are working with us on the debt financing, and Ankit will update you. There are two parts to this business. One is greenfield financing, another is the refinancing, which is, again, where you get to reduce the interest rates, get to increase the loan tenor, and of course, get to basically increase the free cash flow of the projects.

In terms of the three funding sources we have to build the – to do the capex we want to do, there are three sources for us. One is the cash flow from, let's say, the EPC business. The second is the power sale free cash flow to equity.

And third is the refinancing, which essentially is a derivative of free cash flow from the power business. But of course, what refinancing does is expedite those cash flows. And of course, along with the IPO proceeds we have raised, which will help us in deleveraging that first.

So, it will help us do the capex. And of course, from this IPO proceeds, we will be repaying debt, which will help us further improve our financial

performance. Now, I'll request Ankit to

take over the – and brief you on the key financial metrics and other important things.

Ankit Verma: Thanks, Nikhil, and a very good evening to all the participants. Let me take you through some of the key financial highlights of our company for the quarter, and six months ended September 24. Before I begin, please note that, you know, we have monetized 369 megawatt of assets in H2 of FY24, and from the total reported revenue of INR784 crores in H1 of FY24, the sold assets contributed roughly revenue of INR182 crores in H1 of last year.

So hence, to have a like-to-like comparison of this period's financial with the corresponding period of last year, so the revenue and the corresponding financials have been adjusted to exclude the impact of monetized assets. And in the earnings presentation that we have shared, we have reported both the reported and the adjusted numbers for your reference. Now, based on the adjusted numbers, I would now give a snapshot of our consolidated financials, which represents revenue and profit from sale of power.

Our total revenue for H1 FY25 stood at INR635 crores, up 5.5% Y-o-Y basis, and for the quarter, it stood at INR295 crores, which is up 7.4% Y-o-Y. EBITDA for the first six months stood at INR558 crores, which is up 4.8% Y-o-Y, and for the quarter, it is at INR256 crores, which is up 3.7% Y-o-Y. Our EBITDA margin at the consolidated level has been very healthy and consistent

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in the range of 87-88%, and at the project level, if you look at our performance, it has been to the north of 92%, somewhere between 92%-94%.

There has been a marginal dip in the EBITDA margin in the first six months, majorly on account of increase in manpower expenses due to the ramp-up of resources to deliver the under-construction projects. The cash PAT for H1 FY25 stood at INR152 odd crores, which is up 10.6% Y-o-Y, and for the quarter, it stood at INR75 crores, which is 75% year-on-year basis. This is due to one-time adjustment of the exceptional item for the last year.

Our net debt at the end of quarter stood at INR8,755 crores, comprising around INR5,500 crores debt outstanding of operational projects, and the balance is for the projects which are under construction. So, if you look at the net EBITDA on a steady-state EBITDA basis for the operational project, it is roughly 4.9X, and with the IPO proceeds that we have received, we plan to retire some of the debt to the tune of roughly INR1,800 to INR2,000 odd crores, and this net debt to EBITDA matrix will further improve.

If you look at the net debt movement during the quarter, the net debt went up by approximately INR1,200 odd crores on a sequential quarter-to-quarter basis, and the bulk of this increase is largely to fund the capex of under-construction projects.

Now, I will talk about the stand-alone financials, which represents revenue and profitability from our in-house EPC business, and which has been a key differentiator for us. At stand-alone level, the company reported total revenue of INR876 crores and a cash PAT of INR198 crores in H1 FY25. With this, I would now request to open the floor for questions, which our team will be happy to answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: Hello, sir. My first question is on the commissioning expected in the next, let's say, in the next

one year or two years, and with the IPO proceeds, what is the max capacity that we can commission? And beyond that, if we bid and commission, do we need extra proceeds or extra sort of financing from that? That's all, sir.

Nikhil Dhingra: Sure. Thanks, Anupam, for your query. So, in terms of the commissioning expected in the next couple of years, right,

so, of course, we have around 4.2 gigawatt of capacity, which is under construction, right?

And in this business, the commissioning deadline is coming from the date of the substation connectivity, because you can energize your plant, but you can only evacuate your power once the substation is there. So, if you look at all the places, because our connectivity is 100% tied up, so, if you look at the dates of all these connectivities, are coming in before 2027, so, in the financial year 2027. So, all our capex is aligned to that, that all these, let's say, some substations are coming online next year.

You can say around 900 megawatt-odd is coming online in the next financial year. So, of course, we take a timeline of around two years from the PPA signing as our expected SCOD, but we

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make efforts to charge the plant earlier, where the connectivity is already live or expected to be live sooner than that PPA timeline. So, our whole of this 4.2 gigawatt is expected to be charged before around 2027. Of course, if there is a delay in terms of PPA signing, that will be proportionately expended, but that need not necessarily lead to a delay, because if the connectivity is live, we can very well do the plant before SCOD. If you look at even the latest plant which we have charged, our scheduled COD was March 25, but we have made it live in, let's say, as you can see, starting from October, November, it is now live. So, it is possible to do it earlier, but, of course, you are constrained by the connectivity.

If the connectivity is live, there is possibility to do it earlier. In terms of the capex sufficiency, as we said, there are three sources of capex. So, of course, one is the equity which we have raised from IPO, and, of course, then there is a second source is we are operational cash flows from the operating assets, and the third is the saving you do from the EPC in-house integrated nature. Of course, the operational cash flows from power sale translates, you can expedite them by doing a refinancing. If you look at even this quarter, we have demonstrated all these three sources. We had construction EPC of around INR198 odd crores in this half financial year, and then we had around, we have shown you the cash flows coming from refinancing, which are, again, in the nature of, I think, once all three refinancings are done, they will be in the nature of INR400, INR500 crores.

So, these are the three sources which will help us reach these capex plans which we are seeing. And, of course, we will not need to dilute as per our estimates because there are a lot of capex upsides which are possible and which currently seem possible in terms of the capex which is required to set up an FDRE plant or an hybrid plant. As you must have gathered from other companies which are also operating in the sector and who have also won FDRE and battery-related tenders, the capex is on a downturn in terms of the battery cost, in terms of the various associated costs.

So, as per the current capex estimates, we don't need, we don't think that we will need to raise equity. Of course, as we right-size the capital structure, as we see, because we are new to the listed space. So, we can always evaluate in terms of, let's say, if the market is stagnant in terms of the tariffs because we target mid-teen returns when we bid for a new project.

So, if the mid-teen returns are not available, we may slow our growth, of course, and at that time, we can reduce our debt from our internal cash flows and that is how we will size up the market in terms of whether and, of course, as you know, cost of equity is higher than cost of debt, but we will always try to strike a balance in terms of sustainable debt-to-EBITDA and we will try to temper our growth and calibrate our growth such that we get their mid-teen returns and we

also honor the sustainable debt-to-EBITDA numbers which we have targeted.

Manoj Upadhyay: I would like to add here, Anupam, that we have, for example, we energized 1,200 megawatts in October. Another 450 megawatts is getting added in the quarter, right, quarter one of this. So, that's one addition and then what Nikhil suggested that we will wait for another 900 megawatts if that connectivity becomes alive. We will try to do that early commissioning. That is our plan.

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Anupam Goswami: Okay, sir. So, you mentioned about substation and connectivity. Do you see on ground any delay in that?

Nikhil Dhingra: See, the good thing is that most of our connectivity is brownfield wherein we are not dependent on the HVDC connectivity which requires, you can say, a Greenfield capex and land acquisition. So, of course, there could be a quarter delay in even the brownfield capex, but you are able to track that because most of these contracts are given to, of course, Power Grid is the primary execution agency, but there are a lot of good private agencies which are also doing it. So, we don't see a delay in terms of a large delay.

A quarter delay is definitely possible in any of these infrastructure projects which Power Grid also is an infrastructure project, whatever they execute, but in bulk of the places where we are doing connectivity, it's more of an equipment rollout or a transmission link strengthening which generally doesn't get delayed. So, we don't see a delay and, of course, we budget. We always time our capex as per the connectivity and as per the, you can say, the PPA timelines. So, we will never try to, let's say, order substantial capex prior to clarity on that and also, because of that, we don't increase our expenses because of the delay.

Anupam Goswami: Got it. So, I'll join back in the queue. Thank you.

Moderator: Thank you. The next question comes from Abhishek Nigam from Motilal Oswal Financial Services. Please go ahead.

Abhishek Nigam: Yes. Hi. Thank you so much for the opportunity. So, just three questions. One, I was looking at some of the FDRE projects that we had that were awarded in, I think, January and February. So, do we have PPAs for those now? And, you know, it's been a while. So, if you could update us over there what's happening. So, that's my first question.

Nikhil Dhingra: Sure. Sure, Abhishek. So, in terms of the FDRE projects where we have signed PPA, one is the SJVN. Where we had 570 megawatts from SJVN. So, all of that, the PPA has been signed, the tariff has been adopted. So, that is one FDRE which is fully signed. Then we had SECI 380 megawatts which we won. Again, that was last year. So, for that, 190 megawatt of PPA has been signed and 190 megawatt is still pending.

And then we got a SECI 350 megawatt solar plus battery. It doesn't have wind, at 3.42. There also 150 megawatt of PPA has been signed but 200 is pending. There was a large NHPC bid which we won which is 680 megawatts.

So, there the NHPC is talking to various states. And, of course, there are very advanced stages as per NHPC of getting consent from a state which is expected very shortly. So, as per NHPC, that should happen in a month or so.

And this 190 megawatt of SECI, also as per SECI, it should happen quickly. Plus the 200 megawatt which is remaining from 350. These, of course, these decisions are sometimes pending due to various state specific decision making. And so, this is pending and whatever I mentioned is done.

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Abhishek Nigam: Okay, fair enough. And overall, if I look at the entire portfolio, you have I think total 6.7 gigawatt including operational pipeline. So, how much Greenfield financing is to be tied up in total?

Nikhil Dhingra: So, if you look at 4.2 gigawatt of under construction projects we have. In terms

of 2.5, you can

say is operational for us. 4.2 is under construction. So, 4.2 overall financing, we have mentioned in our presentation also around INR14,000 crores is already tied up. So, which is the greenfield debt. And this debt is tied up from PFC, REC, SBI, IREDA.

These are the three, four lenders, who have contributed to this INR14,000 crores. And the rest of it is around INR20,000 odd crores which we face because we have to pay upfront fees. We have to pay all these charges. We try and take it closer to the disbursement because in line with the PPA timeline, in line because otherwise you end up paying huge fees before you need the money.

Abhishek Nigam: Fair enough. No, it makes sense. And this last question, you know, now that you have, when you started with the IPO, you were at DRHP filing, you were around 5 gigawatt or so. Now, you are at, you know, almost 6.7. So, how is the bid pipeline looking now? Are you looking to pause a bit or, still trying to grow? Any thoughts over the re?

Nikhil Dhingra: It's a big question for us, Abhishek. So, what we try and do is modulate our growth depending on the capex required, depending on the mid-teen returns. The thing is, in terms of the IRRs, I think there are three factors there, right?

One is the ability to fund internally. We try and do, as you know, our focus is always to be capital efficient. That's the first priority in terms of doing as much as we can in the resources we have rather than keep on going back for equity raise. So, that's the first constraint we work with.

Second is the returns need to be healthy. And, of course, that remains true in terms of the FDRE projects and, of course, the hybrid and battery-related projects.

And most of the current bids are oriented towards that. So, we are seeing good IRRs and, of course, there is limited amount of execution everybody can do. The good thing is some of the bids which are now coming allow you to take connectivity around 27 also and around 28 also. And what we do is we try and take connectivity by – through various, you can say, LOA non-specific connectivity, you can say, which gives us flexibility to time the COD, time the operationalization of that connectivity. So, what we will try and do is execute these projects in block of two years, let's say, from 24 to 26 a block and 26 to 28 another block. The good thing is some of the PPAs allow you to have that sort of liberty that you could charge the plant in 27, you could charge the plant in 28 because the REIAs also recognize this limitation of connectivity coming in lumps, right?

There are a lot of these substations which are coming up in timeline of 26-27. They don't specify a month. They specify the year. Similarly, some of the HVDC large connectivity is coming up in Rajasthan in 29-30, right? So, you have a choice, right? If you want to be in high zones, then you have to basically sometimes choose a later date.

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Or if you want to go to south or, you can say, central or west part of India, you could do it earlier. So, that's the interplay we have. So, we will try and modulate given where we are. We will not be very aggressive in terms of winning because we have enough on our plate. So, our bias is more towards consolidating. But in terms of the returns, of course, if the returns are good, we'll try and see if we can win a small chunk.

If not very large, we can also temper the size, what we take. We can participate in bids, but take a smaller chunk rather than a larger chunk.

Abhishek Nigam: Fair enough. That's it for me. Thank you so much.

Moderator: Thank you. The next question comes from Murtaza Arsiwalla from Kotak Securities. Please go ahead.

Murtaza Arsiwalla: Yes. Hi, sir. A couple of questions. One, in your presentation, there is a breakup between gross block and CWIP, which is largely unchanged. I'm as

suming that 1,200 megawatts is still not capitalized. So, that's a clarification.

And second, for the projects that you won, 1,350 megawatts, could you also give us a sense of what the costs against those projects are? What is the anticipated cost on an aggregate basis? What is for the remaining sort of 4,000 megawatts? What is the balance sort of capex to be spent?

Nikhil Dhingra: Right. So, you're right, Murtaza, that 1,200 megawatts is not yet capitalized because it happens on the full commissioning of the plant, because when you get the COD certificate. And right now, of course, we are selling power pre-commissioning, of course. So, it is not yet capitalized. And, of course, the CWIP has moved in the six months. So it has moved because we have executed this plant and we have also executed the Bikaner plant and also the wind plant. So, CWIP has moved in the last six months. And, of course, the gross block has not moved because we have not capitalized so far. In terms of the 1,200 megawatts, which we have won, of course, it's a combination of hybrids, solar and FD RE projects. So, all these are, of course, the estimates remain in the similar range and the capex is on a downswing. We will not be able to give the exact number of the capex, but it is basically – it is remaining on the solar side. I think we have already capitalized ISTS recently.

So, you will see the – in terms of per megawatt cost, of course, it will be roughly around the same or maybe subject to the Indian modules versus the Chinese modules. Of course, there is a duty difference, right, so, adjusted for that, Indian modules are roughly in the same range. Of course, the wind plant also we will capitalize soon. So, wind also remains. I think there is an improvement there on the capex side. But what we can tell you is the overall, in terms of the capex, roughly around, I think, INR40,000 crores-odd will be the overall capex. Ankit, do you want to add on that?

Ankit Verma: Yes. So, to fund this entire pipeline Murtaza, which is, like we have mentioned, 2.5 gigawatts is already operational. So to fund additional 4 gigawatts, which we have shown, roughly we need

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a capex of somewhere between 40 to 42,000 crore, which will be funded by 75% by debt and balanced by equity.

Manoj Upadhyay: I think it is also important to mention here, which Nikhil was explaining. Some of the projects we are timing for 2027-28 because some of the PPAs where we had a flexibility. So, what will

happen, some of the projects will get built after having the 2026 cash flow when the plant will become operational. So when you see from today's planning, we can't plan that right now because we are staggering some of those projects.

Nikhil Dhingra: And we don't want to hazard a guess about the capex 2.5 years down the line because some of the PPAs, like you mentioned, there is a SECI PPA, which allows you to take connectivity for 2027. So, that plan needs to get live around 2027. So, that is too far as for us. So, we can, of course, give you the capex estimate.

This is the current cost, but it can go up or down. From our side, what we do is we take a contingency on the capex side, which is around 8% to 10%. And, of course, given the bias on the cost side, it will go down. So, what we are telling you is the number basis that contingency and basis the current estimates. So, I think that is the number you can take.

Murtuza Arsiwalla: Thank you.

Moderator: Thank you. The next question comes from Gopal from SBI Life Insurance. Please go ahead.

Gopal: Hi, sir. Thanks a lot for the opportunity. The question I have is that this 369 megawatt plant, which we have sold in the last year, in which quarter it was sold?

Nikhil Dhingra: It was sold in Q4 of last year, in January 24.

Gopal: Okay. And this 1200 megawatt, which we are going to commission, what is

the capex cost?

Nikhil Dhingra: Right. So, as of now, I think in terms of the books, we have capitalized at around INR5,400 crores. But it includes a provision for the MOOWR, which is very substantial. So, adjusted for that, that is around INR1,400 crores of provision, which we have not yet spent, because that is like a buffer, which is there. So, adjusted for that is around 4,000 crores. So, there is some bit of, I think, payments we need to make INR200 crores. So, maybe somewhere around INR4,200 crores to INR4,400 crores is the actual cash spent you can take at maximum for this plant. That's what we have spent.

Gopal: So, once it is fully commissioned, what will be the capital cost?

Nikhil Dhingra: INR4,200 crores is the number you can take. But in terms of the provision, because in terms of capitalization, what we are trying to, just a brief context about the MOOWR. Basically, there is a scheme of MOOWR, which we had availed, wherein we didn't have to pay duty on these plants.

Imports we did of deferment of the import duty, which was there.

So, because of that, we made provision for that duty. We have not paid, because that is not supposed to be paid. And of course, if it is to be paid, it will pass through in the tariff. So, in terms of the capex, actual money spent, INR4,200 is the money spent.

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Gopal: Okay, sure. And what should be the EBITDA run rate from these projects on annualized basis?

Nikhil Dhingra: So, that is something I think you will see in a month or so. Basically, typically revenue we are doing around INR1.5 crores per day. And the plant we have told you is running at this number.

So, in terms of the EBITDA margins at the asset level, we have done 92%, 93% in terms of the EBITDA margins.

So, I think this plant is not, when it is fully operational, it will be doing a substantial number better than INR1.5 crores per day. And we have disclosed in the prospectus, the tariff for this plant is roughly INR2.44 per unit. And the expected AC CUF is 30% for this plant. Yes, so you can basically calculate the generation.

It will come to, if you multiply all these estimates, you will get the revenue and 92% is the EBITDA, which has typically come. We can also do the maths, but I think you will be okay.

Yes, yes.

Gopal: And, sir, in the current reported revenue, there is a drop sequentially on the revenue side. What explains this?

Nikhil Dhingra: So, like I mentioned initially, this is, on account of the monetized asset, right, that we have done last year.

Gopal: So, quarter-on-quarter I'm saying, yes.

Nikhil Dhingra: So, quarter-on-quarter, what happens is, in terms of the second quarter, right, there is a seasonality impact. Because we have plants across India, including Punjab, including various parts of India, because ours is a distributed portfolio. So, you will see around, I think, 10% sort of revenue difference coming from seasonality.

So, on a quarter-on-quarter, but if you look at the next two quarters, there will be no impact of this weather thing. In the second quarter, because of monsoon, you see always, this has been there for not long.

Manoj Upadhyay: Yes, yes. So, whenever you monitor the solar plant, you will find that June, July, August, September, it will have a, because of the monsoon, it will have a little bit lower generation than the other months.

Gopal: Okay. Sure, sir. And, sir, on generalization side, in your presentation, you said, there is an

increase in the generation for H1 to H1 on like to like basis, right?

Nikhil Dhingra: Yes. So, on a H1 basis, basically, there is, one thing is basically that...

Manoj Upadhyay: The first quarter, our first quarter, if you compare the '24 versus '25, FY25 quarter, our CUF has gone up from 23.3% to 24.6%. So, that means we did some operational improvement, for example, like robotic cleaning and other things, be

cause of that, that improvement has happened.

Gopal: And, sir, if I see the revenue growth, which you have given like to like, for H1 to H1, the growth is lower than the generation growth. Is there an element of mix of plants?

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Nikhil Dhingra: So, it's a function of, see, revenue is a function of units, because as the new plants are coming, they are coming at lower tariffs, right? Our weighted average portfolio tariff was at 4 point something. 4.39. 4.39. And the new plant you are adding is, let's say, INR2 something, INR3 something. So, that, of course, is a function of...

Gopal: Comparing like to like, right? There is no addition of plant?

Nikhil Dhingra: Yes, yes. One thing which Manoj Ji mentioned is the CUF increase. Other is the, you can say, charging of -- there was some capacity which was added in one of our plants of Aklera project.

We had around some capacity which came up in that plant, which was around, which added to -- 50 megawatt. 50 megawatt or so, which was capacity which came up in this half year, in this so, that addition of capacity also happened.

Gopal: Okay. And this 1200 megawatt is commissioned now or it will be commissioned?

Nikhil Dhingra: So, there are two phases to this. What happens is that you get a first time charging and then you get a trial run. So, our first time charging has happened of all four plants. And because of which we can sell power to either the PPA purchaser or in case they are giving NOC, we can sell in merchant also. So, we are able to sell power. And that happens post first time charging.

Now, there is a commissioning procedure which we are undergoing. We are targeting to get it done on 27th, 28th. Post that, it will be commissioned. And post that, pre-commissioning, you get 75% of the tariff also. And post commissioning, you get 100% of the tariff. So, in terms of the next week or so, is our target to get it commissioned, subject to maybe...

Because the trial run happens, the sunlight needs to be there. There are a lot of conditions which need to fall in place. So, in terms of the revenue, we are able to recognize the revenue since October. We have been generating and selling power to either the off-taker or to the merchant. But in terms of the commissioning, this is expected in the next 10 days or so.

Gopal: And whatever revenue we generate, this will be reduced from the cost of project?

Manoj Upadhyay: No, no.

Nikhil Dhingra: This is a sale of electricity, right? This is the P & L, revenue from sale of electricity for 25 years.

Gopal: No, no. Before commissioning, whatever we sell, that will also come as a part of revenue and EBITDA? Or it will be reduced from the project cost?

Manoj Upadhyay: Earlier, around 2-3 years back, we used to reduce it from the project cost. But now, because of the change in the laws, we need to take this to the P&L.

Gopal: Okay, sure sir. And last bit, can you just explain this GST search which was there? Genesis and what are the implications?

Nikhil Dhingra: Yes, yes. So, Gopal, basically we were on the listing day. We were in Mumbai and of course, all of our team was there. So, we had a team from GST Udaipur who had visited us. And of

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course, our team was away. So, they came back in the evening. And of course, they cooperated with GST.

The prime query was regarding the input tax credit we had taken in terms of availing services with a couple of vendors. So, of course, the impact of that was less than half a million dollars.

And of course, we satisfied all the queries. So, there was no sort of documents which were asked.

And of course, there was no sort of, you can say, any financial implications.

No notice was given post the search. So, we had notified the exchanges also within 24 hours of that happening. And of course

we had -- of course in the -- if let's say there is a follow through

or something, that impact we have mentioned to you is in the worst case also could be half a million dollars.

Gopal: And in terms of refinancing for existing portfolio, we have already done the refinancing.

Nikhil Dhingra: So, we keep on doing the refinancing depending on the stage of the project. So, typically we try

and do it just six months or one year after the project commission because that time the plant has demonstrated its performance. So, in this half year what we have mentioned is the refinancing we have achieved from three of our, the sanction we have achieved. In one case we have already taken disbursement. In two cases we are yet to take disbursement. But we have achieved the sanction. So, typically in refinancing there are two objectives for us. One is to extend the tenor of that loan which increases the free cash flow to equity for the equity holders.

And second is to reduce the interest rate because the lender changes -- the rating of the project also improves. Like in one of the projects we are targeting to take a AA rating, which will be known in a day or two to us. So, which will help us reduce the cost further. And as we have raised equity in our holding company, so we are expecting this to happen more in terms of the improvement in rating at the restricted group or wherever we borrow.

So, this refinancing is what we have updated in the presentation. And all three have achieved this purpose of giving us, you can say, debt release for growth. And also, because these are all 20-year debt, typically. So, it gives you long-term resources for growth and also reduces the rate. And of course diversifies our lender. Because, you know, some of these lenders we don't want to hit their funding limits in terms of each lender.

And there are a lot of new lenders which are coming to the mix. Like we are working with NaBFID. We are working with a lot of MNC banks also. So, it makes sense to diversify because all the segments of the market need to be tapped. And we are trying to do that.

Gopal: And we already refinanced at maybe 8.7, 8.9 with this new rating which you are expecting AA. Will it further reduce? If yes, by what percentage?

Nikhil Dhingra: So, 8.7 will be the rate which will be at AA. So, we are expecting that kind of rating. So, that is what we have indicated. Because that's a plant which has been operational now for more than 5

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years. It's a group of NTPC, SECI. So, we are expecting a good rating there. And that 8.7 is assuming AA handle. And of course 8.9 is for a single A rated plant.

Gopal: Sure. Thank you very much, sir.

Moderator: Thank you. The next question comes from Deval from Mirae. Please go ahead.

Deval: Thank you, sir, for the opportunity. So, my first question is when you say INR4,200 crores of gross block addition from 1.2-gigawatt commissioned assets. So, is this after adjusting for the EPC EBITDA margin?

Nikhil Dhingra: No, no. It is not after adjusting for EPC margin. This is the gross block applied at the SPV.

Deval: Understood. So, can you help us? What would be the quantum of EPC that would get adjusted for this 1.2 gigawatt?

Nikhil Dhingra: So, the project is not yet capitalized. So, we will not be able to give that in terms of the project wise EPC margin because we need to fully capitalize it. But, of course, typically, as we mentioned, we try and do at least 10%-15% maximum. So, that is the broad range of margin we target. So, you can assume around that number.

Deval: Okay, because when I look at H1 EPC numbers, assuming a PAT of INR126 crores adjusting for tax, at EBITDA level, it comes around INR165 crores, which is almost 19% kind of EBITDA margin. So is this understanding correct?

Nikhil Dhingra: So, Deval, what happens is, this is a function of three

projects we have done. And, as we said, basically, we have two companies. So, this is part of the EPC contract. And, of course, this is a three project. So, in terms of the three projects together, that is the sort of margin. And, of course, we have cost, right, in terms of the cost. So, PAT is the right number to look at rather than EBITDA.

Deval: Understood, sir. Because for 1.2 gigawatts, it might cost around INR3.5 crores per megawatt. And, after adjusting for EPC...

Nikhil Dhingra: So, Deval, here, one thing I would like to highlight is, because of the MOOWR, right, we did not pay duty. So, that is why this cost is slightly on the lower side, right. Typically, if you pay duty, then the cost is slightly higher. And tariff will also increase. But, in terms of the INR4,200 crore, which we are seeing, is basically only very small element on which duty was paid.

Manoj Kumar Upadhyay: So, the other point is, I think it is important to note here, is that even in the past, what we have shown, even in DRHP, some 14%, 15%, 16% of kind of an operating margin EPC. I think that is a number we will maintain in this also.

Deval: Understood sir, my second question was, can you help us with, what is the cost of debt for under construction assets, as well as the refinance cost of debt for the commissioned assets?

Nikhil Dhingra: So, in terms of the under-construction project, we are currently able to access around 9.4, 9.5 is the representative cost. Of course, as the base rate falls down, we expect this to also come down

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along with the base rate fall of all these institutions and banks. In the operational asset, we have already shown 8.9, 8.7 is what we have achieved now for a stabilized asset.

So, it also varies depending on the counterparty, like a SECI project or a restricted group project gets you a better rate. So, in the best case, in today's market, I think we can approach 8.5 in best case. And on an under-construction project, we can approach maybe 9.25, 9.3 in today's market. Right. That would be the thing. And the range could be 0.25% plus minus.

Deval: Understood, sir. Yes. That's it from my side. Thank you.

Moderator: Thank you. The last question comes from Nishant Gupta from Minerva Global Capital. Please go ahead.

Nishant Gupta: Hi, sir. Thank you for the opportunity. I had two quick questions. One is, is there any company-specific hurdle rate that you target for a project while bidding for it? I mean, why I'm trying to ask this is because the tariff has fallen to around 2.52. So, that is something. So, just wanted to get a sense what is a sustainable tariff that you enforce while constructing any particular project? That is the first question.

And the second one was, how do you see the monetization landscape going forward like are there still opportunities where some of the projects you can exit at a healthy IRR? So, these are two questions/

Nikhil Dhingra: So, in terms of the hurdle rate, as we said we target a mid-teen sort of hurdle rate. And, of course, these hurdle rates we have, of course, an integrated business model which helps us control time and cost. So, it helps us in a bid to get these hurdle rates. In the past also, we have been able to deliver on these hurdle rates. So, that's the sort of hurdle rate we target. In terms of tariff, see, tariff is a function of capex.

And, of course, a lot of macroeconomic variables like interest rates and dollar rates because some of the capex is imported and various other things are there in terms of the interest rate because the capex heavy business model. So, we don't target a specific tariff. We target a hurdle rate, which is FCFE, IRR, taking the cash flows of the 25 years and also you can say, the cost saving we can achieve through our EPC. So, these two are the sources. We don't take any upsides when we bid in terms of the

refinancing rate or a top-up which we can get. These are upsides for us to take, if any.

And we keep a contingency of around 10% in the capex which we estimate while doing a project. In terms of the - just to give you an idea on the tariff, you are looking at the solar tariff. These are plain solar bids you are looking at, but when you look at the FDRE projects, the tariffs are in the range of between 4.4 to 4.7 sort of range. And we also won a tariff of 4.7 recently with the NTPC bid.

And when you look at hybrid, these are in the three handles in terms of 3.3 to 3.4, 3.25 now. So, all these three type of bids and when you look at battery, there are different sort of numbers, plain battery. So, in terms of each of these technology-specific bids, there are various upsides

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and downsides possible. You can say in a solar, it's totally dependent on the - you can say the solar, where you are putting up the plant.

That will decide the revenue you generate, what sort of capex you are envisaging, whether you have control on land, connectivity. And when you're looking at a high FDRE, there are elements that are slightly higher than a plain solar because you are dealing in three technologies, solar, wind, and battery. How are you minimizing the risk possible in the FDRE configuration? So, that's important.

Of course, an FDRE offers you an opportunity to have high returns, but also offers you some element of risk. So, there is an interplay of how to minimize the risk and also make the good returns. So, that is why you see in an FDRE project, there are slightly less competitors as compared to a plain solar bid, purely because of the degree of complication in the project. And of course, a plain battery is slightly simpler, so you will see a lot of competition in the plain battery tenders also. So, that is on the hurdle rate.

In terms of monetization, we don't want to monetize the assets as of now in terms of going forward. We want to consolidate our assets. And also something which we can evaluate in the future is InvIT because that's a semi-monetization sort of a thing, but of course subject to various, whether it makes sense for the shareholders or not, in terms of the listing. Because in terms of our equity requirements, so monetization has been the tool which we have used in the past. Of course, because we were getting good value out of that.

And also it helped us raise resources for our capex. And of course, it was the lowest cost of equity which was possible while keeping the whole corporate structure intact. And of course, there is a capital gain implication when you sell assets. So, in terms of the mode of fundraising, there are various categories, preferences we have internally. So, where as of now, InvITs scores better than asset sale. If at all we want to go the other way, we have not yet decided at all to do InvIT or asset sale. But if you want us to compare today, we will rather say InvIT is better than asset sale.

Manoj Upadhyay: To be very specific to your answer to the question, actually, INR2.51 is not a bad tariff. It is because the capex has come down to the level that it is actually a good tariff.

Nishant Gupta: Got it, sir. I think with the declining solar modules and the cell prices, that is why you are saying that this tariff is sustainable, right?

Manoj Upadhyay: Yes. Because we have a project of INR2.44. And we know that we shared with you the number of capex. You can always calculate the return. So, that is why we are able to tell you INR2.51 per unit is a good tariff.

Nikhil Dhingra: Yes. The only change which has happened is the modules are now domestic. But there also we are seeing the price parity coming to let's say adjusted for duty. The price parity is almost there. And of course, in all our projects, we can buy cells from China. We do have that flexibility. So,

yes. And the capex is on a downturn as we are re-emphasizing.

Nishant Gupta: Got it, sir. Just a quick follow-up. Is InvIT something like a year to 2 year kind of a plan or even further than that? Is there a timeline which you have thought about it?

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Nikhil Dhingra: No. There is no timeline. Actually, we are just discussing ideas with you because you dropped an idea. We always don't ignore any idea. So, we like to discuss ideas all the time. So, there is nothing on the table on the InvIT front. So, it's something we have no plan of doing as of now. And we are not planning to do any InvIT as of now because we are able to -- see, InvIT is done for multiple reasons.

One is to raise equity, of course. Second is to extract cash in terms of every quarter you are able to take yield and all that. So, we don't see any challenge in that in terms of working with our lenders and, of course, getting the refinancings done. So, as of now, there are no compulsions or no drivers for us to attempt an InvIT. So, we have no timeline for it. You can assume it's not on the table.

We were just comparing options. When you said monetization, we said there are other options which are there for any company, not for us, for any utility company because it's a two-pronged business. One is yield. Other is growth, right? So, for the yield part of the business, InvIT could be a potential solution for any company, not for us. We have nothing on the table relating to InvIT as of now.

Nishant Gupta: Got it. Thank you for the detailed answer and all the best.

Moderator: Thank you. Ladies and gentlemen, I now hand the conference over to the management for any closing remarks.

Manoj Upadhyay: So, thank you very much for, again, attending the conference, and I hope your queries have been answered. If there are any further queries, my team and our Strategic Growth Advisors will be very happy to share with you. While we are in the growth side, I think you have asked some of those questions where we had a challenge also like GST, which our team handled very well. And one of the learning, I think also it is important for me to share with you that we are doing this 1,200 megawatt project where four projects are getting together. So, the normal synchronization of the plant took more than what we thought of. I think that's also important to share with you.

So, fortunately, we are selling the power to the grid at a higher price than it would have been in the PPA. But then, again, the timeline, I think it took more than this because this is a very, very large plant, which was getting synchronized four plants together perhaps first time in India. I think also in this business, you must have seen that, in fact, last quarter, especially in the Gujarat area, it has been rained more than what we have expected.

Some of you asked questions, why the variation in the revenue? I think July, August, September is normally the season when you see our past track record also, you will find that this season solar is normally lower than the generation. Although, the last quarter has this one. I think some of you also asked on the PPA side.

I think some of the PPAs, we thought that should have happened in October, which might happen in this month or in next. This thing, because of the election also, we are getting repeated elections in this one. Well, SECI has to go to every state and do that. Sometimes, it goes to some level of

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approval when the election gets announced and the whole thing gets stopped. I think that's also a learning for all of us that sometimes this can happen.

I think the good thing is that we are making good progress on that. Hopefully, as Nikhil was sharing, we should be able to conclude most of the PPAs in the next few weeks or 1 or 2 months.

Again, I am very thankful to all of you for this thing. What I would like to tell you is that you must have seen the very great consensus at the COP29 level where this new business opportunity can come to India, where one can share, one can trade the carbon. That's also an opportunity. Most of the countries have agreed their future plan that will really push the renewable adoption faster. Although our government was already doing that, but perhaps now with this commitment, they have to do even more than what it was. All these things will take this business or this industry to the next level. I am sure that we are all participating in the energy transition. We are fortunate that we are playing our role in this journey. Thank you.

Moderator: On behalf of JM Financial, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2025

Leading Through Innovation

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CME Solar Holdings Limited

(formerly ACME Solar Holdings Private Limited) CIN :: U40106HR2015PLC102129

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Date: 3rd February, 2025

To

The Compliance Manager

BSE Limited

Corporate Relationship Dept.,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai 400001.

Scrip Code: 544283 To

The Manager, Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, Plot No. C/1, G Block,

Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051

Symbol: ACMESOLAR

S

Subject: Transcript of the Audio-video recording of Earnings Call | Q3 FY25 results

Ref: Information under Regulation 30 of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended

("Listing Regulations") and our earlier intimation through our letters dated January 25,

2025 in regards to Earnings Call with analyst(s)/institutional investor(s)

Dear Sir/Ma'am,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of the Listing

Regulations, please see enclosed herewith transcript of Earnings Call with the

Analysts/Investors held on Wednesday, January 29, 2025, post announcement of Unaudited

Financial Results (Standalone and Consolidated) of the Company for the quarter and nine

months ended as on December 31, 2024.

The audio-video recording of the Earnings Call along with the Transcript has been uploaded

on the Company's website and the same can be accessed from the link provided below:

[https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/29-01-2025_Earnings-Call-](https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/29-01-2025_Earnings-Call-Transcript_Q3FY25.pdf)

[Transcript_Q3FY25.pdf](https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/29-01-2025_Earnings-Call-Transcript_Q3FY25.pdf)

W

e request you to kindly take the aforesaid information on record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

Membership No.: F3043

"ACME Solar Holdings Limited's

Q3 & 9M FY'25 Earnings Conference Call"

January 29, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded

on the stock exchange on 29th January 2025 will prevail .

MANAGEMENT :

•Mr. Manoj Kumar Upadhyay – Chairman & Managing Director, Acme Solar Holdings Limited

•Mr. Nikhil Dhingra – Chief Executive Officer, Acme Solar Holdings Limited

•Mr. Ankit Verma – Head of Corporate Finance, Acme Solar Holdings Limited

•Mr. Purushottam Kejriwal – Chief Financial Officer, Acme Solar Holdings Limited

•Mr. Arun Chopra, Head of Finance & Accounts, Acme Solar Holdings Limited

ACME Solar Holdings Limited

January 29, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q3 FY'25 Earnings Conference Call of ACME Solar Holdings Limited hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please

note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar: Good morning , all. I welcome you all to the Q3 FY'25 Earnings Call of ACME Solar Holdings. We have here with us the Leadership Team of ACME , led by Mr. Manoj Kumar Upadhyay – Chairman and Managing Director.

Without much delay. I would now like to hand over the call to the “Management for Opening Remarks” followed by “Q&A. ” Over to you, sir.

Nikhil Dhingra: Thanks a lot , Mohit. Good morning and a very warm welcome to everyone present on the call. Myself, Nikhil Dhingra , I am the CEO and Director on the Board of the Company.

I have with me our Chairman – Mr. Manoj Kumar Upadhyay – the Founder and the Chairman, Ankit Verma – Head of Corporate Finance, Purushottam Kejriwal – our CFO, Arun Chopra – our Head of Finance and Accounts , and Strategy Growth Advisors are our Investor Relation Advisors.

So, what I will do is I will briefly take you through the presentation which we have uploaded on the stock exchanges. So, if you want to, you can refer it as well, I will start on Page 5 , but I will do it quickly such that we have more time for Q&A.

So, in this quarter, it has been a very execution -focused quarter for us. We have essentially double d our capacity from 1 ,340 MW to 2,540 MW. So, we have increased by 90% and this is due to the commissioning of our 300 x4, 1,200 MW of solar capacity which is tied up with S ECI. So, now our operational portfolio is 2 ,540 MW like we updated you last quarter . In terms of the GW peak, it's 3.6 GW peak. So, that is a more substantial update in this quarter .

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In terms of the operational1 portfolio split, now , the central offtakers constitute 67% of our portfolio and states only constitute 33% of the portfolio, which is of course improving the credit rating of the overall portfolio and overall utility business we have.

In terms of the new orders and growth side, we have won 1,900 MW of capacity in this financial year. So, our total contracted portfolio is 6.97 GW . And in this 1,900 we have FDRE, which is the peak power contracts of 1 ,000 MW, solar of 600 MW and hybrid of 300 MW. In terms of the PPA signing, which is a very important metric for starting of our projects, because PPA is the zero date for us to monitor the two years we get for commissioning the plant. So , we have successfully signed 2,340 MW of PP As out of our under -construction capacity of 4 ,430 MW.

Similarly, another important issue which has come up is the adoption of these tariffs , because that's another milestone, which also is very important for us to determine the zero date of the PPA , and for that we have done 2 ,5002 MW which is again more than 50% of this capacity. So , in both these regards, we are of more than 53% of our under -construction capacity .

450 MW of our capacity is in advanced stages of construction . So, that is something which is in very advanced stages .

Coming to the next slide , briefly, we have done the IPO in November . So, we have used all of the proceeds to reduce our debt like we had mentioned. So, debt has been reduced by around INR 2,070 crores, which has resulted in a steep reduction in the net debt. So , net debt is now at INR 6,882 crores in this quarter as compared to INR 8,755 cr

ores in the previous quarter.

In terms of the Greenfield financings, we have sanctioned INR 16,500 crores . So, basically around 40% of our debt is now tied up in the under -construction projects . And in terms of the refinancing, we have refinanced essentially 50 -55% of our debt, which is around INR 5,500 crores , so at an average rate of 8.8% per annum. So, this results in two positives for us. One is the reduction in cost of debt and second is the cash release, which is one of the sources of accruals for us in terms of the future funding .

Grid connectivity is of course very important for a utility like us, which is connected to the central transmission system for providing power. So , we have connectivity in place for 100% of our under -construction capacity , and of course we keep on building our war chest, so we have around 2 ,000 MW available for future bids.

1 Stated a s portfolio split during the call , however, operational portfolio is the correct reference

2 Includes projects where tariff has been adopted or order reserved

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In terms of the next slide , capacity road map , so 2,540 MW, which is operational for us will give us a run rate annual project to bid of around INR 1,750 to INR 1,800 crores. That is basically something which we already have. So, we will continue giving this guidance from the operational assets .

And in terms of the ROC E, which is basically pre -tax ROC E, we do 14 .5%. So, this is another metric which we'll keep on giving to all of you as we move forward. Basically, the operational project EBITDA run rate and operational project Gross Block3, basically t he ROC E from the company.

So, we are at 2 ,540 MW. We will make all efforts to prepone this, but in the base case we have 6 ,970 MW of capacity which we will be operating by F Y'27-28. All these have different timelines, but this is the last date for those project executions.

Lastly, from my side , on the operational highlights, we did a large improvement in our CUF , 23.7%

is the CUF which we did as compared to the last year , and this CUF I can say for sure that this is going to increase because the proportion of high CUF projects have increased in the portfolio. So, from the next quarter you will see much better number on the CUF.

In terms of generation, we sold around 250 crore units in these nine months and which is a substantial jump of 34.5% units .

In terms of plant availability, our plants are running at 99.4% availability and a grid availability of 99.6%.

Thanks a lot. I will now ask Ankit to give you Update on the Financial Highlights quickly.

Ankit Verma : Thank you , Nikhil, and very good morning to all the participants.

So, I will refer to the presentation again, if you can refer to page #10, if you have it handy. So, here we have reported the Q3 numbers on a YoY basis for both as reported and on an adjusted basis. So, adjusted basis means that we have monetized 369 MW in the last financial year in January '24. So, for a like -to-like comparison, it is pertinent to compare the performance on an adjusted basis. However, I will give you the updates for both reported as well as on like -to-like comparison.

So, our total revenue for the quarter stands at INR 401 crores which is up 45% on adjusted basis and 10% on reported basis . And this is majorly on account of the phased commissioning of the recent SECI ISTS 1200 MW plant.

3 Stated as ROC during the call , however, Gross Block (less EPC margin realized within Acme group) is correct ACME Solar Holdings Limited

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EBITDA for the quarter stands at INR 359 crore s which is substantially up 59% on a like -to-like comparison basis and 15% on reported basis.

As far as margins are concerned, they are like 90% on the reported basis on account of the higher operating leverage , because now we have higher base of operational assets.

And

our PAT for the quarter stands at INR 112 crores, which is up 152% on reported basis and 317% on a like -to-like asset basis.

Our cash PAT for the quarter is INR 189 crore s which is up 52% on reported basis and up 149% to be precise on like-to-like asset basis.

And the last thing here is the PAT margin, which is for the quarter is 28% as compared to 12% in the last quarter on YoY basis.

Moving on to the "Standalone Financial," which is page #11 . So, for the nine months , -total revenue is INR 1,036 crores with an EBITDA of INR 917 crore s, which reflects EBITDA margin of roughly 89%.

And on the standalone financial basis, which reflects our profitability from the in-house EPC business that we do for our own subsidiaries, our total revenue for the nine months is INR 1,203 crore s with EBITDA of INR 407 crore s and PAT of INR 199 crores respectively.

On page #12, we have covered the gross block and the net debt. Our net debt as of December 2024 stood at INR 6,882 crore s which comprises INR 6,069 crore s of operational debt and INR 813 crores of debt to the project which are under construction .

And if you look at our some of the key metrics in terms of net debt -to-EBITDA , so if you look at the net operational debt on an annual EBITDA basis for the current financial year, it will be around 5X, which is below our guided range of 5.5X.

And net debt -to-equity after raising the primary capital from the IPO currently stood at 1.6X.

These are the major updates from the financials point of view. With this, I would now request to open the floor for questions, which our team will be happy to answer.

Moderator: Thank you. The first question is from the line of Puneet Gulati from HSBC. Please go ahead.

4 Stated as 670 crores during the call, however INR 6,069 crores is correct

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Puneet Gulati: Yes, thank you so much and congratulations on good performance, good capacity commissioning and a detailed presentation. My first question is with respect to the capacity that are highlighted under the LOA. Can you talk a bit about how soon can we see them getting converted and , and if you think of any capacity we could be at risk of not getting converted into ?

Nikhil Dhingra: Right, right. So, if you have access to the presentation, we can go to Page #24, right , there we have given the detailed status of the tariff adoption, various steps in the overall PPA signing. So , the first thing is LOA, right ? We have LOA for all of this capacity , right, which is around 4.45 GW. Now, coming to the PPA status , PPA signed for 2,340 MW we mentioned. I think you're more interested in what will happen to the rest of the PPA which is around 2,090 MW, right? So, in terms of the two projects, 380 MW of FDRE with SECI and 350 MW FDRE with SECI again, half of the PPAs have been signed. So, these are expected to be signed shortly in terms of the first , they'll be first to be signed , because they have been partially sold, so they are more likely to be sold. And of course the order has been reserved for a tariff also because now that is something we also track. And in terms of the other ones , so we are quite positive that the NTPC once again will be signed shortly . So, of course we don't have because this is up to the agency to do it quickly , but what we understand in the last quarter or so , the PPA signing has really picked up pace because lot of FDRE tariffs have been

adopted and lot of states have already done , like UP has done 1 ,200 MW for our NHPC bid which we signed yesterday, 680 MW of PP A we signed yesterday. We don't have the SECI to state government status because that is up to SECI to do it . But we understand is the top two ones will be signed very quickly , the rest of them are also very advanced, but of course and we are hopeful that they will be done in max couple of months. But this of course we

keep on tracking with the
counterparty . We are not able to track with the state governments, but of course we are updated that the central government is quite , quite positive about getting these power off takes done because as you know, ALCM has also come into being , so the tariffs are expected to go up as we move forward. So, these become quite attractive if you purely look at commercial angle in terms of these tariffs. Plus, as I said, the tariffs have been adopted in the recent past . So, there is a good metric for all of them. And the tariff s are in the range of what we have done in the last two years. So, w e are quite hopeful that they will be signed soon . In terms of the tariff adoption, we have given detailed status wherever the order has been reserved. So , order reserved means the order will be out in next couple of months because that is the time cycle C ERC takes and we will be updating these petitions and order reserve for tariff adoption also in our quarterly presentation . In terms of the grid connectivity, we have the grid connectivity for all of the m. So, if you look at our preparedness, so grid connectivity is there with us , we are of course moving forward on the land and transmission line because that's a very low CAPEX item . But of course it takes long time. So, we keep our preparedness such that we get a head start whenever the PPA get signed.

5 Stated as 4.7 GW during the call, however 4.4 GW is correct

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Puneet Gulati: Just a bit of clarification on the solar one 300 MW where you talk about order reserved . This presumably it is yet to see PPA done , right , and order is the C ERC order you're talking about or the PPA?

Nikhil Dhingra: So, so all of 2 ,090 is yet to see PPA. So, 2,340 has seen the PPA right? The 2 ,090 is yet to see the PPA. There are two tables , right , in this slide . So, the 2,340 has seen the PPA MW , 2090, the whole of it has to see the PPA.

Puneet Gulati: Understood. So, okay, second question is there was this C ERC regulation which talked about not providing power charges for infirm power . Is that likely to impact any of your projects here?

Nikhil Dhingra: No, actually, we read that article, and we were going to release a clarification , our regulatory head has drafted it also, he is going to shortly do it . So, see, in terms of renewables, right, we don't have any fuel charges and other things. So, we have no , no issues with that in terms of the merchant plant or in terms of the, you can say the infirm power sale . We were of course impacted by it in the last quarter because we had to commission the plant to sell the power because this order became effective from December 22nd. So, all of our plants got commissioned before this order became effective . And of course, in renewable , the merchant plant is also not at risk because we can run our plant without fuel. But because they don't get a pass-through , the thermal projects, so they have an issue which we don't have. So, we will not face issues on the merchant plant.

Puneet Gulati: But, but you will miss the extra earnings that you would have otherwise got?

Nikhil Dhingra: No, actually those are not earnings which are factored in any base case. Basically, what happens is when you charge the plant, typically the inverters charge individually, so you have a phased commissioning , right. Your commissioning time takes around seven months. But that is part of the procedure because you have to give a 15 -day notice to CEA to visit your plant because that is how the procedure works. So, in those 15 days you can prepare your plant to be ready. So, it was not in the base case. What happened is let's say if there was early commissioning, which people had and they got an NOC from let's say the purchaser that they don't want to buy the power for some time , then you could sell it in merchant. That

it was a very special case, and it was not factored in anybody's
base case. In those conditions , you could have sold power in exchange basis infirm power. So, that is like an upside that is never part of any base case .

Manoj K Upadhyay : This is Manoj here, I want to clarify . Actually, now more and more distribution companies, they are hesitant to give any NOC. So, the day you generate the power, even if you are generating the partial power, it is in benefit for them to buy that power . So, they don't give NOC .

Puneet Gulati: Understood. That's very clear. And just two numbers on account . What is the actual cash tax paid during the quarter?

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Nikhil Dhingra: Cash PAT is what we have mentioned here ; it is 189 crores cash PAT .

Management: Cash PAT you mean , right ?

Puneet Gulati: No, cash tax, tax that you pay in cash.

Nikhil Dhingra: Tax in this quarter , we will just tell you . Arun ?

Puneet Gulati: And also on the other income side, if you can break it up between how much is the interest related part to it and how much is any other surcharge in some time?

Nikhil Dhingra: Sure. So, in this quarter on the standalone basis, we paid 6 crores of taxes in this quarter. And on the consol, on the power sale, there's no tax. Arun will confirm.

Arun Chopra: So, on the other income side, so interest on FD are -- is close to around 30 -odd crores. Fixed deposit.

Puneet Gulati: Okay. And balance of the 28, ye s.

Arun Chopra: Another 28 majorly include a mort ization of the deferred revenue of around INR 15 crores.

Puneet Gulati: Alright. That's helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Ankit Mittal from SBI Mutual Funds. Please go ahead.

Ankit Mittal: Yes, thank you for the opportunity. A few questions. So, firstly, on the cost part, cost seem to be fairly under control both on the employee and other expense front and I think this is despite us taking over employees from Cleantech. So, if you could just highlight on what's happening over there and how do you look at these costs going forward?

Manoj K Upadhyay: Right, right. So, see, in terms of the cost, we have of course increased it from the last quarter because of the transfer of employees from the ACME Cleantech to ACME Solar Holdings, like we had mentioned in our DRHP. So, it has increased because of that. But in terms of the revenue and the EBITDA, because we have operational leverage, so that is where the margins are higher because the HO cost doesn't increase because of capacity expansion. So, going forward, we don't see the HO cost going up, but of course as we do more projects, right ... and that will be part of the project cost of that project, we will hire a lot of people on the project side, but that will be part of that project.

Nikhil Dhingra: So, actually to clarify it, it is basically as you ad d more and more megawatt, per megawatt cost at the corporate level will go down.

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Management: So, basically, if you see these standalone financials, the costs have gone up, right, be cause there we are doing the EPC and all, but if you see our consolidated financials, the cost being majorly because of the project related people, it gets capitalized and gets knocked off in the capitalization front. So, you don't see a much steep hike in the consolidated financial whereas you see that in the standalone.

Nikhil Dhingra: Ankit, you can refer to the slide 26 of the presentation. So, on the standalone basis, our employee benefits have moved up from INR 24 to INR 36 crores and on a, on a consol basis, they are reasonably constant.

Manoj K Upadhyay: We've also taken consideration of RSU, because we have also factor ed the RSU will be issued through the senior management, that is also actually a method in the standalone, t hat's

around INR

12 cro res, right.

Ankit Mittal: Underst ood. So, a large part of this is EPC -related and that's why. On the other expenses as well on a YoY basis, that number has gone down fairly significantly. I understand there's been a part sale of asset.

Management: Yes, yes, just because of the 369 MW which we divested I ast year, right, so the main operational cost has gone out from there.

Nikhil Dhingra: So, the largest part of this other expenses is the O&M cost, correct which has gone down because of sale of the assets.

Management: And anyway, what will happen? It will further go down because what is happening, as we are adding more and more larger MW capacity, earlier we had a 15, 20, 30, 50 MW, margin will improve because with the larger capacity per MW O&M cost is much lower than the smaller capacity of the old project.

Ankit Mittal: Got that. The second question was on this 1,200 MW that you commissioned, and I think, I think 3Q would have been a softer quarter because it 's not fully commissioned, but generally what's the type of PLF that you've seen at that plant for this quarter and on an annual basis w hat sort of PLF should come in from this 1,200 MW?

Management: This 1,200 MW is designed to achieve 30% of CUF. When we started for example, last few days we are touching 32, 33, 31, right, so this whole plant will operate at 30% CUF.

Nikhil Dhingra: Because I will just mention the reason. So, it is located in the higher GHI zone. I think you have visited that plant. So, that is in Fatehgarh. And of course that is one reason we can do th e CUF. And secondly, there are DC capacity here is as you mentioned around 1,740-odd MW. So, 1,200 MW of AC as we are putting the CAPEX for around 1,740 MWp. So, these are the two reasons because of ACME Solar Holdings Limited

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which this will do higher and that will also lead to a higher CUF for us overall because the historical projects had a cap on C UF which newer project s since 2019 -20 don't have.

Ankit Mittal: Got that. Got that. Fair. And one last question in terms of near -term commissioning, I think we have some 450 MW lined up, 150 MW of wind and 300 MW of solar merchant. When do you expect those capacities to commission?

Nikhil Dhingra: So, we -- yes, yes, we are doing our best to commission the 350 MW in this quarter. So, that is the intent that 350 MW gets fully commissioned. Of course, we will do our best to try and do that. It may spill over to April, 350 MW in worst case, but that is what we are trying. And the 100 MW wind, again, we'll try in best case to do it by let's say between June to September quarter. So, that's of course our intent. And in terms of the other capacities also, we have not mentioned it in advance d stages,

but we have done most of the activities relating to land and transmission line. Basically, we will only say that whenever we say advanced stages, it is basically when the CAPEX has crossed 50%. So, that is what we mean by advanced stages of construction. In some cases, it is 70% CAPEX has been crossed. So, we will try and evolve some metric where we say advanced and, and where the stages of the construction of project are. But, as of now these are the projects which are in advanced stages of construction. Just on this merchant plant, I would like to say that we have won a bid at -- from SECI at INR 3.056, which we of course like we had earlier also mentioned we plan to move this merchant to any of our PPAs. So, this could be one of those PPAs where we transfer this merchant to SECI and that PPA requires you to supply power in -- before June '25. So, that is one PPA where this merchant could be shifted.

Ankit Mittal: Got that. That's fair. Thank you. Those were my questions.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra

a : Thank you for the opportunity.

So, yes, of that 2,340 MW of PP A signing, how much would have the back-to-back PSA signed with the discoms?

Nikhil Dhingra: So, Subhadip, the process works like the PP A don't get signed if PSA is not signed.

Subhadip Mitra: Understood. So, back-to-back it is?

Nikhil Dhingra: Yes

6 Stated as 3.5 during the call, however INR 3.05 is correct

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Subhadip Mitra: Perfect. So, that's, that's great. Secondly, given that there was a lot of noise around the fact that some of the older projects ... I am talking about on an all-India basis not ACME in specific, but some of the older let's say tenders which had gone out were lacking PSA and PPA signing, do you see any sluggishness or any let's say slowdown in terms of newer tendering because the government may want the older projects to see PP A, PSA signing, any of that sort happened?

Nikhil Dhingra: So, in terms of the, in terms of the newer bids, right, that's what you're talking about, so we don't see a slowdown, but of course there is a temporary, temporary sort of movement into ALCM regime, right, because that is a big change which has happened where the cells need to be domestically procured. So, that will result in a shift in tariff so that we have to see where the tariff stabilizes in that regime. But of course, in terms of the bidding this year we see all the four REIAs stepping up and trying to achieve the 50 GW targets which the government has given. So, no slowdown per se because of any other issues, but I think the ALCM will result in a tariff reset on the solar side, it will not result in anything on the wind and battery side, but on the solar side there is a small ALCM-related adjustment which will be percentage wise far less in an FDR E tender as compared to pure solar tender. So, we believe that it will definitely set in next by March or so. And this is the quarter generally where the bidding happens maximum because the targets are generally monitored very well in the last quarter.

Subhadip Mitra: Understood, understood. But then, then this also makes the bid that you have won far more attractive, right, because under the ALCM regime you would probably see a move up in terms of that?

Nikhil Dhingra: Yes, yes, we have to see how much very attractive or more attractive because that ALCM tariff is yet to be out but yes, it will definitely make them better for, for the purchase.

Subhadip Mitra: Understood. Last question is with regard to the newer capacities that you've been winning since the IPO, right? So, we used to talk about, I think 5.5 to 6 GW number earlier, now that number is already closer to 7 GW and you're planning to move towards a target at 10 GW by 2030. So, for the incremental new capacity that are being won after the fund raise, how do you see the equity funding of those projects will it be completely through internal accruals itself, will there be any requirement for further equity funding, if you can just give some color on that?

Nikhil Dhingra: Sure, sure, sure, Subhadip. So, in terms of the planning of these projects, how we have planned it is that we will finish them by 2028 and that's the calendar, because we have factored in a phase signing and a phase tariff adoption, right. And, and because of that, what we are seeing is that we will commission some projects possibly in '26, some projects in '27. So, as soon as we commission, we - our ability to securitize increases, right, our ability to get cash flow increases, right, and our ability to get EPC margin increases. So, as much commissioning we do, we generate very significant growth in accruals. So, as, as we commission something, our ability to do all these things improves. So, because of this phase wise commissioning, we don't see that we will have an equity gap in terms of

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this capacity which we have won. And of course, if we are able to win more capacities let's say in a very short period, right now on this capacity, we don't think we will need to raise equity because these commissionings are taking us to 2028. And because of that the cash flows and the securitization, the EPC margins from these three years will, will hold us in good stead in terms of funding these projects.

Manoj K Upadhyay: So, we want to clarify, securitization means the top up refinance.

Nikhil Dhingra: Basically, top up. Like we have mentioned in our presentation, we have raised INR 650 crores of

securitization in these nine months, which you can see that we have refinanced on Slide #6, INR 5,500 crores of refinancing which have yielded INR 650 crores of top up. So, you can say that whatever debt we have, so around 13% of it, we are able to get more debt. So, that is what we mean by securitization. This is not sale of assets, just to clarify.

Subhadip Mitra: Perfect. Perfect. This is amply clear. Thank you so much.

Moderator: Thank you. The next question is from the line of Tejas Fulbardua, an HNI investor. Please go ahead.

Tejas Fulbardua: Hi. First of all, congratulations on very good results and I believe the 1,200 MW commissioning that you did this quarter that was a good achievement as well. I have three questions. Firstly, I wanted to know do you have any exposure or any sale in the US given that the noise around IRA reforms, green renewable energy by the new government in the US. I believe no, but just wanted to confirm.

Nikhil Dhingra: Right. So, we don't have any sales to US because we are a utility. And in terms of the sale, all of our sale is in 25-year PPA to the utilities in India. So, all of our revenues is in rupees.

Tejas Fulbardua: Great.

Manoj K Upadhyay: So, let me also clarify there is a noise of this IRA review by the new administration in US. In fact, if you ask that first of all, we are not affected. We are not a module manufacturer or exporter. We are actually the power producer, and the power producer is to produce the power and sell it to India with under 25-years offtake. What it has given actually, if there is a delay or if there is an embargo in US, I think there are two, three advantages what IPP will be able to get. One is that people who are selling module at higher price in the US. If there is embargo, I think those modules will be available cheaper to IPP even in India or other part of the world. So, that's one advantage I see. Second advantage, I see that some of the ESG fund, which were really focusing in the US, now, if there is a slowness in US deployment, maybe they will come and do some, some project here. So, from IPP side I think, I see that, first, there is no effect. If there is an effect, it will be positive in terms of the cost and capital resource availability.

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Tejas Fulbardua: Great. That's great. The second question, I wanted to understand is, you gave an indication that you will see an annual EBITDA of INR 1,750 to INR 1,800 crores from the 2.5 GW that's online. And in one of the questions you responded that you expect around 350 MW going online in Q4 this year or maybe April '25. So, should I expect maybe around 10%, 15% additional revenue from that like INR 200 crores or higher revenue from that annually next year?

Manoj K Upadhyay: Yes, yes, it is more than that.

Nikhil Dhingra: Yes, you can expect that because like we said, I can tell you more about those projects. So, of the 350 MW project, 50 MW is at a tariff of INR 2.907. It's a wind project. Wind projects typically have a CUF higher than 30%. So, you can do the maths in terms of the revenue. And in terms of the merchant tariff, in the past quarter or so, we have sold power in the range of INR 2.7 to INR 3 sometimes. So, that's the

tariff you can assume on an average basis more than INR 3 we have for the merchant plan of 300 MW. Of course, like I said, we have got a PPA of 3.05 for that. So, if the PPA gets signed before June, so the 3.05 is the revenue on the 300 MW and otherwise closer to 3 only. So, this will definitely be more than 10%, yes.

Manoj K Upadhyay: And this will be also operating at 30% CUF, because these plants are designed with 150% of overloading.

Tejas Fulbardua: Okay, okay. And lastly 1,200 MW went online this quarter and even the debt that you paid this quarter from the IPO proceeds that would have resulted in some interest reduction. Yes? So, but that was not a full quarter impact, but I can see the EBITDA is around 89% and PAT is around 28% just Q3'25. So, can we say going forward similar level of EBITDA and PAT will be achieved or even higher given the full quarter impact or is there any one-off that happened in this quarter?

Management: Yes. So, this quarter is basically what represents a steady state as you rightly said, the assets got commissioned in the phased manner. So, in terms of the revenue, they have not added to the full capacity in the, in the quarter. But in terms of the percentage margins, we will be here (+/-2%) right, in terms of the EBITDA margins and the PAT margins. And of course, like you rightly said, again, the debt repayments also happen towards the end of the quarter only because we raised money around November. So, till the time we could pay notices, and it was December. So, yes, so the full impact of this debt repayments and of course the plant generation will come from this quarter. But in terms of the percentage margins, I think we'll be here $\pm 2\%$.

Nikhil Dhingra: And just to add, look, EBITDA margin will be sort of fairly consistent. And of course, like we said, we will have a lot of operating leverage here given that this capacity is commissioned, and manpower be fixed. But on the PAT level, it is dependent on number one on interest and number two on the tax

7 Stated as 2.97 during the call, however INR 2.90 is correct

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as well, right, because in our consolidated financial, you have the tax from the EPC business as well, right?

So, in case in some of the quarters when we will be making higher EPC profit, so here your EPC profit gets knocked off in the consolidated financial, but whatever tax we'll be paying on the EPC, on the EPC side of the business, that will get reflected on the PAT. And in that case, while notionally it will look on the lower side if at all there is higher tax payable on the standalone business. So, EBITDA will be fairly consistent.

Manoj K Upadhyay: And in terms of the EPC profits, I think it will be in the range of 5%. So, materially, it should not impact much because the EPC profits will not be basically in that range. So, materially, this should not alter the consolidated profit also. So, that's where I think plus/minus 2% you can look at.

Tejas Fulbardua: Great. Thanks for all the clarification.

Moderator: Thank you. The next question is from the line of Gopal from SBI Life Insurance. Please go ahead.

Gopal: Yes, hi, sir. congratulations on the good set of numbers.

Nikhil Dhingra: Thank you.

Gopal: Thank you for the opportunity. Sir, in this quarter, we commissioned this 1,200 MW. What is the contribution in terms of revenue and EBITDA for this quarter from these projects?

Nikhil Dhingra: Yes. So, this project contributed INR 80 crores of revenue in this quarter. And in terms of EBITDA, it is 90%, the same EBITDA you can take from that project. So, yes.

Gopal: And is it like the full potential of -?

Nikhil Dhingra: No, no, it is not full potential. It is of course this project can do an annual EBITDA of around INR 720-odd crores if you take 30% CUF. So, it can do at its best around INR 180 crores but it is seasonal,

right?

Manoj K Upadhyay: So, it will vary from INR 200 crores to INR 170 crores.

Nikhil Dhingra: Yes, yes. So, in the range you can say on an average basis, it can do INR 180 crores adjusted for seasons, in some quarter it may do higher, in some quarter it may do lower, but you can take the quarterly split from there.

Gopal: Okay. Sure, sir. And the second was on CAPEX. What is the CAPEX we have done till date and what is the target for the full year and next year?

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Nikhil Dhingra: Yes. So, CAPEX is very substantial in the gross block. So, basically this quarter our gross block got strengthened because of the commissioning, the C WIP got commissioned -

Gopal: Actual spend of money, not the commissioning.

Nikhil Dhingra: Yes, yes.

Gopal: How much have you spent?

Management: So, in nine months, we have done roughly INR 3,500 crores of CAPEX for this particular year.

Gopal: Okay. And what is the target for this year?

Nikhil Dhingra: So, this year, like we said, this 350 MW, we need to commission. So, Arun, any idea on what's the CAPEX left? I think less than that, it should be less than that, around INR 800 crores of CAPEX we will be doing in the next six months in next two quarters.

Gopal: And Financial Year '26, what is the CAPEX target?

Nikhil Dhingra: So, we have not yet frozen that because we keep on doing the land and the long lead ordering, we will try and incorporate that in our next quarterly presentation in terms of the CAPEX target for FY'26. What we are doing currently is, we are ordering the long lead items for those projects. So, we will be able to update you on the next quarterly call or, or maybe if we can earlier than that.

Gopal: Sure, sure, sure. And what was the gross block for this 1,200 MW?

Nikhil Dhingra: It is INR 4,600 crores. If you, if you look at the, I think the actual CAPEX, so INR 4,600 crores.

Gopal: Okay.

Manoj K Upadhyay: I think this is one of the best projects that we have commissioned on per MW basis.

Gopal: And sir, on this ALCM and all, will it have any impact on our CAPEX number, the capacities which we already have PPA or LOAs, will that have any impact on or it is a pass-through for us?

Nikhil Dhingra: It is no impact because if you read the ALCM circular, it is applicable only for the projects where the bids happen post that circular. So, actually those bids are yet to happen. They will start happening now as we speak. So, none of our projects is impacted by those orders whatever we have currently now. We don't have any impact, no pass-through also because we will not be even required to follow that order for these projects.

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Gopal: Okay. And in your opinion, with the current cell prices in India, what should be the increase in the tariff for pure solar?

Nikhil Dhingra: So, that's something which we need to see, because it's a very dynamic market because ultimately you are dependent on China for the value chain. So, we will not be able to comment on that, but it will result in some I think definitely a tangible increase. But like I said in the FDRE, the percentage will be lower as compared to pure solar tender because the solar CAPEX is just a part of the FDR E and it has wind and battery also. But it will be an impact. But of course, the market will decide that

impact because how much of the industry absorbs that and how much it passes it on is a function of the market dynamics . So, in terms of the tariffs, we cannot say , but in terms of the CAPEX, cell prices I can give you some idea that -

Gopal: Yes, that will help.

Nikhil Dhingra: Yes. So, let's say without these ALCM , typically cell constitutes currently around 25% of the overall module price if you look at the cell. You can do your sensitivities. I don't know the amount of the increase the cell

prices will have in India , because that's something markets still have to clear , because the lot of capacities are coming up in India. But typically , the sensitivity is like in terms of module cost itself is around 50% of the project cost , and out of that 25%, so around 12.5% of the overall project cost is cell. So , whatever increases there , that will be the sensitivity you can do.

Gopal: Okay. Got it. Thanks a lot , sir.

Moderator: Thank you. The next question is from the line of Abhinav from ICICI Securities. Go ahead.

Abhinav : Hi, sir, thanks for the opportunity . My question is when are you getting the debt tied up for the new under -construction portfolio ? And of this 4.4 GW under -construction capacity , how much have we achieved the financial closure? And also , post refinancing, what is the rate of interest and what was the earlier rate?

Nikhil Dhingra: Sure, sure. So, so , thank you . You can refer to Slide #6, I will answer that question, but you can also refer to slide 6 of our presentation. We have sanctioned for 1 ,700 MW of under -construction projects out of 4 ,400 MW of our total under -construction project. So , this is essentially 40% of our under -construction projects we have debt sanctioned which is amounting to around INR 16,500 crores. And in terms of the signed PPA, this is essentially around 80 %-90% because like I said, our signed PP As are around 2 ,300 MW. So, out of the 2 ,300 MW, 1,700 MW of projects have been sanctioned . So, in terms of signed PPA, it is a number of around 80%, but in terms of the projects won, it is around 40%. In terms of the rate for the refinancing, as we said, we have refinanced substantially large portion , we have taken the sanction , the actual debt disbursements are going to happen in phases. So ,
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in terms of the debt sanction, we have refinanced more than 50 %-55% of the current debt and the rates are in the average range of 8.8% which we have mentioned in the Slide 6 as well.

Management: And this will result in a reduction of roughly 70 b ps for the projects which are refinanced .

Nikhil Dhingra: On an average basis .

Abhinav: Okay. Thanks.

Moderator: Thank you. The next question is from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta : Hi, sir, congratulation on good set of numbers . So, my first question is, sir, you mentioned in terms of the grid connectivity, that grid connectivity for under -construction capacity is in place. So, in terms of land, so how would you kind of look at it , also most of the land in place for forward capacity we have ?

Nikhil Dhingra: Right , right . So, the land we of course keep on acquiring land for each of the projects. But in terms of our prioritization for the signed PPA one s we prioritize them in P1. So, we will give you update on the solar side and wind side both , so we are close to around 5 ,000-odd acres land for the under -construction projects and for the wind location around 104 locations we have the land for these projects .

Manoj K Upadhyay: So, that is equivalent to 500 MW of wind.

Nikhil Dhingra: Yes.

Manoj K Upadhyay: 400 to 500 MW.

Nikhil Dhingra: So, so and this number is , is very dynamic. It keeps on updating every quarter. We have chosen not to update it because it's very, very dynamic . And in terms of the timelines, this is -- we are acquiring land even for projects which are far ahead sometimes and , and of course our aim is, like we said , in terms of prioritization , our aim is that for the PP A signed projects, the land should be in place ideally within six months of the PP A signing , completely done and in , in worst case, around 9 to 12 months.

Akash Mehta: Okay. I think that's helpful . And second is I just wanted to clarify on this merchant capacity. So, that will be 300 MW and that 350 MW you mentioned that would be separate,

right? That's solar. Two projects are separate or -

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Nikhil Dhingra: Yes. The merchant capacity is only 300 MW. We don't have any more merchant capacity and that merchant capacity also; our intent is not to have merchant for 25 -years. It will be merchant till the time we find a good resting place for it in terms of a PPA. And we have found that with the S ECI tender of INR 3.05 which we have won . So, that is the only merchant we have in the portfolio.

Akash Mehta: Sir, how are you looking at merchant tariffs, moving on like from last maybe a quarter or so, are they

improving or still, there's more supply in the market ?

Manoj K Upadhyay: I think quarterly if you see that quarter -by-quarter, it has improved, but our fundamental is that we don't want to have a merchant actually . Three, four, five months, that's what our plan is to run it and after that find a PPA which Nikhil was explaining . And we have already found a PPA where we will fix -- we will transfer this project , right , at INR 3.058 tariff for 25 -years .

Nikhil Dhingra: So, for us, merchants is like a strategic thing to get our projects commissioned earlier . Basically, how we are looking at this is that we can commission them as merchant project and of course the bids allow you to use the operational project as one of the projects when you bid. So, your revenue can come essentially very early if you have an operational project in that PPA, so. So, that's the strategy we are using. Until the time merchants are profitable , because whatever the tariff is, it is definitely more than the 25 -year tariff at this point of time, right? . So, it is profitable to run it at merchant, but definitely we don't intend to run it on merchant for long -term basis because we are not in that business of taking calls on tariffs as far as our utility business is concerned. So, we will try and implement this accordingly.

Akash Mehta: Understood. That's it for my end . Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from UTI Mutual Funds . Please go ahead .

Nikhil Abhyankar: Sir, just a clarity. Sir, this gross block addition of INR 4,600 crores is a net of EPC margin that we knock off.

Nikhil Dhingra: Yes.

Nikhil Abhyankar: And now coming to the connectivity slide, there are three projects where we have applied for connectivity and not yet granted. So , do you believe that this might be a challenge for execution going forward ?

8 Stated as 3.5 during the call, however INR 3.05 is correct

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Nikhil Dhingra: Which projects are you referring to actually?

Nikhil Abhyankar: ACME Venus Urja.. .

Nikhil Dhingra: So, basically what happens is, yes, so typically this connectivity is in -principle grant is there , right? So, till the time we have the final grant, we don't say that we have secured the connectivity . But in terms of the in -principle connectivity, this is definitely assured. There is no risk in terms of this not getting allotted to us because how the procedure works is within a month of your application, the connectivity is given to you on in -principle basis , but as you get the final agreement signed this connectivity gets confirmed into the binding agreement, but there is no instance of this in-principle not going to the final connectivity.

Nikhil Abhyankar: Okay. And sir, we have refinanced our operational projects at 8.8%. Is there any scope of further reduction in these rates because there are some players who are doing it at lower level as well ?

Nikhil Dhingra: Yes, yes . So, we have mentioned to you the average rate. Even we are able to get rates of 8.6 , 8.5 also for some of our projects . See, sometimes what happens is , it is a tradeoff between taking securitization proceeds and the rate because you have to take a call , define

itely lower rates are possible

just to answer your question, definitely lower rates are possible , because the rating of these projects , already we have managed to get AA - for our refinancing. So , the rating upgrade is a company -specific upside which will help us in getting lower rates because we have just done the IPO , we have just paid the debt on the corporate level basically on the consolidated level. So, we will basically get the upside of that in the upcoming quarters . And of course, the rates from a company -specific reason , one is the rating upgrade because of the overall equity raise. And secondly , because of the rating upgrade, because of the counterparties AAA for us in all of our PPAs , which we are executing. So , as we said on the operational side also , around 70% is AAA. So, that is the upside possible on the company -specific reasons . Of course , that's again a macro call whether the rates will be cut or not. Because what we are trying to do is borrow more on the variable rates and which will help us come down as the MCLR comes down. So, that's a macro call, which I think you guys know better on that, but on the company-specific reason there is definitely room to improve on these rates . And some of these loans we are taking have a rating -related rate reduction also . Let's say in some products we got a Single A rating . But if we manage to go to AA, the rate will fall by let's say 25 to 30 basis points.

Because the rating upgrades, the rates can come down depending on each specific product.

Nikhil Abhyankar: Thank you. And sir, now harping back on our equity requirement over the next three, four years, the back of the paper calculation shows our CAPEX of around INR 45,000 crores in the next three years to complete the entire 4.6 GW of pipeline. This will entail equity requirement of almost INR 7,500- INR 8,000 crores . So, how do we exactly plan on achieving that?

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Nikhil Dhingra: Right. So, it is, I think, three sources of equity for us like we said. So, we have raised INR 2,400

crores of IPO money, right. So, that is the most significant part of that INR 7,500 crores requirement, then of course securitization proceeds are the second most important part of that component, out of which we have already managed to raise around INR 650-odd crores like we mentioned in these nine months. And of course, the SECI project we just updated you, will add at least INR 1,000-odd crores in terms of securitization proceeds. So, you can say securitization will add around INR 2,500-odd crores on top of the INR 2,400 crores we have from the IPO. And the third source of this is the construction margins. Like we guided you on the 5% to 7% EPC margins. On whatever we construct from this INR 45,000 crores, so you can expect EPC accruals of around INR 2,000 to INR 2,500 crores. So, these are the three sources. On top of that, there is free cash flow from running projects. So, that will also give us buffer to have more cash flows than required.

Nikhil Abhyankar: Sure, sure, sir. Thank you and all the very best.

Nikhil Dhingra: Thank you.

Moderator: Thank you. The next question is from the line of Jainam Jain from ICICI Securities. Please go ahead.

Jainam Jain: Sir, so, when do we expect the conclusion of PPA signing for 190 MW plus 150 MW FDRE requisites?

Nikhil Dhingra: Yes, so that's the question we also keep following on with SECI. So, ultimately, the PPA signing is done by SECI. So, what we understand is that they are in discussion with a few state governments, principally some of the states which they have already signed up with, like SECI has signed up with Chhattisgarh for 190 MW. So, that is the one party which they are talking to for the rest of the capacity... and of course they're talking to Uttar Pradesh, Madhya Pradesh for this. But that is up to them. So,

we don't have a day-by-day status for the PPA signing. But what we understand is they should be signed soon because half of the capacity is already signed. So, some of the state utilities are already fine with this tariff, fine with the PPA construct. So, they are more likely to be signed in a month or so. That is what we will hope. But it could take two months also.

Jainam Jain: Okay, sir. Sir, is there any bid which we have won in the last three months, which is not included in the presentation?

Nikhil Dhingra: I think we won 1,250 MW in the last three months. It is included in the presentation.

9 Stated as 250 during the call, however 1,250 MW is correct

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Jainam Jain: Alright. Okay. And sir, do you start the work or commit capital before the order is reserved by the CERC or signing off PPA?

Nikhil Dhingra: We take the connectivity because the connectivity is applied on the basis of the letter of award. So, connectivity we take, there is no cost attached to it other than the very small, bank guarantees you need to give, then we start acquiring land, because land is something you can use for any project, right, so land is a useful resource, and it is an appreciating resource. So, we start buying land at the place where we take connectivity, but that is less than 1% of the CAPEX. But of course, and this CAPEX is reusable, this is not something which is sunk if there is any issue on that option and all things. So, we don't do CAPEX, which is non-recoverable before the tariff is adopted.

Jainam Jain: Okay, sir. The 1,000 MW capacity which you commissioned in October '24, was it project commissioned with the tracker technologies?

Nikhil Dhingra: Actually no, because what we have realized is the tracker make sense more in the FDR E tenders where you get the premium for time of day because you need to give peak power, you need to basically have power at all times of the day, and you are incentivized with the peak power tariff. So, trackers we plan to use mostly on the FDR E tenders, we don't have them in the plain solar projects, but we do have like we mentioned a DC-to-AC ratio of around 40%, 50%. So, that is something we do. That compensates for not having trackers more than adequately.

Jainam Jain: Alright sir. That answers my question. Thank you and all the best.

Moderator: Thank you, ladies and gentlemen, that brings us to the end of the question-and-answer session. I would now like to hand the conference over to the management for the closing comments.

Manoj K Upadhyay: My name is Manoj Upadhyay. I would like to thank you all for patiently hearing and asking the right questions.

This quarter has been a very, very important thing for us because this 1,200 MW, one of the biggest projects we were making and it was important for us to achieve it.

We also wanted to show performance improvement especially in the PAT side as well as on our CUF side. I think our team has done exceptionally well on that.

We are also able to create a pipeline not up to '26, but beyond '26 also. And our focus will remain that any future pipeline or whatever we create, we create towards '28 to '30 timelines, so we achieve a 10 GW, our target.

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We are still building more resources on the team side; so a very senior person who joined us as a president of our execution on projects, he came from the very well-established AB B background

where he was the M.D. of the AB B Execution India and that company became Linxon. On the quality side also, we are improving because we will do so many projects and we have added many, many project directors. So, they ensure that we are in cost and quality we are managing that. And ACME is known for its innovation and this thing. So, we want to also do that, put the new technology in test and I t

think in this quarter or next three, four months, we will set up one small FDRE project because I have seen in many interaction that people had some concern on FDR E, although, yes, FDR E is not this thing because we have been forecasting our power under deviation settlement mechanism for last four, five years. So, technically it is the same deviation settlement mechanism and forecasting with the battery inside which will improve it further.

On the IRA side, which I mentioned it, this was a concern at various levels you raised to me and I believe that something will help on this because there will be enough capacity available at lower cost in India especially on the supply chain side.

Third thing, we expect that next quarter if the government thinks on or the RBI thinks on the interest reduction, we are hopeful. And from our side, I think what we can do is we are focused to improve our credit rating. My team is working on that. So, we expect a credit rating improvement because after IPO we expect that to happen. So, that's one area we will work on that.

I want to tell you that on behalf of the entire team as a company, we are very focused on the operational cost, operation excellence, timely execution of the project. That is what is known about technique. We will keep on experimenting new technology which will give us edge to not only reduce the cost in current project but also to work and win in the future project.

Thank you very much again for patiently hearing our information and I look forward for your continued cooperation.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

Leading Through Innovation

ACME Solar Holdings Limited

(formerly ACME Solar Holdings Private Limited) CIN: L40106HR2015PLC102129

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May 26, 2025

To To

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Dept., Corporate Relationship Dept.,

Phiroze Jeejeebhoy Towers, Exchange Plaza, Plot No. C/1, G Block,

Dalal Street, Mumbai 400001 Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 544283 Symbol: ACMESOLAR

Reference: Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, as
amended ("Listing Regulations") and our earlier intimation dated
May 14 , 2025 regarding Earnings Call with analyst(s)/institutional
investor(s)

Subject: Earnings Call transcript of the Investors Conference Call held for the
audited Financial Results (Standalone and Consolidated) of the
Company for the quarter and financial year ended March 31, 2025

Dear Sir/Madam,

In terms of Regulation 30 and Regulation 46 read with Part A of Schedule III of
the Listing Regulations, please find enclosed herewith the transcript in respect of
Earnings Conference Call with the Analysts/Investors held on Tuesday, May 20 ,
2025 on the Audited Financial Results (Standalone and Consolidated) of the
Company for the quarter and financial year ended March 31 , 2025.

The Transcript of the conference call has been uploaded on the Company's website
and the same can be accessed from the link provided below:

https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/20-05-2025_Q4FY25-Earnings-Call-Transcript.pdf

You are requested to take the same on your record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

Encl: As above

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"ACME Solar Holdings Limited 's
Q4 & FY'25 Earnings Conference Call "

May 20, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 20th May 2025 will prevail.

MANAGEMENT :

- Mr. Manoj Kumar Upadhyay – Chairman & Managing Director, Acme Solar Holdings Limited
- Mr. Nikhil Dhingra – Chief Executive Officer, Acme Solar Holdings Limited
- Mr. Ankit Verma – Head of Corporate Finance, Acme Solar Holdings Limited
- Mr. Rajat Kumar Singh – Chief Financial Officer, Acme Solar Holdings Limited
- Mr. Arun Chopra, Head of Finance & Accounts, Acme Solar Holdings Limited

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Moderator: Ladies and gentlemen, good day and welcome to ACME Solar Holdings Limited Q4 FY '25 Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference has been recorded. I now hand the conference over to Mr. Sabri Hazarika. Thank you and over to you, sir.

Sabri Hazarika: Yes, good morning everyone. On behalf of Emkay Global Financial Services, I welcome you all to the Q4 and FY '25 post-earnings conference call of ACME Solar Holdings Limited. We have with us the senior management from the company.

Today's session would be discussion on the results, followed by a question and answer round. So, without any further delay, now I'd like to hand over to Mr. Nikhil Dhingra, CEO, for the opening comments. Over to you, sir.

Nikhil Dhingra: Thanks a lot. Good morning. A warm welcome to all of you. I am Nikhil Dhingra, the CEO and Director on board of the company. I have with me Mr. Manoj Kumar Upadhyay, the Founder and Chairman, Mr. Rajat Kumar Singh, our Group CFO. He's a new addition to the team, so a big warm welcome to him. Ankit Verma, Head of Corporate Finance. And Arun Chopra, who is Head of Finance and Accounts and our Group Controller.

It is my pleasure to share with you all the business and financial performance and other key updates for the year gone by. I'll start with first the highlights of our business and financial performance, and then followed by a brief of our view on the industry. So, financial year '25 has been a landmark year, a great year for ACME Solar, marked by disciplined execution, robust capacity growth, and continued emphasis on improving our offtake profile to central end, and also, most importantly, the financial prudence.

So, we have achieved substantial capacity growth this year by adding 1,200 megawatts of solar capacity on the top of 1,350 odd we had at the start of the year. And that is how we have reached to a sizable number, closer to 2,700 megawatts. And we have won another 1,900 megawatt of bids across FDRE, hybrid and solar technologies, taking our total project portfolio to approximately 7 gigawatts.

In terms of the near commissioning projects, 450 megawatts, are completely, very ready to produce revenue. Just to give you a break up of that, 300 megawatt Sikar plant in Rajasthan has successfully commissioned 165 megawatts. We got the commissioning of 112.5 megawatt yesterday evening, with the remaining capacity of around 135 megawatt under commissioning expected to be commissioned in the next 30 days.

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Given the favorable average merchant price of around INR3.1 per unit, which we have realized so far, we intend to initially operate the plant in the merchant market. Subsequently, as the opportunity arises, we will try and move the plant to a PPA. The project will also benefit from an ISTS waiver, enhancing its attractiveness for the offtaker. On a run rate basis at the indicated tariff, which is currently going on, it is expected to generate a top line of around INR230 to INR240 crores when fully operational.

In terms of the wind project, our 50 megawatt project is under commissioning. We have received almost final approval for around 26.5 megawatts, which we are trying to commission in this week, and the rest of the capacity we are trying to commission again in the next 10 odd days. The balance 100 megawatt is at advance stage of construction. The equipment has already reached the site, and we are expecting to get that running in phases, with the first

phase running in the early part of the second quarter and the complete commissioning in the later part of the second quarter. Our operational capacity as of today stands at around 2700 megawatts, and with the commissioning of the balance near commissioning project, which I just spoke about, we will be touching around 3 gigawatts soon. Now coming to our under construction project, and first of all, their PPA /LOA Status. Our under construction locked in capacity stands at 4.3 gigawatt today, out of which around 2.2 gigawatt is already PPA signed, and balance 2.1 gigawatts are LOA awarded for which PPA signing is expected soon.

In terms of the PPA signing, what we are seeing is there is bunching up of these PPA signing, which we are expecting. It is, of course, delayed than what we thought initially, but we are getting very good traction, and we are at a final stage of around three PPAs, which will aggregate to around 750 megawatts. We are hopeful that they will be signed very soon. Tariff has been adopted, and order has been reserved for over 90% of the projects I spoke about of 4.3 gigawatts. Around 80% or 3,380 megawatt of under construction projects are dedicated to FDRE and hybrid energy solutions. This strategic shift positions us to deliver flexible power, and of course, in terms of the direction of the market, which is oriented towards the FDRE and hybrid solutions.

In terms of the connectivity and land, which are the fundamental building blocks for under construction project, we have connectivity in place for the entire portfolio, which we have mentioned before as well. Other than that, we have surplus connectivity in place, both applied and secured of 2,500 megawatts for our future bids.

With respect to land for our PPA signed, under construction projects, over 50% land for the solar component, and over 60% land for the wind component has been acquired. Additionally, we have applied for over 10,000 acres of government land, which is currently at various stages of approval process, and will support our under construction project and future pipeline projects.

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On the financing front for the under construction project, we have secured sanctions of around INR16,500 crores, covering 1,700 megawatts of projects in our under construction capacity. We are trying to optimize interest during construction, and therefore, we don't take sanctions for the projects which don't need the debt part of the financing in the next 2, 3 months. So, we have the in-principle approvals, but we try and take the sanctions just around when we need disbursement. Additionally, we have successfully received refinancing sanctions of around INR7,700 crores of debt for our operational projects at an average interest rate of 8.8% per annum. This refinancing would yield a significant benefit, reducing the average interest rate on these projects by about 75 basis points, and we expect this refinancing benefit to compound further, given the interest rate trajectory and the credit rating profile of our assets, which is improving.

Regarding an update on our creditworthiness, in February 2025, Crisil upgraded our credit rating to A+, and assigned a positive outlook, reflecting their confidence on our future performance. Also, 750 megawatts of our operational projects last month received a AA - rating. As you would know, the rating of a project is determined by the financial strength of the project, as well as the counterparty. So, these projects just got commissioned. This is part of the 1,200 megawatt projects we commissioned in January.

So, as you can see, as recent as 2, 3 months after operation, this achieved a AA - rating, which shows the strong operational performance of this asset, as well as the AAA counterparty it is working with. So, that's a good precedence for us, as we move to refinance all the other part of the

1,200 megawatt projects, which we commissioned in January. Additionally, the Board declared an interim dividend of 10% for the period ended 31st December 2024.

Coming to the equipment orders and the capex lock-in for our under construction project, let me highlight the strategic progress we have made in securing commitment for the critical equipment orders, which is key to ensuring timely execution and cost efficiency. We have locked-in prices for the long-lead items, and appropriate hedges are in place for the imported equipment. For battery, we have locked-in prices with suppliers, complemented by appropriate currency hedges to mitigate market volatility. This positions us favorably, as we have locked-in prices at the optimum end of the capex prices. Additionally, commitments are in place for various

associated equipment, like PCS, transmission lines, power transformers, and wind turbines. Each of these components represents a very important part of our growth pipeline, reinforcing our ability to deliver scalable and high-quality renewable energy solutions.

We are also optimizing grid infrastructure by adopting new solutions like gas-insulated substations. This also helps us to meet our goals of reliability, safety, and sustainability, as they require less maintenance, save space, and deliver superior performance.

Now, coming on to operational performance of our portfolio, which is operational. We are further pleased to report a significant improvement in our capacity utilization factor, which is

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the cornerstone of our revenues. This capacity utilization factor for us reached 25.6% for this year, and this is definitely slated to improve, as we are currently improving the proportion of our portfolio, which is running in Rajasthan, which is the highest GHI zone in the country.

The performance translated a substantial generation of around 401 crore units, a 55% increase compared to the previous year. This growth was primarily driven by our successful 1,200-megawatt capacity expansion, which, as I just mentioned, has been increased to around 1,365 by commissioning of the 165-megawatt, which we just announced.

Our plants continue to demonstrate high reliability, maintaining an average plant availability factor of 99.5%, which is industry-leading. Furthermore, our strategic focus on Rajasthan, one of the highest solar radiation zones in India, has resulted in a CUF of 29.4% for the plants in the area, and this is significant because it's a very substantial part of our portfolio, which is delivering this kind of CUF.

And that will help us improve in next year on the CUF, because this year, we had a partial run for our 1,200-megawatt plants. Next year, we will, of course, have the full run for our 1,200-megawatt plants. This new plant of 300-megawatt, which is just getting commissioned, also is part of the Rajasthan portfolio.

On our financial performance, I'd like to highlight key figures, both for the quarter as well as for the full year financial year '25. One key point to note here is that we monetized 369-megawatt of our operational assets in quarter four, FY '24. Thus, for a like-to-like periodic comparison, we should compare the performance on the adjusted basis. So, on a like-to-like basis for the quarter, we reported total revenue of around INR539 crores, which is up 73%, and EBITDA of around INR488 crores, up 119% on a year-on-year basis.

The PAT and cash PAT for the quarter stood at INR122 crores and INR238 crores, respectively. Now, on a full-year basis, we generated total revenue of INR1,575 crores, which is up 32% over the last year, and EBITDA stands at around INR1,400 crores, which is up 43%, with a margin of over 89%. PAT and cash PAT stood at INR251 crores and INR559 crores, up 290% and 155%, respectively. Throughout the year, we definitely prioritized strengthening our

financial

sheet and optimizing capital management.

As of FY '25, our net operational debt to EBITDA stands at 4.4, which is well within our guided range of 5.5. Our net debt to net worth ratio has improved to 1.7x, reflecting continued progress in our financial discipline. During the year, we expanded our asset base by around INR4,100 crores, bringing the total gross block to around INR15,500 crores. We continue to maintain a robust liquidity position with cash and bank balances of around INR2,900 crores as of FY '25. Now, just briefly touching upon the industry scenario. So, on the industry side, of course, the power demand growth in FY '25 was lower than expectations at around 4%. It was muted

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because of the higher base and also due to the higher than expected rainfall and favourable monsoon.

The peak demand was 250 gigawatt in May last year and is expected to peak over 270 gigawatt this summer. And of course, we did very well on the renewable capacity addition as a nation. We added around 30 gigawatt during the year, bringing the total RE capacity to over 220 gigawatts.

Solar, of course, has been the leader with adding 23.8 gigawatt of new installations, taking the total solar capacity to around more than 100 gigawatts. And of course, the wind also reached a milestone of around 50 gigawatt. So, new tenders were rolled out for over 50 gigawatt in FY '25, largely comprising of hybrid and FDRE tenders incorporating battery storage.

In terms of the key policy shifts, the government really upped the policy making in terms of getting these PPAs signed early. So, now we have policies in place which require the tariff

adoption to happen within a month of the bid. And we also have the binding timeline for signing a PPA for the new tenders.

We are also seeing that the battery has become an integral part of all our projects which will come up in future. Of course, as we move forward, we are seeing the impact of ALCM which is basically not allowing us to import cells from China post-June 26, to be correct. And that is already reflected in tariffs. There is not a large shift in tariffs, but of course, that will help improve the attractiveness of the current tariffs for us.

We are observing a clear shift in the energy dynamics towards reliably meeting the rising base load and peak power demand using renewable energy, a transition which will be facilitated by adoption of low-cost energy storage solution to integrate the intermittent renewable power. I would now request to open the floor for questions, which our team will be happy to answer.

Thanks a lot.

Moderator: Thank you very much. The first question is from the line of Mohit from ICICI Securities. Please proceed.

Mohit: Good morning, sir, and thanks for the opportunity. My first question is, can you please tell us the timeline for these large construction projects, especially 380 megawatts, FDRE and 680 megawatts?

Nikhil Dhingra: Right. Sure, Mohit. Thanks for participating. So, in terms of timelines for this project, the PPA got signed for 190 megawatts of the 380 megawatts in June of last year. So, the scheduled COD of that project is June of next year. 2 years' time you get to execute. And similarly, for the 320 ACME Solar Holdings Limited

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and 250 megawatt, that's around 5701 megawatts of SJVN, that's also the timeline is May 2026 as per the PPA.

So, we, of course, have financing for both these assets. We do have the land for these assets, which where PPA is signed. So, we are in the middle of like the equipment we mentioned about ordering of GIS, ordering of transmission line, ordering of transformers, ordering of batteries.

So, all these are geared up for these projects. So, that's where we are. We have started construction. And of course, we have started the transmission line for these

projects. So, we are

geared up to execute these projects in the scheduled timeline of May and June next year.

Mohit: And second question, any color on the financial closure of all these three projects, 320 -- 380 megawatt, yes.

Nikhil Dhingra: So, all of them are financially closed. And they closed, I think, the INR16,500 crores we mentioned in this quarter and last quarter, they were part of that. So, these were financially closed even before the last quarter ended. So, they are all financially closed.

Mohit: All three, right, sir?

Nikhil Dhingra: All three. The 380 megawatts, of course, includes the PPA, which has not been signed also, because the PPA is signed only for 190, but the 380 is also financially closed.

Ankit Verma: On page 26 of the earnings presentation, we have highlighted which all financial closure has happened for all the projects. Maybe you can...

Mohit: Is there any expectation on the PPAs for the balance capacity for the various signed PPAs partly?

Nikhil Dhingra: Yes. So, we are in a very advanced stage with multiple states on these. There are two PPAs which are partially signed. One is this 190 megawatt and another is 200 megawatts of solar plus battery, which is at a tariff of around 3.42. So, these two, we are at a very advanced stage of discussions with the states which have already taken partial and also the new states. And we are getting good traction on them. We are hopeful that these will be signed in, let us say, a month or so. Of course, the primary discussions are being held by the REIAs and the tariff has been adopted.

The good thing is both these tariffs have been adopted by CERC a long time back now, 3, 4 months have passed. and also by the state regulators, wherever PPA has been signed. So, that gives good comfort to the customers who have bought this power.

Moderator: The next question is from the line of Apoorva Bahadur from IIFL Capital. Please proceed.

1 Stated as 580 MW during the call, however, 570 MW is the correct reference

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Apoorva Bahadur: Hi, Nikhil. Thank you for the opportunity. You highlighted that you have locked in the capex for the batteries. Can you share that number with us? What is the estimated or expected cost over there? And who would be the suppliers, I mean, based on the tiering?

Nikhil Dhingra: Sure, Apoorva. Thanks a lot for joining the call. So, in terms of the capex, I will not be able to divulge specific numbers. But what I can tell you is that it is definitely much below the budget we had in terms of the initial bid budget. How do we plan for the project is, we take the current prevailing prices at the time of the bid. So, they are much below that.

And of course, in terms of the tiering, they are all tier 1 suppliers. And they are all from China, of course, because as you know, China is the primary supplier for the lithium-ion phosphate batteries which we are procuring. So, the good thing is that there are enough and many suppliers which allow you to procure at scale and also procure within the timelines which you need.

So, the good thing about batteries is that and good thing about our portfolio is that we have a large proportion of that in the central connected projects, right? So, out of our operational capacity, more than 60 %-70% is now connected to the central grid. And that allows us to maybe, if we are able to execute faster, play the merchant market on the battery side.

And that is another reason other than hedging the capex. We have also tried and preponed the battery side which of course can leverage the already operational substations we have with all the associated infrastructure. So, in terms of the capex, all I can tell you is that it's a very competitive price and that is why you are seeing the impact of that also in the tariffs.

So, that's a good thing. Of course, there are counterbalance

s, the capex falls and various other

things keep moving. So, like ALCM has also come in. So, there is a counterbalancing all the time in terms of tariffs. But all I can tell you is they are below the bid budget we had. And we will be able to share as we capitalize the asset because as you would appreciate, these are all competitive bids. So, it will not be wise for us to give the specific numbers.

Apoorva Bahadur: Sure, sir. Correct me if my understanding is wrong, but I believe that the projects that we have already bid for are not under the ambit of ALCM, right?

Nikhil Dhingra: In none of the projects which we have bid for are under the ambit of ALCM. But how it impacts us is that the new bids come under the ambit of ALCM. So, for the customers, new bids and old bids are the same, right? They care about the prices. It's a commodity, right? My power is not different from the earlier power, right? So, in terms of the benchmarking, it gives us some benefit in terms of having the old PPAs because the ALCM will have an up move on the tariff.

Apoorva Bahadur: Okay. And we'll be importing battery cells or packs for the entire base system?

Nikhil Dhingra: Entire base system, Apoorva. Entire base system.

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Apoorva Bahadur: Okay. And when would be the soonest that we can see first units being commissioned over here? Any timeline on that?

Nikhil Dhingra: Yes. We are targeting Q3, Q2, late Q2 to Q3 is our target, stress target. We are trying to do a pilot also, which we are trying to finish in Q2. And the large scale battery we are trying to do in Q3.

Apoorva Bahadur: Okay. And last question on this battery side is that these suppliers, what sort of warranties do they give?

Manoj Upadhyay: They are giving 20 years of warranty and with the degradation cycle, leaving up to 70%.

Apoorva Bahadur: So, the way to think about this is that the battery will last at least 70% of its rated capacity by the end of 20th year.

Manoj Upadhyay: Correct. It is similar like modules. You are right.

Apoorva Bahadur: Okay. And this is 20 years based on one cycle per day?

Manoj Upadhyay: One cycle per day. Correct.

Apoorva Bahadur: Okay. Understood. Thank you so much. I'll get back in the queue for more questions.

Moderator: The next question is from the line of Nihal Shah from Prudent Corporate Advisory. Please proceed.

Nihal Shah: Thank you for the opportunity and congratulations on the great set of numbers. So, my question was regarding capacity utilization factor. So, this year, our CUF is pretty high. And was it because of the new 1200 megawatt capacity that came in? What was the capacity utilization factor for that facility in the last quarter and for the old facilities in the last quarter, if we can bifurcate?

Nikhil Dhingra: Sure. So, in terms of the capacity utilization factor for this new project which we have commissioned, we did more than 30% CUF, 32% to be exact in the last quarter. So, this is a very high CUF. Of course, you are right that operationalization of this 1200 megawatt project in Rajasthan and that too in the highest sunlight zone of Rajasthan, which is Fatehgarh, which has helped us get the CUF up to 25.6%.

And as you mentioned, Rajasthan as a state, if you look at our portfolio there, which is very large, that has done around 29.4% CUF on an annualized basis. So, as we move forward and we capture the full year impact of this project next year, the CUF is bound to go up.

2 Stated as 25.4% during the call, however, 25.6% is the correct reference
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Nihal Shah: Okay. And how much do we expect the CUF for the FDRE projects to be? And by when can we estimate our FDRE projects to commission in FY '26 and FY '27, if we can give a number?

Nikhil Dhingra: Right. So, in terms of the CUF, it depends on the

configuration and of course, it varies from bit

to bit. But let's say there is a minimum CUF you need to give in each bid of around 40%, which is on an FDRE. And hybrid, it is typically around 30%. And in some FDREs, it is 50% minimum CUF. So, given our configuration, we are marginally above the minimum CUF in all these FDREs. So, you can say in a 40% bid, it will be around 43 % to 45%. In a 50% bid, it will be around 50 % to 55%. And of course, on a hybrid, it will be around more than 30%, maybe around 35%, 40%.

So, that's the CUF, of course. So, that will give a higher revenue per megawatt of contracted capacity. Of course, it will have a higher capex per megawatt of contracted capacity as well. But of course, the return ratios are favorable, quite favorable.

Nihal Shah: And so, the other question was, when can we estimate a pencil in some of the capacities of FDRE commissioning in FY '26 and '27?

Nikhil Dhingra: Yes. So, as we mentioned that our base case is May -June, like when Mohit asked. So, May and June is the first FDRE schedule date. But what we'll try, wherever the substation is ready on a short-term open access basis, we'll try and commission it sooner by building the plant and the transmission line and every other thing. The issue with operating on STO is that you don't get a binding commitment to evacuate. So, that's a slightly lower realization of your capacity. But given that we are all geared up to execute faster, we will try and prepone this. But on the base case, it is May and June of '26.

Nihal Shah: Okay. And when we talk about the cost of debt, so we've seen a reduction in INR7,700 crore debt that we have of 75 basis point. So, moving ahead, how much can we see a overall cost of debt reduction in the coming couple of years?

Nikhil Dhingra: Right. So, we have only refinanced right now one of the project of ISTS, which is 300 megawatt out of the 1200 megawatt, which we recently commissioned. And that got us a rating of double AA-. So, as you know, interest rates are dependent on the credit rating. So, we are expecting that all of this 1200 megawatt should get a good rating in the similar band, which the earlier project has got.

So, right now, if we borrow, we are typically getting 8.5 % to 8.6% at that credit rating. Of course, it is expected to improve as the rates fall, which is again a macroeconomic thing. We are not really projecting it, but of course, it is likely to happen that in terms of the, if the rates fall, we are likely to get some benefit of the new refinancing. Of course, what we have refinanced already is locked in for a year.

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So, we'll not get a benefit for at least a year where we have already taken a disbursement. But where the sanctions are in place and we are dependent on our base rate, we may get benefit depending on when we take disbursement. So, it is expected to reduce and the reduction could be dependent on the base rates, which are expected to reduce.

And of course, the improvement in credit rating allows us to get the best in class rate for an operational asset, which is around 8.5% today for a AA asset. Of course, we are taking long term financings. We are not taking a short term 5 year, 7 year financing. These are all long term financings we have taken for 20 years, which allows us to get free cash flow to equity, which we need to do capex and which allows us to improve the return ratios of the project also.

Nihal Shah: Okay. Thank you. Thank you very much.

Nikhil Dhingra: Thank you.

Moderator: Thank you. The next question is from the line of Akash Mehta from Canara HSBC Life. Please proceed.

Akash Mehta: Yes. Hi. Just, can you help with the capacity additions that we are kind of expecting in fiscal '26 and '27? I mean, you have given a number of 7 gigawatt by '27, '28. But if you can just help us with the year wise number. And

second would be, I mean, any ballpark EBITDA that we could kind of be looking at in terms of forecast, yes.

Nikhil Dhingra: Right. All right. So, on a FY '26 basis, we are very close to achieving our targets as per PPA

timelines. 450 megawatt is what we are adding in this year. And that's the AC basis. On a DC basis, it could be, you can say 600 megawatt peak around that number. In terms of the FY '27, bulk of our capacity is coming up in FY '27, which is as per the signed PPAs, which we just mentioned around 2.2 gigawatts, right? So, 2.2 gigawatt of capacity is coming up in FY '27 because all of their PPA has been signed. So, Ankit, correct me if I'm wrong. 2.2 gigawatt is what should come up in .

Ankit Verma: 1.89.

Nikhil Dhingra: 1.89 gigawatt in FY '27. And then, of course, we are building the rest of the plants also. But I'll be able to give you the timeline once the PPA gets signed. But that is something which we are expecting in FY, beyond FY '27, where the PPAs have not been signed, but we have begun construction. So, our execution will not get delayed. But of course, we will not do capex until the PPA gets signed.

So, that is the capacity which will shift beyond FY '27. But we have already blocked connectivity's, which allows us to commission before FY '27. But we will get, let's say, a grace period to commission post FY '27 also, because you get 2 years to commission post PPA signing. So, the rest of the capacity you can put beyond FY '27, which, Ankit, you can quantify what's that number.

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Ankit Verma: It's roughly around 2 gigawatts.

Nikhil Dhingra: Roughly around 2 gigawatts, yes.

Akash Mehta: Okay. I think that's helpful. And I mean, in terms of incremental bidding, so since there are a lot of things in pipeline, you'll be looking for more projects or probably you'll be looking to enter, maybe you'll take a break, maybe for 6 months or a year, and then looking at more projects for your 10 gigawatt target for fiscal '30.

Nikhil Dhingra: Yes, yes. So, see, you're right. In terms of the bidding space and time, we've already taken that. We have not won in last, as you would have seen in the last 6 months, we have not won much capacity. Of course, the bids have been also slow. But in this industry, what you have to also realize is that it's a question of optimizing tariffs and optimizing the construction timelines.

So, what we are trying to do, rather than being aggressive on the bids, is being aggressive on the execution ahead of time, like we have already built a merchant plant in Sikar. So, that plant is a very big strategic advantage for us because we can plug into any of these PPAs which we get or which we have not got still and commission it immediately. And considering the merchant market today, we have a very healthy tariff going on for the next couple of years, given the peak deficit.

So, what we are trying to get is some of the connectivities which we have. We will try and build those connectivities. And we are able to get financing also for the merchant plants. So, we will keep on building these plants once we get financing. We will not build a plant where we don't get financing on the debt side because we want to cover our risks. And of course, we will put them into a PPA when we get a good bid.

And of course, we will always try to be financially prudent in terms of scheduling our capex as per the available resources, because we don't intend to raise any further equity for funding the capex we have. So, we will always try and bid conservatively. In terms of the new project profile, they are all coming with storage.

And so, the capex per bid has reduced because they have less of wind capacity and more of solar and battery. So, capex has reduced. But still, we will try and basically stagger our PPAs and stagger our commissioning timeline such that we reach

10 gigawatts, but we reach in a way which is yearly-wise more balanced and concentrated in a particular year.

Akash Mehta: Okay. I think that's helpful. So, thanks a lot and all the best.

Nikhil Dhingra: Thank you, Akash.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC. Please proceed.

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Dhruv Muchhal: Yes, sir. Thank you so much. Sir, the gross block number that we have reported in the PPT, about INR14,100 crores, does this include, for the newly commissioned SE CI projects, does it 1200 megawatt -- does it include the duty portion also on the modules?

Arun Chopra: Yes, it includes that.

Dhruv Muchhal: Okay. So, ideally, when we look at the gross, because this is not what you will depreciate, I believe, this is, I mean, so, your actual cash spend will be much lower. Is that right?

Nikhil Dhingra: Yes, yes.

Dhruv Muchhal: So, if you can share what that number is of the duty portion.

Nikhil Dhingra: So, it's around INR4,500 crores. Correct me if I'm wrong, Arun, right?

Arun Chopra: So, as far as the duty number is, it's close to around INR2100 crores.

Nikhil Dhingra: No, no. The cash portion he's asking, that is around INR4,500 crores, right?

Arun Chopra: Yes, that's around INR4,500 crores.

Dhruv Muchhal: So, the duty portion within the gross is about INR2100 crores.

Arun Chopra: Yes, yes.

Nikhil Dhingra: That is for the six projects. That is not for the 1200 megawatt. So, for the 1200 megawatt, it will be around INR1,400 crores.

Dhruv Muchhal: INR1,400, yes. One second, if I just said just INR1,400. So, yes, perfect. Makes sense. So, the second question is, as you mentioned, the ALCM probably leads to an increase in tariffs. So, the industry understanding is the tariffs for pure vanilla solar can go to about INR3, INR3.1, approximate. I don't know if people get more aggressive. But when I look at your pipeline projects, for example, you have an Omega project, if I'm not wrong, which is Omega Urja solar of 300 megawatt, which if I'm not wrong, the tariff is about INR2.5.

So, I'm just curious why this project does not get signed, because the new tariffs will come at, say, vanilla solar will come at INR3, and you have a project which is selling at INR2.5, and probably, if I'm not wrong, if the PPA is signed before the June period, you also get transmission waiver, while the new projects with ALCM will also not have transmission waiver. So, I'm just curious to understand, as an example, this project, why is it not getting signed?

Nikhil Dhingra: Right, right, right. So, I think the one thing is that on the ISTS waiver front, it's the commissioning date, and it's not the PPA signing date. So, there is no advantage, per se. But of course, you're very right that INR2.52 is a very attractive tariff, and we are expecting that PPA

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to get signed very soon. So, it's something which you're right that the tariffs will be higher going forward.

And of course, what the other thing is happening is, there are no pure solar bids coming. They are now going to come up with some component of battery, right. So, these are some of the few remaining pure solar tenders. And given the overall profile of having some bit of peak power, so these are, you can say, the residual solar, which is going to get picked up very soon. So, you're right that it is an attractive tariff. But like you rightly said also, the aggression also is there. Sometimes the tariff should be 3, but may not be 3, right.

So, you will see that the tariff will be somewhere between, not in the very, this thing, because the interest rates, and of course, the people have integrated facilities. So, you will see that it will be 2.7, 2.8. Of course, it could be, it may not capture the full impact, because the cell prices are also benign.

And of course, the raw material prices are also benign currently, because the Chinese raw materials are also not getting good customers abroad. So, it may not go that high, but still 2.52 is an attractive tariff and should get signed.

Manoj Upadhyay : So, Dhruv, actually, let me a little bit explain. Right now, most of the utilities, this is Manoj here. So, most of the utilities, they are looking evening and morning power, right. So, they are not that much attractive to just buy solar, right. So, they are all preferring solar with battery, solar FDRE, those things, right. So, this is a very new phenomenon.

You must have seen the government direction also that solar should be installed with the battery.

So, there are actually few PPAs or few tenders, which are still open in the pure solar category, and they will get signed. Price-wise, it is very attractive, it should get signed. But right now, most of the utilities are preferring evening and morning power. So, they are preferring FDRE, solar plus battery, those type of powers.

Dhruv Muchhal: Yes, I am just wondering, I mean, these all these tenders of pure solar are, I mean, cheaper than the new solar tenders. Why not align a battery along with it? I am not sure, of course, that is a regulatory...

Manoj Upadhyay : No, you can't do. Actually, you cannot do anything in the bid tender. Yes, that is a challenge. If you ask me...

Dhruv Muchhal: The discoms will have to think about it, but yes, I think that is the...

Manoj Upadhyay : Yes, yes. They have to do separate bid for battery because these are all Section 63 bidding. You cannot change in the configuration.

Nikhil Dhingra: But the good thing is that you get the battery connectivity along with it. When you build a solar plant at a particular CTU substation, it allows you to get the night connectivity along with it. So, which is a big plus because, let us say, if we build this plant, we will get the battery connectivity and use it in the future bids also.

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Dhruv Muchhal: Got it. Sure. And just the next question was on the point of, you know, pre-poning some of your FDRE projects, I think the battery portion. So, I am just trying to understand how does it help. Can you start supplying to the discom if you pre-pone it or you are looking at optimizing it on the merchant basis because probably you commissioned the battery portion of the project early and optimize by selling it on the grid because you have that leeway available for a few months. Is that what you are...

Nikhil Dhingra: Right. Right. So, see, there are facilities available in the PPA where you could procure the battery power from a third party, which is basically you can have it on a merchant basis till the time you plug it into a PPA. So, what you can do till the time you plug into a PPA, you can install the batteries on an already operational substation and use the infrastructure there. And when the PPA, the rest of the component is ready, you can start supplying to that PPA.

Dhruv Muchhal: Okay. So, until the PPA official, I mean, is commissioned, till that time you will be selling the power on merchant basis?

Nikhil Dhingra: Yes. Yes. Yes. That is one of the options. Yes.

Dhruv Muchhal: Okay. And I mean, speaking to some, it seems that I am not very clear about funding for battery projects because -- so, is the funding for battery projects now available or still there is some hurdle in terms of warranties and insurance and all those claims from the lenders?

Nikhil Dhingra: See, the INR16,5003 crores of financing we have obtained, right, almost leaving apart one or two projects, all of them have battery components. So, that is something which has already happened. You know, ReNew recently operationalized the battery plant, right. They have got international lenders, Indian lenders. So, that hurdle has been crossed for a

large portion of projects. All the leading lenders are comfortable with battery.

And that has been aided by the government push, of course, right. There is a PLI scheme. There is a lot of state governments are also buying large amount of batteries. So, the understanding about the battery has really improved in the last year or so. And everybody realizes that this is a good capex and it should be supported. So, we are seeing good traction even for the merchant battery.

Dhruv Muchhal: Okay. So, batteries, I mean, for lenders, batteries is not a hurdle in terms of approving and all those.

Nikhil Dhingra: Yes. And that is primarily being driven by the adoption of this technology by the largest player, which is the government, right. Because state governments are very much understanding how it benefits them because they are also seeing their peak deficit. They are also seeing how it adds

3 Stated as 16,000 crores during the call, however, 16,500 is the correct reference

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value. So, and if everybody is doing capex, government is doing capex. So, that also supports this kind of adoption.

Dhruv Muchhal: Great. Thank you and all the best. That is very helpful.

Nikhil Dhingra: Thank s a lot, Dhruv .

Moderator: The next question is from the line of Anit Suri from Emkay Global . Please proceed.

Anit Suri: Yes. Hello. Hi, sir. So, just a quick question on the CU F. So, just wanted to check , you mentioned that the Rajasthan capacity has a CU F of 29.4 % as opposed to the overall CU F of 25.6 %. Is there any specific reason why this has a 4 % higher CUF than the rest of the capacity? Maybe like a different kind of technology or something?

Nikhil Dhingra: Right. So, see, the primary reason is there are twofold. One is regulatory. That in our past projects, the tariff used to be higher. But because of that, the CUF was capped at 19 %, in some cases 18 %. So, because the tariff was high, nobody wanted to buy a larger quantum of power. So, they restricted the CUF. So, all of our old projects have some kind of limitation around that. Post-2017, which we have signed from the central REIAs, this cap was removed. So, post -2017 projects don't have this cap.

The second reason, which is more to do with the sunlight, is basically that the Rajasthan gets, you can say, around 5 % to 10 % higher radiation than the rest of the states, in terms of leaving apart some parts of Gujarat, which is at par with Rajasthan. But it gets a higher radiation than other states. So, because of the higher proportion of the power being located in Rajasthan, we also get advantage of that. And everybody gets advantage of that, whoever is located in that region.

The third reason, which is, again, the technical configuration of plants, which have been

consistent. It's not a new thing for us. We have been doing higher CUF, because in terms of the sharing the AC infrastructure with the larger DC infrastructure by putting more modules of around 1.5 times overloading on each inverter. So, that is, again, a technical point, which helps us to generate this kind of CUF, because given the cost benefit, it makes sense to install more modules over the same AC infrastructure. So, these are the three reasons. The Rajasthan has a higher sort of CUF than, let's say, some of the older PPAs. So, primary reason is regulatory, and the rest two reasons are, you can say, contributing also.

Management : And just to add here, one more point. This 25.6% that you are seeing for the full year, the SECI ISTS, which is 1200 megawatt, only ran for 3 months in the last year. So, the full stabilization, you will see the numbers reflecting in the current year, for which it will run for full year this year. So, apparently, this will increase from 25.6% ...

Anit Suri: Got it. Understood. That makes sense. The second question I have is in terms of funding. So,

regarding the funding, you mentioned that INR16,000 crores of funding has been secured for the ACME Solar Holdings Limited

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under -construction capacity. So, is that going to be fully debt -funded? I just wanted to understand if the INR16,500 crores is the entire number, or are we funding something from internal accruals as well?

Nikhil Dhingra: Right. So, the INR16,500 crores we mentioned is the debt financings we have for the PPA - signed projects, which is 17004 megawatt of them, which we have financing for. So, equity, already we mentioned we have currently cash accruals of around INR2,900 crores, which are in place. And we have unutilized, basically, equity, which will get released of around INR1,500 crores more, which we can take in terms of the unutilized credit lines, which we have available for our equity portion.

So, which is basically aided by the free cash flow equity of the operational projects, by the EPC margins, and of course, by these credit lines which are available. So, that will contribute to the equity portion. The INR16,500 crores is the debt portion, long -term project finance, which is available to us.

And let's say 75:25 or 80:20 debt-to-equity . So, let's say one -fourth of this number is the equity we need. So, we do have that already. So, you can say the INR16,5003 crores of debt will be supplemented by around INR4,000 crores of equity, and that will help us do INR20,000 crores of capex .

Anit Suri: Understood. And just a last one, if I can ask, maybe this has already been answered, but regarding the BESS commissioning, is there any specific timeline that you provide?

Nikhil Dhingra: Right. Like we said, we are doing one pilot project, which will be executed in our operational sites in 200 megawatts. So, that we are targeting for Q2, the later part of Q2. That's a pilot project. But large -scale project, we are targeting to do in Q3. So, we've already done the tie -ups, like we mentioned.

So, depending on all the components and all the approvals, that's something we are trying to do, because we are also very geared up to utilize the gap between the peak power rates and the base power. So, we think it makes eminent sense to try and commission them early. So, we are all geared up, and we do have the commission projects which are required, the connectivity is in place, and the operational projects in place, which allow you to do that.

Anit Suri: Right. Got it. Got it. That's clear enough. Thank you, sir. Thanks for taking my questions and all the best.

Nikhil Dhingra: Thanks a lot.

Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec . Please proceed.

4 Stated as 1800 MW during the call, however, 1700 MW is the correct reference

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Anuj Upadhyay: Yes, hi. Thanks for the opportunity, sir. Much of the questions have been answered, just on certain clarity on the wind project. So, offlate we have been seeing that wind has been significantly underperforming. So, 2 of our last 5 years, probably the performance have been quite weak. And this probably could have an impact on the committed output across our FD RE and hybrid tender. So, just want to get your thoughts on it. How, as a developer, are we trying to deal with this kind of a risk effort?

Nikhil Dhingra: Right, Anuj. So, you're very right in terms of the past performance of wind. And of course, as a technology, it's very useful. But yes, in terms of the predictability, it's much lower than solar.

So, we, of course, are looking at it the same way you are looking at. So, when we persisted with solar for more than 10 years, 12 years of our operations, we were going by the same philosophy that it is much more predictable. It is, of course, more driven by technology as compared to wind. And of course, it will be a cheaper form of power

and will be a more viable form of power

for all the utilities to purchase the solar power.

So, when we got wind, we were basically looking at the hybrid projects and the FDRE projects.

And that's why we did a small project of 150 megawatt, which we are executing in Gujarat. So, this bit, like now you have seen the battery price is also coming down. So, that has, of course, had a big impact on reducing the wind component.

So, the wind strategic role, which was there earlier in an FDRE plan, is no longer that strategic, because the solar and battery is able to compete very well with the component of wind, with the uncertainties built in in wind and reliability built in in solar and battery, so, that's a big plus.

Because in an FDRE project, what you need, other than volumes, is the certainty, because there are penalties which are there in these projects. So, as a prudent developer, we always try and aim for certainty. So, our wind components are very low in any of these FDRE. In hybrid, you can't help it. You have to have one third component as wind.

So, that much bare minimum wind we will do. And of course, in those projects also, when we factor in a tariff, we factor in a very conservative wind CUF, keeping in mind these past performances. And that's how we are planning to play this Anuj.

Anuj Upadhyay: Fair enough, sir. Secondly, sir, on your F Y '30 target, so currently we are at, say, 2.7 operational.

We'll be adding, say, another 3.5 or 4.5 gigawatt capacity by F Y '27-'28. And from there till F Y '30, we are targeting around 10 gigawatts, just to get a sense, aren't we too conservative in terms of capacity addition target or there's some huge potential to revise this target going ahead? And lastly, any thoughts of getting into pump hydro or any other storage design?

Nikhil Dhingra: So, Anuj, there are two things there in terms of this target. So, when we talk about target, we talk about contracted capacity and we don't talk about installed capacity. Some of the companies talk about installed capacity, which will be, let's say, for us also more than 20 gigawatts when we install this around 10 gigawatts or because the solar and the battery and various other

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equipment which goes is multiples of the contracted capacity. For a 250 megawatt plant, let's say we will have more than 500, 600 megawatts of installed capacity.

So, we are not focused on boosting these gigawatt targets because ultimately it's about profitability. So, we don't really document it on an installed capacity basis, but our number will be quite high on installed capacity numbers and we can share with you that number. But in terms of contracted capacity, which determines your revenue and CUF, this is 7 gigawatts is what we are trying to reach. And as we move forward, this 10 gigawatt again is a combination of FDRE and hybrid. So, this will be leading to a huge number on installed capacity, which will be 20 gigawatt plus. So, that is one.

And secondly, in terms of the execution capacity of a single corporate. So, right now, And we are an integrated player with EPC built in and these are all large infrastructure projects. So, in terms of the increasing our ability to execute more, right, the land is one of the primary constraints because you get to -- you need a large parcel of contiguous land, which government land can help you get there.

So, we are trying, like we mentioned earlier, we are trying to secure a large portion of lands, which will help us improve this on a per year execution. So, of course, bidding is easy, right? Because you can bid. But in terms of building, you have to have a pipeline, which you are delivering as you mentioned. So, for that, this bit of contiguous land having upfront before the bid is important.

So, I would say we are rational rather than conservative. But in terms of the last bit you asked about

about PSP. PSP, we do have a project in Uttar Pradesh. But of course, we will be very careful in terms of not doing it on merchant basis. We will always do it on a PPA. And of course, we will factor in the timeline it takes to build up a PSP plant and the various associated approvals.

We hear that the government is looking at rationalizing these approvals and process time because government also wants to push this form of power. So, we will be ready whenever that opportunity comes up, because we do have a couple of projects, which we can take up. But of course, as of now, the battery power looks like something which you can opportunistically scale up.

And the government is also looking at that, if you look at the state government capex around battery and PSP. So, we are oriented in the direction which the market is today. And we will

keep on developing the asset. But we will not do capex until we get a good tariff, which is in sync with the construction risk of a PSP.

Anuj Upadhyay: That's helpful. And what quantum this PSP would be in UP, which you mentioned?

Nikhil Dhingra: It's a 600 into 6 megawatt hour of storage, 6 hours of storage. So, that's the approval. We are very close to getting the stage one forest and we are in discussions with CEA for getting the ACME Solar Holdings Limited

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DPR approved. So, and we already have applied to state for the incentive scheme approval as well.

Anuj Upadhyay: Fine, sir. That's quite helpful. Thanks. And wish you good luck.

Nikhil Dhingra: Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, I take this as the last question and would now like to hand the conference over to Mr. Sabri Hazarika for closing comments. Over to you, sir.

Sabri Hazarika: Yes. So, I'd like to thank the management and all the participants for the insightful comments.

Before ending, I'd request Mr. Manoj Upadhyay, sir for his closing comment. Over to you, sir.

Manoj Upadhyay: Good morning. I would like to start with, while Nikhil has touched upon the performance of the year, but I would like to also mention some of the area we could have done better. I think PPA signing, we were expecting to sign 400 to 500 megawatt last quarter, but unfortunately it shifted to this quarter.

So, this forecasting of signing the PPA is one learning I think we have to build inbuilt in our system. Although we have a very limited control, how the REIA deals with the state government, but this area I think I would like my team to work on. So, we are able to give you this thing.

Second area is I think we wanted to do our Sikar 300 megawatt solar plant. We wanted to install by 31st March, but somehow we slipped by 60 days. And while the installation, we also faced India -Pakistan issues. So, few days we had to really shut the installation and commissioning.

So, although we wanted to do much before that, but this is a learning that we need to really keep some more time for commissioning. As commissioning is becoming more and more tougher, because the regulatory requirement of the power factor correction, harmonics, flickering, the government is more and more looking to ensure that all the plants are compliant for the grid stability.

The similar thing happened with our 50 megawatt. We wanted to commission this thing, but I'm pleased to share with you that it is under commissioning. Maybe in this week, we will be able to share with you that commission.

I would like to highlight that we continue to focus on the technology innovation and execution to build a future-ready and sustainable portfolio. We want to cater to India's requirement of growing energy demand. And I see that this will more happen right in the FDRE or a base power or a peaking power, instead of the solar time or wind time power. You will see more and more such adoption, and we are ready to do that. And as a company, we have been testing this solution for

quite a long.

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We have made remarkable progress this year. I wish to express my sincere thanks to all the investors, lenders, regulatory authorities, and employees for our success. I thank you for your commitment, excellence, and belief in my vision. Thank you again.

Nikhil Dhingra: Thanks.

Moderator: On behalf of Emkay Global Financial Services Limited that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

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August 01, 2025

To To

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Dalal Street, Mumbai 400001 Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 544283 Symbol: ACMESOLAR

Reference: Regulation 30 of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, as

amended ("Listing Regulations") and our earlier intimation dated

July 21, 2025 regarding Schedule of Earnings Call for Q1 FY 2025-

26 results with analyst(s)/institutional investor(s)

Subject: Earning Call transcript of the Investors Conference Call held on the

Unaudited Financial Results (Standalone and Consolidated) of the

Company for the quarter ended June 30, 2025 (Q1 FY 2025-26)

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with Part A of Schedule III of the Listing

Regulations, please find enclosed herewith the transcript in respect of Earnings

Conference Call with the Analysts/Investors held on Monday, July 28, 2025 on the

Unaudited Financial Results (Standalone and Consolidated) of the Company.

The Transcript of the conference call has been uploaded on the Company's website

and the same can be accessed from the link provided below:

[https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/28-07-2025-Q1-FY26-](https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/28-07-2025-Q1-FY26-Earning-Call-Transcript.pdf)

Earning-Call-Transcript.pdf

You are requested to take the same on record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

Encl: As above

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Q1 FY'26 Earnings Conference Call "

July 28, 2025

MANAGEMENT : MR. MANOJ KUMAR UPADHYAY – CHAIRMAN

AND MANAGING DIRECTOR – ACME SOLAR

HOLDINGS LIMITED

MR. NIKHIL DHINGRA – CHIEF EXECUTIVE

OFFICER – ACME SOLAR HOLDINGS LIMITED

MR. RAJAT KUMAR SINGH – GROUP CHIEF

FINANCIAL OFFICER – ACME SOLAR HOLDINGS

LIMITED

MR. ANKIT VERMA – HEAD OF CORPORATE

FINANCE – ACME SOLAR HOLDINGS LIMITED

MR. ARUN CHOPRA – HEAD OF FINANCE AND

ACCOUNT – ACME SOLAR HOLDINGS LIMITED

MODERATOR : MR. YOGESH PATIL – DOLAT CAPITAL MARKETS

PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Acme Solar Holdings Q1 FY '26 Earnings Conference Call hosted by Dol at Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please

signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Patil from Dol at Capital Markets Private Limited.

Thank you and over to you, sir.

Yogesh Patil: Thank you, Shubham. Good morning, ladies, and gentlemen. On behalf of Dollar Capital, I have pleasure in inviting you all for Q1 FY'26 earnings conference call with the management of Acme Solar Holdings Ltd.

The management is represented by Mr. Manoj Kumar Upadhyay, Chairman and Managing Director, Mr. Nikhil Dhingra, CEO, Mr. Rajat Kumar Singh, Group CFO, Mr. Ankit Verma, Head of Corporate Finance and Mr. Arun Chopra, Head of Finance and Accounts. Now without taking much time, I hand over this call to Mr. Nikhil Dhingra for the opening remarks and then we will have a question and answer. Over to you, Nikhil, sir.

Nikhil Dhingra: Thanks a lot, Yogesh. Good morning, everybody. Thank you all for joining us today. I will first start with our company's performance and then I will update on the key updates from the industry. So Q1 FY '26 has been an important quarter for us both in terms of financial results and strategic milestones. We commissioned 350 MW of new projects including our first 50 MW wind project.

With this, our operational portfolio of independent power producers now stands at 2890 MW, capable of delivering an annual steady state project level EBITDA of INR2,000 to INR2,050 crores and an EBITDA yield of around 14 %-15%.

In terms of new wins, we secured our first standalone battery energy storage projects of 550 MWh contracted with NHPC. The PPA was signed in a quick time of one month. This marks a major diversification into energy storage, pure energy storage contract.

Further, in this quarter, we signed PPAs of 550 MW of FDRE and solar project and 550 MWh are of standalone BESS projects. With this, our under construction portfolio stands at 4080 MW plus 550 MWh are of storage and 55% of our portfolio has signed PPAs. For our under construction capacity, we have placed orders of over 3.1 GWh of battery energy storage system with suppliers like Narada and Trina Energy.

Also, we have secured commitments for key long-lead items like power conversion systems, transmission line, power transformers, wind turbines and various other equipments. So, all in all, we have placed purchase orders in excess of around 7,000 crores so far for our under construction portfolio. Further, grid connectivity is in place for the entire 4080 MW of under construction portfolio.

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Coming to our financial performance now, our total revenue for the quarter stands at around INR584 crores which is a 72% increase year-on-year. EBITDA comes in at INR531 crores up 76% again. We had a very healthy EBITDA margin which is aided by the operational capacity growth and also reduction in the overall percentage cost.

So, the margin is now at 91%. PAT is INR131 crores, a very sharp jump, of course, because of the capacity growth we had in this year. In terms of balance sheet, we continue to maintain strong balance sheet discipline with net operational debt to EBITDA at 4.2x.

How we calculate is basically the operational project debt and the operational project EBITDA.

This is well within our guided range of 5.5x which we seek to maintain at all times. Our net debt to net worth stands at 1.7x which is

again very healthy. Further, days of sales outstanding has dropped to 36 days in Q1.

Of course, the proportion of central off-takers in our overall portfolio has moved to 86% now.

So, this really bodes well for cash flow generation for us. Coming to capital optimisation and on the finance side, a key milestone for us is tying up of refinancing debt. We continue to refinance our debt and we have now taken in this quarter disbursement also for that debt of around INR1,070 crores for a 250 MW operational project at an interest rate of 8.5% fixed for 5 years.

This diversifies our interest rate book to some part to fixed. And this also marks the entry of new reputed lenders like Bank of America, Standard Chartered Bank, and India Infrastructure Finance Limited in our loan book.

This is a 95 basis points reduction in the interest cost for this and this bodes well for our future refinancing in terms of the financing cost we will. We were able to reduce our weighted average cost of debt substantially and we will as we take benefit of the base rate reduction and the spread reduction because of improvement in credit rating.

On credit rating, we are pleased to share that within six months of full operations, our four SECI assets with a cumulative capacity of 1,200 megawatt have secured CRISIL AA - stable rating. These are strong endorsements of our execution and credit profile. Now turning to operational metrics.

In Q1 FY26, we generated 163 crore s units up over 107% year -on-year and our capacity utilization factor improved to 28 .5% from 27% last year. In this, of course, Rajasthan continues to be a very large proportion of the operational portfolio. It accounts for 22 50 megawatt of our operational portfolio delivering an impressive 30.3% CUF.

Now coming to industry briefly. So there are a few key updates relating to industry. So Ministry of Power announced the second tranche of VGF scheme with a total financial outlay of around INR5,400 crore s. This aids the development of the BESS projects across st ates. VGF around 18 lakh per megawatt hour will be provided under this scheme which w ill enable development of 30 gigawatt hour of BESS capacity.

This is a strong signal by the government to accelerate the energy storage deployment in the country. On the regulatory front, MOP again extended the 100% waiver on the ISTS for co -

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located BESS projects commissioned by June 2028 and pumped hydro storage projects where construction will be awarded before the same date.

This bodes well for the whole industry's FDRE project because it has a large component of co - located BESS projects. This move will strengthen the commercial viability of the integrated renewable plus storage solutions. The execution remains strong i n quarter 1 of this financial year, the country added over 12 gigawatt of renewable capacity which is a big improvement over the last year.

In this half year, we have done close to 25 gigawatt, 30 gigawatts which is a very significant improvement over the last year. This 12 gigawatt added in this quarter includes 10.6 gigawatt of solar and 1.6 gigawatt of wind taking the total installed ren ewable capacity to around 234 gigawatt including large hydro.

Non-fossil fuel sources now make up more than 50% of the country's total installed electric capacity. Importantly, this target has been achieved 5 years ahead of the original schedule and we are proud to be contributing meaningfully to this transformation. Lastly, on the demand side, power consumption showed some softness during the quarter on account of early onset of monsoon and a higher base.

India's overall power demand during Q1 FY26 stood at 446 billion units reflecting a 1% odd year-on-year decline. Similarly, peak power demand du ring the quarter stood at 242 gigawatt marking a 3.2% decline over the same period last year. Of course, ou

r business is all linked to

the PPA so these industries don't really impact us in that regard.

In closing, I would like to reiterate Q1 FY26 has begun on a strong footing driven by robust operations, solid financial performance, and strategic wins in the storage space. We continue to prioritiz e discipline growth, technology -driven execution, and financial agility as we expand our portfolio.

With that, I now open the floor for questions and I would also like to request our Group CFO Rajat to say a few words as well.

Rajat Singh: Thank you Nikhil and good morning everybody. As Nikhil has already reiterated, I think there is huge opportunity - sector is concerned, including the storage solutions. So definitely from a financing and finance perspective our focus is going to continue in the growth, but growth with profitability.

So we are going to have projects which gives us growth as well as we maintain our profitable momentum. And also because there is significant amount of funding required for financing these projects there will be continued focus on reducing the financing cos t. And as already kind of alluded by Nikhil, we have diversified both construction financing as well as operation stage financing from multiple lenders. We have moved away from traditional lenders that typically fund the power projects. We have gone to lar ge PSU banks, we have gone to private sector banks and also foreign lenders.

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As we speak, we also want to focus on the capital market as well because encouraged by AA family rating for multiple projects and looking at the central REIA project significantly contributes to our portfolio. I think we expect going forward our rating to be consistently in the AA family, of course specific to rating of the projects.

But also it will contribute significantly to the holding company rating as we contribute and add more and more central REIA projects. Today our holding company rating is A+ with positive outlook. We look to taking it further as we keep on adding more and m ore projects.

And so certain mix of this financing going forward could be from capital market, gives us diversification into various fund providers such as mutual funds, insurance companies and also provident funds. So I think our focus consistently is going to be on the cost of financing. We have already started reducing our cost of financing below 8.5% as we speak.

And also due to kind of policy intervention by Reserve Bank of India and competition among the banks and financial institutions to fund this kind of project. We are already getting lot of calls from banks and financial institutions to kind of partner with us in terms of funding and reduce the cost of funding. So I think that consistently is going to be our approach, and yes, now we can definitely go on to the question and answer. Thank you, Nikhil.

Moderator: The first question comes from the line of Mohit Kumar from ICICI Securities. As there is no response from the current participants, we will move towards the next question. The next question comes from the line of Meet Katrodiya from Niveshaay.

Meet Katrodiya: Yes, sir. Thank you so much for the opportunity. Sir, could you please provide a breakdown of the current unit economics of the battery energy storage system projects, specifically the capex per megawatt hour and what internal rate of return IRR are we targeting both with and without VGF. Also, additionally, the government has reduced the VGF rate from INR27 lakhs per megawatt to INR18 lakhs per megawatt. So what are the underlying reasons for this revision?

Nikhil Dhingra : Right. Right. First, on the industry question of...

Meet Katrodiya: Yes, sir.

Nikhil Dhingra : So in terms of the VGF reduction, as you know, the capex cost has come down for the whole battery solution. And the government is...

Meet Katrodiya: Yes.

Nikhil Dhingra

: Looking at the tariff reduction which has happened across the projects. Very competitive rates have come. So government believes that reduced VGF will also be fine in terms of getting the economical rates. So that is why, that is the thought behind reducing the VGF.

And we think it's a very good move to at least have this much VGF, because it will lead to a lower tariff for the state government and it will encourage the development of the -- and it is also in sync with the ISTS waiver given by the government till 2028, because the emphasis is on stabilizing the grid, meeting the peak power demand. And this VGF will keep for the whole ACME Solar Holdings Limited

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-- all the state governments interested to keep continuing the momentum they had built on doing these battery link projects.

In terms of the projects, we have won, right. So the battery projects typically are where you need to -- the Andhra Pradesh NHPC project we have won. There we don't need to basically do the whole evacuation substation. We are installing at the premises of the customer. So the whole capex which is required to be done on a typical solar plant regarding transmission evacuation substation need not be done. So we don't need to do that. The only thing...

Meet Katrodiya: Okay.

Nikhil Dhingra : We really need to do is the battery installation -- battery system installation. And that is typically done at a capex of \$100 per kilowatt hour. So it is much less than that. And the IRR in this is of course lesser than the FDRE, but the risk is also much lesser than the FDRE. So they are in high - teens. So we don't do a project which is less than a 16% return. So the returns are much above that for this project. And these returns are aided by multiple factors.

And this includes the VGF of course. And this also does not include the upside which an interest rate reduction will provide in terms of the reduced risk of the project, because this does not include any land acquisition. This does not include any transmission lines. The risks are almost similar to what used to be there in a solar park bid. So that's how it is. And the contract tenure is shorter here also. So that also is factored in these numbers.

Meet Katrodiya: Thank you so much, sir, for the elaborate answer. Second one, sir, with reference to the recently announced 3.1 -gigawatt BESS order, it is one of the largest. So can you elaborate on the sourcing strategy? Like are we importing battery components in the semi -knockdown condition or -- and localing -- local assembly? Are we using full assembly battery packs? So is there any cost differential between these two approaches? Like either in -- if you do assembly here, it is beneficial cost wise or how we should -- how are we doing this?

Manoj Upadhyay: Right. Let me reply this, Nikhil. First of all, actually, India is -- we are deploying first time a large scale battery in India. So it is important that...

Meet Katrodiya: Yes.

Manoj Upadhyay: We should get the full product from someone who has already deployed in global scale...

Meet Katrodiya: Yes.

Manoj Upadhyay: At a global scale.

Meet Katrodiya: Okay.

Manoj Upadhyay: Assembly at this time, when the industry at nascent stage, is not a very good strategy. It can happen later, right? The government is the -- that is the reason even the government has given the option that you can get the full battery from outside by paying a small duty while you are importing. So my -- we want to reduce our risk of doing any local assembly at initially stage of ACME Solar Holdings Limited
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battery deployment. When in India we have 100 -gigawatt of battery deployment, right? That time people will think...

Meet Katrodiya: Yes. Yes.

Manoj Upadhyay: Of doing a local assembly. Till the time I think it is more important to ensure the reliability than the cost reduction

of some level.

Nikhil Dhingra : In terms of the warranty, this provides you a better reliability of the product. Because if you are procuring a cell from a different vendor and wrapping it up by a vendor who is smaller than the battery contractor, then the warranty...

Meet Katrodiya: Okay.

Nikhil Dhingra : Will not be of the same quality as you would get the whole container from the battery vendor.

Meet Katrodiya: Got it. So sir, what would be the difference in terms of costing of BESS battery in India or if we directly import from India? Is there any higher duty on the battery pack? So how much is the cost difference between India and China?

Nikhil Dhingra : So it's a -- India and China the cost is -- India is not an option anymore. But in terms of the container, I think you are only asking about the container part.

Meet Katrodiya: Yes.

Nikhil Dhingra : So the -- I think the duty difference is more or less made up by the cost increase which we make up by making in India. But it is around 5% to 11%. That is the duty difference in terms of...

Manoj Upadhyay: Cell and the...

Nikhil Dhingra : Between the cell and the container. So not a very large difference if you consider the warranty cost and the reliability which is sought -- which is sought by our investors and lenders.

Meet Katrodiya: Got it. Got it. Sir, last one. Could you share the details on the current BESS tendering and how much tenders are there in the pipeline and how many tenders can come in the future in -- on BESS side?

Nikhil Dhingra : So BESS -- our key focus on the BESS side is winning the FDRE and the solar plus storage tenders, right?

Meet Katrodiya: Yes.

Nikhil Dhingra : And we will ideally like to have those in our portfolio as compared to the pure BESS tenders. So that is the first key point.

Meet Katrodiya: Okay.

Nikhil Dhingra : In terms of the pipeline which you are asking of the new projects which are coming, as we already said 30 -watt -- 30-gigawatt hour of VGF has been announced. And these states will like ACME Solar Holdings Limited

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to consume that in this year or maybe the next year. So that much -- and they can consume it through multiple means. So we are seeing that the tendering has slowed down in the last quarter.

But now it will pick up because we have multiple bids coming from all the REIAs.

The trend has shifted to solar plus storage and pure storage. So we are seeing less of and hopefully the 24 -hour, the whole day procurement will also pick up that, because that will really lead to a higher growth of the peak power in the country. So we see that this growth will be very high. It will be much higher than the last year is what we feel.

Meet Katrodiya: Okay. Got it, sir. Sir, just one follow -up. Like I was talking with one of the assembly players.

So they were saying, if we import the cell, so cell is 40% of the cost of the battery pack. So duty on cell is 5%. And if we import the wall battery pack, it is -- duty is 11%, right? So, they get duty difference of the 5 %-6% if they assemble it here. So, why, like, we are importing full battery pack? Could you give some reasons why it is beneficial to import wall battery pack in India?

Nikhil Dhingra: So, see, 40%, as you rightly mentioned, is the cell cost. On that, 6% is around 2.4% of the overall cost.

Meet Katrodiya: Yes, yes.

Nikhil Dhingra: 2.4% you can save, right? Provided the quality of the integrator is as good as what is available in China. And the warranty, as I said, there will be a big lacuna in the warranty. Because if you are getting the containerized solution from India, then the containerized vendor will need to warranty the whole 15 years of performance. So, that's a big risk. For 2.5 percentage of cost

improvement, are you willing to sacrifice a large FDRE project revenue? We are currently not in favor of that.

Rajat Singh: And also the insurance sector in India

India has not developed to pick all these bits and pieces and give a wrap kind of insurance. So, as Manoj was talking about, in the early stages of this, I think we should focus on what best price we can get it, right?

And make the performance for a longer period of time by getting that kind of wrapped warranty from the supplier, original equipment supplier. That is the key. We are a developer. We are not a manufacturer at the end of the day. So, we want to ensure that the plant runs for a longer period of time without any problem.

Meet Katrodiya: Got it. Also, on part of servicing side, so, are we -- do we have contact with Trina or let's say Narada for the servicing or we will do the servicing part?

Nikhil Dhingra: No, no, no. We have a long-term service agreement with both these suppliers which will, on the payment of annual fees, we will get the onsite maintenance and the extended warranty, which will be provided by these two vendors.

Meet Katrodiya: Okay. Thank you so much.

Nikhil Dhingra: And we are -- yes, our strategy is to have four or five suppliers for the overall portfolio. Yes.

Moderator: The next question comes from the line of Samarth Khandelwal from ICICI Securities.

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Samarth Khandelwal: Yes. So firstly, congratulations on the performance during this quarter. And my question is on the BESS side. The first part is I just wanted to clarify that we will be owning this for the -- we will be the asset owner for the battery energy storage system that we are doing for NHP C and will be receiving lease rentals. Right?

Nikhil Dhingra: Correct

Samarth Khandelwal: So on the capex we are receiving lease rentals and that will turn into our return. But what about the energy, the energy that NHPC is supplying that part will be received by NHPC?

Nikhil Dhingra: Correct. So that's an input for us. We are only storing the energy for the AP government through NHPC. So the energy will be supplied by them at the hours. We are supposed to maintain the service level agreement of availability and output basis the energy provided by them during certain hours of the day as required by them.

Samarth Khandelwal: Understood. Understood. Well, second question is on how is an FDRE project different from a solar plus storage or a solar wind plus storage project?

Nikhil Dhingra: So, FDRE project is essentially same as solar wind and storage project. The difference in FDRE is it could stretch to 24-hour project also. Technically FDRE stands for firm and dispatchable renewable energy. If you implement this definition in the strictest sense of the word you could -- you should supply it for longer duration of power.

Typically a solar plus storage tender can have a peak for 2 hours, 4 hours and beyond that you will need to put some bit of wind if you want to extend at a competitive price. So the FDRE typically can have longer hours of storage, but a solar plus storage may have a shorter hours of storage extending up to 4 hours. So that could be one difference.

They have been interchangeably used in all the tenders in terms of the FDRE and solar plus storage, but the tenders we have mostly these all FDREs are having 4 hours of storage typically. In solar plus storage, we have lower hours of storage let's say 2 hours and in some cases 1 hour also.

Samarth Khandelwal: So the difference in the storage time or supply time is the only reason for difference in tariffs?

Nikhil Dhingra: Yes, yes, yes, that is the only difference and the other difference is the fall in the capex prices, understanding of the risk by the various counterparties, let's say the entry of various players. So there is competitive dynamics, there is capex dynamics and there is regulatory dynamics.

So all these three always decide the tariff and you would have seen in solar also there have been troughs and there have been peaks

. So it's all like a market cycle which is -- and geopolitics also.

So all these 4-5 factors play in terms of moving of these tariffs up and down.

Samarth Khandelwal: Okay, perfect. Because FDRE is slightly higher than the plain solar plus storage.

Nikhil Dhingra: Yes, yes. Yes, if you look at the FDRE of longer hours, you will find tariffs of up to 4.98 which have been signed by discoms. So because they had longer hours of storage, they have supplied during even the night time also. So that decides the tariff.

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Moderator: Thank you. The next question comes from the line of Nikhil Abhyankar from UTI Mutual Funds.

Nikhil Abhyankar: Yes. Thank you and congrats on a good set of numbers. Sir, I just want to understand of this 3.1 gigawatt of order that we have given, how much of this will cater to the 2.2 gigawatt of contracted capacity that we have? I mean, to flip the question for the 2.2 gigawatt of contracted capacity, what is the quantum of BESS system required?

Nikhil Dhingra: So all of it will cater to the contracted capacity only. We are -- what we are doing here is, we are trying and early commission the BESS part of the contracted portfolio. So that -- this 3.1 will be, will basically be catering to the 50% of the overall demand for this 2.3 gigawatt of portfolio.

And what we are doing, trying to do is operationalize the BESS part of the system and we have taken, we have taken approvals for that from all the counterparties and others.

So before the COD of the whole FDRE component, we are trying to get the battery components operationalized, which will help us improve the realizations pre -COD due to the merchant prices in terms of the peak power. So that's, that's what we are doing and this is all for the, all for the contracted capacity only.

Nikhil Abhyankar: Okay, but you mentioned that it is only, I mean, the total requirements for 2.4 gigawatt of contracted capacity will be much higher.

Nikhil Dhingra: Correct .

Nikhil Abhyankar: Okay.

Nikhil Dhingra: So it will be -- so it will be around 4.5, 5 gigawatt hour. We are closing more orders. So in the next month or so, we are trying to close 2 gigawatt hour more of orders that will complete the overall battery requirement.

Manoj Upadhyay : So roughly 2 gigawatt means 2 gigawatt multiplied by 2.5 hour. So you can, roughly the number will be 5 gigawatt hour. So right now we have ordered 5.6 gigawatt hour. So we have ordered 50%, another 56 -- 55% we will be ordering soon.

Nikhil Abhyankar: Understood.

Nikhil Dhingra: So out of this 4 gigawatt of under construction, total battery requirement will be roughly 10 gigawatt hour.

Management: Yes.

Ankit Verma : And out of this, which is PP As and is roughly 2 ,200 megawatt projects, so that will require roughly around 6 gigawatt hour of battery requirement, out of which 50 % is already ordered.

Manoj Upadhyay : So our plan is that we order -- we get first 3 gigawatt hour this year to install it. Then we get another 3, 3.5 gigawatt hour January to June install it and from June to December again 3 gigawatt hour. So totally taking up to 10 gigawatt hour, that what we have shown in total requirement.

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Nikhil Abhyankar: Sure. Understood, sir. And sir, just a final question on the capex. If you can quantify the capex required for, say, 2.2 gigawatt of under construction capacity that we have?

Nikhil Dhingra: Right, right. So capex wise, FDRE is closer to around INR 11 crore s per megawatt and so -- and the hybrid is around INR 8 crore s per megawatt. So that is typically for a -- for this year we have guided around INR12,000 crores to INR 14,000 crore s of capex. And of course for the next year also similar sort of number. Of course there is a downward trend on the capex given the battery prices fall. S

o that is the sort of capex number.

We have already placed purchase orders of close to INR7,000 crore s in this year and we, as we said that we want to order the battery and we want to order the rest of the equipment very soon. So we will try and close the orders for around INR14,000 -odd crore s of capex in this year for sure.

Nikhil Abhyankar: Sure. And how much was done in Q1, capex?

Nikhil Dhingra: Capex actually done is around INR800-odd crores , but the orders closed is around INR7,000 crores.

Nikhil Abhyankar: Understood. Sure, sir.

Nikhil Dhingra: You understand the cycle, right? You place the purchase orders and you open an LC when the product is ready. So that is how capex happens and when the delivery happens the capex is done.

Nikhil Abhyankar: Thank you, sir.

Moderator: Thank you. The next question comes from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal: Yes, sir. My question was a bit related to the earlier question. So basically we have freezed the battery prices for 3.1 gigawatt now. At least 3.1 gigawatt. The remaining you gradually order over the period of time.

Nikhil Dhingra: Yes. Yes, we have sealed the price.

Dhruv Muchhal: Got it. And so you will be early commissioning these projects and effectively probably selling in the merchant market for some time until probably the PPA comes up. So based on your

calculation probably on an hour-wise or minute-wise basis, you see that this project will give you the early commissioning gives you that benefit. I mean, gives you superior returns. Is that, I mean, that back-end work we have already done and that makes sense. I mean, across seasons, across time portfolio. So, for example, generally what we see is in winter the demand falls and merchant prices fall. So it is adjusting for all those factors.

Manoj Upadhyay : Yes, yes, we have done it. In fact, what happens, time shifts. Sometimes in the summer, what happens, it is evening and it goes to late night. In the winter it goes in the morning hours. So only the timing shifts.

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Nikhil Dhingra: Typically, what we are seeing is around 9 hours is the peak tariff on a 1 hour average basis for the last 12 months and 8.78 is the average for 2 hours in the last 12 months. So, that is the reference number and the production cost you can see, this is the reference capex we have given.

So, there is a good sort of sort of, yes, economics.

Dhruv Muchhal: And, for this requirement you can always go to the exchange market or short term market to buy that power. To charge your battery and supply it to the...

Manoj Upadhyay : Definitely, correct. Just to clarify it, we will be doing two things. One is, we will buy the power from the grid whenever is necessary or sometimes what happens, some of our plant, they have a -- what happens in the peaking peak generation hours, some of the power clips, we will use the free power also to charge the battery.

Dhruv Muchhal: Got it. Makes sense. Got it. So, second is, on the recent, we are seeing standalone battery projects and you are also participating them. Is the commissioning timeline, shorter there? Typically we have 24 months. Is it shorter in standalone battery projects?

Nikhil Dhingra: Yes, yes, yes, yes. It is 18 months in... It depends on the size of the project but the project we have won is 18 months and the onus on giving the land and the evacuation lies on the customer.

So, if there is a delay on their side, this extends accordingly.

Dhruv Muchhal: Got it.

Manoj Upadhyay : But normally it will not happen because they allocate the place inside the substation. Only thing what they have to do is just the bay. Otherwise, the rest of the things are already there. We just need to put the battery and the transformer. And they want to take the VG F so they generally don't delay. Got it.

Dhruv Mu

chhal: The last question is on a portfolio basis what would be interest cost now be ? And given the interest rate scenario, do you see a further scope for this to change in the next 2 -3 quarters?

Rajat Singh: Yes. So, our interest cost on a portfolio basis especially for operating projects is close to 8.75% as we speak. But, you know, we are in the process of refinancing a lot of this debt and also there is an interest cost reduction when the COD happens. So, I think during this financial year as we end this financial year we are expecting much significant reduction in the interest cost.

One is due to reset of interest on COD as well as yearly reset and also refinancing of these loans.

It is very difficult to say at what but because RBI has reduced 50 basis points it will not be unfair to assume that kind of reduction going forward at least over next 6 to 8 months but I think there will be significant reduction in interest cost, yes.

Dhruv Muchhal: So, this 8.75 is on your constructed portfolio where probably you have reasonably optimized on your debt. So, this is a good representation in terms of what an operational portfolio can give you in terms of debt cost.

Rajat Singh: Operational portfolio will be typically 25 to 30 basis points higher than the under-construction portfolio due to the lower -- I mean the under construction portfolio interest rate will be 25 to 30

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basis points higher than the operational portfolio and the reduction is across the board. One is it will be slightly more in the operating portfolio because of the reset and refinancing pressure on the lenders actually and the construction portfolio because of the benchmark reduction.

Manoj Upadhyay : So, what has happened is actually to clarify, we have the last 2 -3 projects which technically they got commissioned in the last 2 -3 months. We still consider under construction we believe that interest rate in those projects will also go down.

Nikhil Dhingra: There is an interplay of two things here. One is the overall macro and the other is the micro of improvement of our we listed last year and of course our rating has gone up for all our projects.

So, both these interplay will take our interest costs further down because as we accessed capital markets and we also understand that there is an arbitrage between the capital markets and the bank loan market also. So, I think as we go more to the capital markets the cost reduction can

be more.

Dhruv Muchhal: And also I wanted to understand the question was also to understand the RBI rate reduction benefit has already flown down to our numbers in terms of refinancing or generally some loans have six months, 1 year, that kind of rescheduling? So is that yet to play out?

Nikhil Dhingra: So that has not yet flown down to our numbers because some of our projects have annual reset and those reset have not yet arrived and we have not really refinanced. So, this ISTS project, only one out of the four projects have been refinanced yet. So, three projects are yet to be refinanced. So, they are still running at more than 9% interest cost.

We do have sanctions for let's say 1% lower than that but we have not activated them because we don't need the extra debt which is being provided by these because we have sufficient liquidity of more than 3,000 crores. So, we are timing our refinancing as per the requirement because then the lenders push us for taking early disbursement which we don't want. So, there is significant benefit yet to be coming because we have not refinanced yet.

Dhruv Muchhal: Great. Thank you so much and all the best. Thank you.

Moderator: Thank you. The next question comes from the line of Ketan Jain from Avendus Spark . Please go ahead.

Ketan Jain: Thank you. So, my first question is on the capacity addition. We've commissioned around 350 megawatt in the first quar

ter and I think 100 megawatt is near completion. What more can we commission in this year , in FY26, which projects ?

Nikhil Dhingra: So, what we are targeting to do other than this 100 megawatt is basically the battery portion of the FDRE plants and also some of the solar projects also but the battery which is our focus area because we are putting up battery at the already charged substations. We have more than 2 gigawatt of centrally connected projects where we are putting battery of our FDRE plants. So, you can say all the 3.1 gigawatt we've ordered. Our target is to commission if not 3.1 gigawatt at least 2.5 gigawatt by this financial year and we will be doing it in phases. So, definitely some

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component will be charged before the calendar year and some portion would be charged before March. So, that is our target basically from a revenue perspective.

In terms of the capex perspective, the capex for the solar , wind all would be done but the charging of those will be done in sync with the commissioning timelines of the CTU substations because those are being done at the new substations. They are not being done at the existing charged substations. So, that is how we are planning.

Management: So just to conclude, we would be adding 450 megawatt of capacity and around 2.5 gigawatt hours of battery component of the FDRE projects which we can generate revenue from .

Nikhil Dhingra: Yes, that's what we are targeting.

Ketan Jain: Sir, also I wanted to ask you on status on PPA for 2 -3 projects, Sigma Urja, Omega Urja which are these two other solar projects and one alpha renewables which is a hybrid project. What is the reason for delay in signing of these PPA's. Are we seeing any visibility in the near term?

Nikhil Dhingra: So, I will give you project by project status on Omega Urja first. So, Omega Urja, the state of Madhya Pradesh has already got it approved in a regulatory forum. So, the consent has also been received by SJVN . So, I think because of the administrative things, it is expected to be signed this month because all sorts of approvals are there from state and SJVN.

So, this should be signed, if not in July, maybe in August, this 2.52. There are no hurdles to it as far as we are aware. Then in terms of the 3 point – the NTPC Alpha Renewables 3.32 one. That is something which is pending as of now with NTPC. But I can tell you which ones we know are at the advanced stage.

So, this 2.52 SJVN is at the advanced stage. Then you have the hybrid 3.25 of SECI. That is again at an advanced stage. This is again gone to the regulator. It is in two states. One is in Bihar, and another is in UP. So this again should be signed in July. Sorry, August, Renew tech. As per our information, of course, SECI is leading it. But this is what we are aware of.

Then another one which is expected to get signed is the NTPC one. Again, that is in discussion with in various states, the FDRE one. The NTPC 2.53, that is something we are discussing with NVVN in terms of the signing, because they are thinking of buying it directly rather than selling it to the pooled basis. So that proposal we are discussing with NVVN. They are trying to change the construct of that. We are discussing with them, and we will update as soon as the discussion concludes. So that's there.

Other than that, the Urja One and Platinum Urja One, they are also in advanced stages with various states, including MP and Chhattisgarh. So we are quite positive that we should be able to conclude this whole pipeline in another 4 months. And the pace has picked up. As you must have seen, 550 MW of FDRE and solar we have signed, and 550 MWh of battery we have signed.

So pace has definitely picked up. And the various states are now off taking these powers. And of course, there is a large requirement coming from various states. Not all sta

tes are buying. So
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there is selective buying from various states. But the counterparties have gone better at selling these form of power, because it has now got standardized. And so we should see good traction in this quarter, similar to the last quarter, in terms of signing of these PPAs.

Ketan Jain: Understood. Thank you. Thanks for that explanation. Just one last question. When do we expect our first FDRE project to get commissioned?

Nikhil Dhingra: So the partial commissioning of the FDRE plant, like we said, should happen. The critical part of the FDRE is the battery, because solar and wind, of course, we are commissioning already so many. So battery, we are trying. It will be phased commissioning. Battery will be signed, should be commissioned this year, partial commission. Then the solar will be commissioned, let's say, by June or in that quarter, basically June to September quarter. And then, of course, it will follow after that.

Ketan Jain: Any one particular project which you can say that this project we are targeting, like full FDRE commissioning, maybe next year, maybe in a couple of years?

Nikhil Dhingra: Yes, so basically, the whole S JVN project will be charged. The NHPC will be charged. So there are all of these projects, and even the SECI 150 megawatt, which is already signed, that will be charged. So all these projects will be charged next year. The substation timelines are basically staggered throughout the year. So all these projects will be charged next year.

How it will be done is, the battery will be charged first, and the solar and the solar component, because we are primarily doing solar, will be charged as per the substation timeline. So all of them will be charged, whatever PP As we have signed. See, all the PP As we have signed got signed from, you can say, till December '24. All these FDRE projects got signed before December '24. So the timeline of them is December '26.

So we have not signed in this calendar year any FDRE. All the tenders which we have signed are very recent. One previously we'd signed. But whatever we signed in December, till December '24, will be charged by December '26.

Ketan Jain: Understood. So my last question is on, how is the FDRE execution going on? Are you facing any challenges since it's a new concept? How is the execution going on, just on a qualitative basis?

Nikhil Dhingra: So see, FDRE, the only component which is new is the battery, right? So the battery execution - wise is very, sort of, quite only electrical. And of course, there is regulatory, some of it are new, right? So let's say we are trying to do early commissioning. So regulatory pieces, we need to take NOC from the counterparty sometimes.

The NRLDC, we need to get approval. So the regulatory piece, it is new. So you need to take all these approvals which we are taking for the first time. So similarly, the procurement, again. But there are upsides to all of that. Because once you, your base case assumptions are getting bettered in most cases.

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So in terms of the challenges, FDRE execution -wise is not challenging. It is, of course, the resource estimation. If you are putting a wind, in most of our FDRE, there is very little wind component. So the wind resource assessment is a complication which is not execution -wise heavy. But from a risk perspective, it is heavy, which we are trying to minimize by not putting much wind. And the wind also leads to some bit of variability in your generation, which leads to penalties. So that is something we are removing at the outset by reducing the wind component. So in terms of the execution, see a battery project typically takes a very small amount of land. So the risk in typically renewables are land connectivity and of course the transmission line in terms

of the macro involvement. So these things are minimal in a battery plant. So we don't see that. And the other is the resource variability.

If your generation fluctuates a lot, you will be liable to a large penalty. That we have reduced by basically putting the same amount of batteries which they want. We are not trying to reduce the amount of batteries by putting -- relying on wind. So that we have removed at the outset. So we don't see in terms of the interplay.

And all these FDREs actually, in some cases not a, you can say there is no interplay in terms of

co-located. Everything is connected to the natural grid and there is no linkage between the resources. You just need to charge the battery through solar. That is as simple as it gets. So the operationalization of the whole thing is not technically complicated. It has regulatory and procurement wise. Some of the things are being done for the first time. So, but we are not finding it very challenging.

Ketan Jain: Understood. Thank you. Thanks for your answer.

Moderator: Thank you. The next question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes, hi. Good morning. And congratulations on a very good quarter. So my first question is, is it fair to say that, that 2.2 gigawatts, which is signed, PPAs signed, will get commissioned by FY '27? And do you see any delay as of now due to transmission issues or is it too early to assess?

Nikhil Dhingra: So you're right, Mohit. That 2.2 gigawatt will be done by FY '27. And it is staggered across FY '26 and FY '27, the connectivity. So we are not seeing much delay. And the reason for that is we have sourced our connectivity independent of these bids. What we have been telling you also is that we source connectivity prior to the bids.

So that really de-links the PPAs signing to the connectivity timelines. And once you source connectivity early, the commissioning timeline of that connectivity is also early. So the timelines are, of course, staggered, but we can say that this 2.2 gigawatt is scheduled to be commissioned as far as connectivity is concerned in the timelines you mentioned.

Mohit Kumar: Understood. My second question is, of course, there's a huge capex layout for the next couple of years. Yes, and I think there is some gap in the debt tie-up for the capex plan. When do you expect to tie up the entire debt for the capex for 2.2 gigawatt especially?

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Nikhil Dhingra: Right. So we actually, Mohit, are not seeing any gap on the debt side. What we are trying to do is, let's say our project got sanctioned in one of the board meetings of the leading lenders on Friday. We will make an announcement whenever it is public. But the thing is that the debt sanctions are definitely on time. And of course, we are getting multiple offers for each of these projects.

So the debt tie-up, if all of them are kind of in principle sanctioned, what happens is once we take the sanction, there is a fee payment which we need to do, and there is a disbursement timeline which we need to follow. So what we try and do is sync up the disbursement timelines with the capex timeline, where we actually need to spend money, right. PO ordering is fine, but the lenders want to take their disbursement in 6 months, otherwise their debt needs to be revalidated.

So that is why we have not taken consciously the sanction for some of the projects which are getting sanctioned now. So we will be totally tied up in next quarter for all the 2.2. We have actually got debt for a couple of them, which we didn't draw also. So lenders are also cautiously telling us that ask us to sanction only when you are taking the disbursement in a quarter or so. So that's all we are doing by deferring these timelines of sanctions.

But as far as the lines go, we have lines for all of these 2.2. GW

We go out and we have undrawn

debt even in our operational projects, right? You know the lenders give us lines in our operational projects. So we have more than INR1500 crores of undrawn debt for the projects which we have already taken partial disbursements. So that is, I think on the debt side, we are fairly covered.

Mohit Kumar: The last question, sir, did you see any back down instruction in the quarter due to drop in demand, especially in May 25?

Nikhil Dhingra: So see, on a macro basis, like we said on the industry side, there has been a shortage, there has been low demand and all that. But we are a PPA, 100% PPA-tied company. So when we were selling our one plant in merchant, right, for 1 or 2 months before we signed the PPA with SECI, which is the 300 megawatt plant, at that time we were seeing the drop in the tariffs because of the lower demand.

But it was only for 1 or 2 months for us because our 100% of capacity is tied up in PPAs, so we don't get the impact of this low demand because of our PPA-tied up capacity.

Moderator: The next question comes from the line of Diana Bokinala from Dolat Capital.

Diana Bokinala: Congratulations on a great set of numbers. My question is on evacuation challenges. So we see more contracted projects that is, which have LOA signed off ACME Solar going to come up in Madhya Pradesh and other states right now.

Would this be related to evacuation delays in Rajasthan, Gujarat? And do we see the situation improving in these two states? And any idea on the current status of HVDC transmission projects as well that is going to ease the situation?

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Nikhil Dhingra: Right. Right one. So basically, see, Rajasthan is -- connectivity in Rajasthan in 2026, '27 is not enough for everybody to commission their plants in that state. Of course, everybody prefers to put it there because they have the highest GHI and the associated costs are also lower because of the lower land cost and easier execution which happens in that state. And the most dry period for execution you get at all of any state in India.

So Rajasthan remains the favorite destination for everybody to put up the solar plants. But you can't put up all of your capacity there because you need to time up the connectivity operationalization as per your PPA. So what we have done is we have taken connectivity at, we have a cutoff GHI, which is the radiation. And above that cutoff radiation, we match our tariffs to the place we are putting up the solar plant or wind plant at.

So let's say we have tried and taken connectivity only at those places which have the highest GHI in that state. So let's say a place like Neemuch would have one of the highest GHI zones and it's closer to Rajasthan than closer to MP. So our Neemuch plant is essentially coming in Chittorgarh. It is not coming in Neemuch. So that is how it is.

Similarly, the other state we have zeroed on is Andhra Pradesh and Karnataka. And that Andhra Pradesh project specifically had the seven substations which were supposed to be chosen. And out of those we have chosen the highest GHI zone which was in AP out of those seven substations. But of course, Karnataka is another state which has connectivity.

So you need to actually, if you're executing a IPP based portfolio, which is selling all the power to the government, it makes sense to block connectivity across the -- and that has a yearly commitment in terms of the PPAs.

It makes all the sense to diversify across states and it makes all the sense to take plants which are the connectivity which are coming at early intervals rather than later and not tie up yourself with one state because that's not going to help you commission at frequent intervals of plants. It is a very good, and government also doesn't want you to do that, right?

This ISTS waiver which got expired for solar and wind, the

re is all intent to diversify the

connectivity across India rather than keep it concentrated in generation sources. That is why the government has not extended the ISTS waiver for solar and wind. So we are moving in line with that direction of the government.

In terms of the HVDC, we have taken some connectivity for future in Barmer, Bikaner and also in Ramgarh. So those are lines which are slightly dependent on HVDC. And of course, we are not updated on the actual timeline, but it should be, government is trying to do it prior to 30. We are speaking to the vendors who are doing it, we are speaking to the government.

So all the intent is to commission it in '29 or so, but we are not relying on that for any of our projects. It's a part of the future portfolio for us. It is part of the large scale land acquisition, the government land acquisition, the state land acquisition we are doing. So none of our pipeline is dependent on the HVDC commissioning.

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Manoj Upadhyay : Yes, I want to clarify here, the current -- all current projects, what we are talking about, they are not dependent on HVDC. So we have a three category of project. One project which are under construction. All those connectivity's are available in '26 and '27. So there we are doing and they are not dependent on any of these HVDC or new thing. Then we have a second type of project, which we are planning for '27, '28.

Again, we have a connectivity based on the project which will win. What we are creating the connectivity for '29, '30, that is dependent on HVDC. That we will participate, for those connectivity we will participate perhaps in the tender this year or next year. Just to clarify.

Moderator: The next question comes from the line of Vikram Datwani from Nuvama Institutional Equities .

Vikram Datwani: Thank you for the opportunity and congratulations on a good set of numbers. My first question is, in an FDRE project, my understanding is that when there is a partial early commissioning of a project, the power has to be offered to the procurer at 50% of PPA tariff. So the early commissioning of battery in these FDRE projects will yield us 50% of the tariff cost, is my understanding correct?

Nikhil Dhingra: So just like to clarify, in these FDRE projects, the battery is not considered as a source. So the solar and wind are considered as source and we have taken no objection from the counterparties that this is not considered as a source. It is explicitly mentioned in most of the PPAs. But wherever there is a vagueness, we have taken the explicit NOC from these counterparties because it is not a source. It's just a storage resource.

The generation is, if you are commissioning, early commissioning solar or wind, then you are liable to pay to the vendor because in this case, there is no generation of electricity happening. We are taking it from the grid and we are not charging any bit of renewable capacity. As long as we commission the solar and wind, then you need to follow the principle you mentioned. Vikram Datwani: Got it. So that would actually answer my follow-up as well as to how we can play the merchant market in the early commissioning of the NHPC battery project. Okay, that answers my questions.

Moderator: The next question comes from the line of Siddharth from IIFL Capital.

Siddharth: Hi, sir. Thank you for the opportunity. So my question is, earlier you mentioned that the battery price was 100 USD per kilowatt hour. So is that the landed price in India or the supply cost, like the pay to the supplier? And my second question is that the NHPC BESPAs, which we have signed recently, so is it right to assume that the NHPC we have signed BES S supply agreement with the other party as well?

Nikhil Dhingra: Right, right. So on these two questions both, 100 is the landed price. It includes all the duties and the logi

stics cost also.

Management: Includes BOS also to clarify it. BOS. Transformer. Everything. Everything required for putting up the whole project. And in terms of the NHPC project, none of the PPAs get signed until the ACME Solar Holdings Limited

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power supply agreement is signed with the state. That's the practice which is always there for each of the PPAs. So they had signed with Andhra Pradesh and then only they signed with us.

Moderator: The next question comes from the line of Raman K.V. from Sequent Investments.

Raman KV: Sir, my understanding is, because we are doing a huge capex in the coming 2 years, in FY '26 as well as FY '27, so our debt portion will be substantially be increased. So can you give an estimate almost about how much debt can we expect by this year?

Nikhil Dhingra: Right. So see, capex is financed 75 -25 in terms of debt and equity for us. And typically what we have seen is post -capex, we get revenue within 8 to 9 months of that capex, weighted average capex being done.

So in terms of this financial year, our capex target is close to, let's say, INR 14,000 crores, but it may -- but the weighted average, so the debt for that would be around INR 11,500 crores. But that debt will come towards the end of the year because in this quarter, like we said, we did only INR 800 crores of capex. So it is completely back-ended.

So the weighted average debt will be much lower than, the addition of the debt will be much lower than the capex. Because typically we spend the money just one month before the dispatch of the product. So the whole designing period, the whole, you can say, the ordering period, the capex is deferred.

So from the delivery to the operationalization, that is our efficiency comes wherein we try and operationalize the plant immediately post the key equipment arrival at the site. So the whole site is ready before the key equipments come. So from the capex to the revenue, typically, as I said, our effort is to get it done in six months, not more than that. So that's how -- so the debt will not be addition, weighted average will be much lower than INR11,500 crores. It will be, I can't say the number right now, but it will be much lower than that.

Rajat Kumar Singh: And also because, as Nikhil explained earlier, the debt will be largely coming in terms of LC payments, which will happen towards the fag end of the delivery when the -- just before the commissioning happens. So the impact on the overall debt and the interest cost will be lower.

And also during the construction phase, the IDC has all capitalized, right? So only when the revenue starts increasing, the interest cost hits the P&L.

Nikhil Dhingra: And one more thing, during LC phase, we are trying to take buyer's credit also.

Rajat Kumar Singh: Yes.

Nikhil Dhingra: So that will reduce the cost during construction period. Because during the construction period, the interest rate is slightly higher than the operational period. We are trying to reduce it. We have done it in the past also, by taking buyer's credit. And the equation -- and that is why we are trying to get banks also as a part of our lending portfolio. Because the banks are able to offer you those products in a far agile manner. So that will reduce our operational debt cost, sorry, under construction debt cost also.

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Raman KV: Sir, going forward with the refinancing part, which you already mentioned, can we expect the -- that quarterly interest cost -- quarterly run rate of INR200 crores to INR220 crores this year?

And in the coming year, in FY '27, around INR400 crores. Because by then, your INR11,000 crores of debt will also be taxed, right?

Nikhil Dhingra : Yes. Broadly you are right. It could be around that. But it should be lower and gradual. Because, let's say, if we are able to load u

p that much of debt, then the capex would have happened. And of course, the -- and the capex, there is some bit of reduction possible. And as you see, the prices have been lower than our estimates. So there could be a slight or substantial reduction in this number. But yes, directionally your math is more or less in the right direction.

Raman KV: Sir, and my second part of the question is, with respect to the BESS segment, with the current delay, can we expect this 200 -megawatt BESS revenue to be coming in Q3? And what is the -- at optimum utilization, what kind of revenue can it generate?

Nikhil Dhingra : In terms of the new NHPC contract you are talking about or the commissioning of the...?

Raman KV: Yes, sir.

Nikhil Dhingra : NHPC tender. So NHPC tender is not a large revenue project. Of course, it will generate, at its peak, around INR70 crores of revenue. So it is...

Raman KV: Okay. At annual level, right?

Nikhil Dhingra : Annual revenue. And it is -- of course, we have 18 months from, let's say, June. So we have that much timeline, but we are all for early commissioning of this plant. And we are working with the Andhra Pradesh Government to get their readiness with us. Then we can easily commission it. Once they give us the go-ahead, we can easily commission it in six months. So that's much level of preparedness we have. So we are waiting for them to give us the notice to proceed. This is their readiness. Because we don't want our equipment to come and they are still sorting out their bit of work. That is what we don't want to do, because...

Raman KV: So when are you expecting this to be commenced? In Q3 this year for you to see?

Nikhil Dhingra : No. Actually we are not putting that Q3 this plant. We are putting the FDRE battery as Q3 and Q4. And not this battery commercialization. Yes.

Raman KV: And how much the FDRE battery revenue potential will be? It will be on the same lines of NHPC?

Nikhil Dhingra : It will be slightly higher. Because -- it will be actually quite higher, sorry. Because in an NHPC tender, you are constrained by the bid you made. And it's a 15 -year long contract. So there is a leveled lower tariff. But as we mentioned in replies to one of the questions, the unit rate for a peak power in India, because you are free to sell in whatever hour you want to sell.

So you choose the highest paying hour. And there the tariffs are around INR9. And the charging cost is much lower for the battery, as you know, because you can see the tariffs which are

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prevailing for charging cost. So there will be a much higher revenue purely from -- much higher than this number of NHPC.

And the quantum is also much, much higher. Like we said, we are going to charge 2500 - megawatt hour of battery, whereas this project only has...

Manoj Upadhyay: 550MWh

Nikhil Dhingra : 550MWh of battery. So it's 5 times larger commissioning. And the revenue and profits are also substantially higher.

Raman KV: So it's like 5 times more. What's the peak revenue? I just want to understand what's the peak revenue...

Nikhil Dhingra : So we don't want to -- yes. Yes. Yes. Yes. We don't want to give a guidance on that, since it's a merchant -based project. So it's all part of our upside planning. It's something we have preponed , right? And we are doing it on our best effort basis and we are -- because all these approvals and everything we are trying to do. So we will be able to give you guidance, but that is not happening today.

Raman KV: Okay. And so my final question is with respect to the guidance, long -term, with respect to FY '26 and '27 guidance, like, how much growth are you expecting to see across all the vertical?

Nikhil Dhingra : So see, that is also a function of what we just spoke about in the previous reply. So like we are trying to commission these battery projects, which are the compo

nts of the FDRE. Then we

are commissioning the FDRE projects. So I think most of the research analysts have done the math. So I think depending on these commissionings, we will be meeting those revenue targets, because our PPA is tied up, right? Our costs have some upsides.

So I think that is what you can expect. It is the timeline which we have spoken about in various replies, that FDRE will be commissioned by this time, the battery will be commissioned by this time. I think I will request you to put up these puzzles together. And if you have any questions, our team will be able to take up in detail.

Moderator: I would now like to hand the conference over to Mr. Manoj Kumar Upadhyay , Chairman and Managing Director, for closing comments. Thank you, and over to you, sir.

Manoj Upadhyay : Thank you all for asking a very, very relevant question. And thank you to the entire team that they have delivered a very good performance. As you are all aware that ACME is known for innovation and technology, so I wanted to brief you, and I saw some of the questions also you all have touched on.

I would like to share with you that last week we finished five years of continuous testing of the FDRE, which is the battery, solar and the grid together. And we were able to test the battery degradation, and I'm very happy to share with you they were very well within the limit, what we have thought of, of five years of continuous testing.

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We were also able to test the power electronics reliability because they had to interact with the grid and we collected -- we selected the very poor grid to interact, because normally our grid in the FDRE is connected to 400 kV or 220 kV. They are very, very stable grid, but we wanted to abuse this -- abuse the testing, so we connected to 33 kV and tested all the variation possible in this one, and I'm proud to share with you that it worked very well for so many years.

Third is we also wanted to test the charging and discharging efficiency of the battery, and again, I'm proud to share with you that those testings were well within the assumptions and that also shows the battery can last for five years, ten years, as it was in the charge.

And also it is important in this one how the automatic grid interaction with energy management system will work. For the last five years, we are operating in manual and automatic both mode. Manual mode is when you are able to schedule based on the customer need. Automatic is that when you are able to schedule based on the frequency need, when the frequency in the grid goes down.

We were able to test all this, and that will help us to really that learning to put in the big project installation. As I shared with you in the last quarter, that apart from this, we are also installing 10-megawatt hour battery perhaps in next two months. They will become operational. To -- they again will go through the testing. By the time, our bigger project will get commissioned.

So all these things, we start small, we test it and then we take the position in the big one. So we are continuing this process. And we should be able to share with you in next two months, three months, that the result of even in the second stage of the testing, before the final installation happens in November, December, or January, February.

The third -- what is also important in this, our business is, as we are seeing more and more solar installation, the radiation, and the land, these two things have become very important. So technically, when we are finding is that the higher radiation zone, slowly if they get diminished, what we should do? How do we optimize it?

So ACME started working on new configuration, where we believe from the next project onwards, we should be able to reduce our land requirement by 15%, 20% time, which means that existing land in the high radiation can accommodate

15%, 20% more solar. That will help

us and improve our further generation. And this is what ACME is known for. And we will continue to do that.

The third thing, I think the technology wise, we started with a very small testing of few hundred watts of perovskite. Now we are happy with the performance. Now we will be moving the second level of the perovskite testing, maybe 50 kilowatts to 100 kilowatts, which we should be doing in next three months, four months, and then moving to the bigger level.

That will also show us that when silicon is moving towards perovskite, what kind of operational efficiency, especially in the morning and evening hours in the low light condition, we will gain it. And we will keep on updating you as we finish our testing in the process.

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So apart from the operational performance, cost focus, innovation is the key to ACME and we will keep on maintaining to that. Thank you again for having patience and listening to us. And I look forward for your support.

Moderator: On behalf of Dolat Capital Market Private Limited, that concludes this conference. Thank you for joining with us and you may now disconnect your lines.

Call: Nov 2025

Leading Through Innovation

ACME Solar Holdings Limited

(formerly ACME Solar Holdings Private Limited) CIN: L40106HR2015PLC102129

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November 10 , 2025

To To

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Dept., Corporate Relationship Dept.,

Phiroze Jeejeebhoy Towers, Exchange Plaza, Plot No. C/1, G Block,

Dalal Street, Mumbai 400001 Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 544283 Symbol: ACMESOLAR

Reference: Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, as
amended (" Listing Regulations ") and our earlier intimation dated
October 24, 2025 regarding Schedule of Earnings Call for Q2 FY
2025-26 results with analyst(s)/institutional investor(s)

Subject: Earning Call transcript of the Investors Conference Call held on the
Unaudited Financial Results (Standalone and Consolidated) of the
Company for the quarter ended September 30, 2025 (Q2 FY 2025 -26)

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with Part A of Schedule III of the Listing
Regulations, please find enclosed herewith the transcript in respect of Earnings
Conference Call with the Analysts/Investors held on Tuesday, November 04, 2025 ,
on the Unaudited Financial Results (Standalone and Consolidated) of the
Company .

The Transcript of the conference call has been uploaded on the Company's website
and the same can be accessed from the link provided below:

[https://www.acmesolar.in/assets/pdf/Webcasts -and-Transcripts/ASHL -Earnings -
Transcript -Q2-FY26.pdf](https://www.acmesolar.in/assets/pdf/Webcasts -and-Transcripts/ASHL -Earnings - Transcript -Q2-FY26.pdf)

You are requested to take the same on record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

Encl: As stated

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"ACME Solar Holdings Limited

Q2 FY '26 Earnings Conference Call "

November 04 , 2025

MANAGEMENT : MR. MANOJ KUMAR UPADHYAY – CHAIRMAN
AND MANAGING DIRECTOR – ACME SOLAR
HOLDINGS LIMITED
MR. NIKHIL DHINGRA – CHIEF EXECUTIVE
OFFICER AND DIRECTOR – ACME SOLAR
HOLDINGS LIMITED
MR. RAJAT KUMAR SINGH – GROUP CHIEF
FINANCIAL OFFICER – ACME SOLAR HOLDINGS
LIMITED
MR. ANKIT VERMA – HEAD OF CORPORATE
FINANCE – ACME SOLAR HOLDINGS LIMITED
MR. ARUN CHOPRA – HEAD OF FINANCE AND
ACCOUNTS – ACME SOLAR HOLDINGS LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to ACME Solar Holdings Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rupesh Sankhe. Thank you and over to you, sir.

Rupesh Sankhe: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY '26 ACME Solar Holdings. I take this opportunity to welcome the management of ACME Solar, represented by Mr. Manoj Kumar Upadhyay, Chairman and Managing Director, Mr. Nikhil Dhingra , CEO and Director, Mr. Rajat Kumar Singh, Group CFO , Mr. Ankit Verma, Head of Corporate Finance, Mr. Arun Chopra, Head of Finance and Accounts. So, we will begin the call with a brief overview by the management, followed by Q&A session. I will now hand over the call to Mr. Nikhil, sir, for his opening remarks. Over to you, sir.

Nikhil Dhingra: Thank you. So, thank you all for joining us today. I am Nikhil Dhingra, CEO and Director on Board of the company. I'm, like Rupesh mentioned, I'm joined today by our Founder and Chairman, Manoj Kumar Upadhyay, Rajat Kumar Singh, our Group CFO, Ankit Verma, Head of Corporate Finance, and Arun Chopra, Head of Finance and Accounts. It is my pleasure to share the highlights of our Q2 performance.

Before we delve into our performance, I'd like to share some sector highlights briefly. So, renewable energy sector achieved significant growth with 35 gigawatts of new capacity additions from January through October 2025, bringing the total installed renewable energy capacity, including hydro, to 247 gigawatts. This expansion enabled renewable sources to contribute approximately 27 -odd percent of the India's total energy generation, marking a historic milestone for the sector.

I would also like to briefly mention a few key regulatory updates, which are instrumental in accelerating the power demand and renewable energy installations. There has been a reduction in GST rates, which has been a key reform by the government, on key solar and wind project equipment from 12% to 5%, directly impacting the capital cost and enhancing the viability of solar and wind projects. It should help in reducing the cost of power and, of course, which increases the demand from a renewable perspective as compared to other sources of power. Secondly, the renewable energy purchase obligations have been replaced with a renewable energy consumption obligation with a wider compliance base prescribed for designated consumers like Discom , Open Access, and captive users. It sets out a progressive consumption target to achieve a minimum of at least 43% RE consumption by 2030. This will again positively impact the renewable energy demand in alignment with our 2030 renewable energy targets. Also, on the regulatory side, the CERC notified the third amendment of connectivity and GNA regulations, which is very important for us, wherein it introduced the concept of solar and non -
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solar access to accommodate battery energy storage system in the grid. This is aimed at managing the intermittent nature of solar and wind power while maintaining grid stability. This amendment particularly allows for all of grid power by battery energy storage system for usage of existing connectivity infrastructure, thereby enabling developers to utilize battery energy storage system in their existing operational substations for merchant operations. Also very important, honorable Supreme Court, taking note

of around INR 1.5 lakh crores of regulatory assets, has directed all state regulatory commissions and Discoms to formulate a time-bound roadmap for liquidation of long-pending regulatory assets and for the liquidation of outstanding regulatory assets within four years.

This would bring much-needed financial discipline into how electricity tariffs are determined. This judgment is a very important one in India's regulatory landscape, as it reinforces the statutory obligation of regulatory commissions to ensure timely recovery of cost, thus holding financial liability in the power distribution sector.

Now, coming to our company's performance in this quarter. So, our execution guidance for FY26 was to commission 450 megawatts of renewable energy capacity, and we are on track to achieve it. We have commissioned 378 megawatts capacity till date, and balance 72 megawatts is under advanced stages of construction. We will most likely be done by early part of January with that.

In addition to our earlier guidance, we plan to approximately operate one gigawatt hour of battery energy storage system on merchant from Q4 FY26 onwards, which is expected to give an upside potential of annual EBITDA of around INR 170 crores, assuming price difference of INR 5 between merchant power saving during peak hours and cost of producing the same. With recent commissioning, our operational portfolio now stands at around 2,918 megawatts, capable of delivering an annual steady state project level EBITDA of INR 2,025 to INR 2,075 crores, and an EBITDA yield of around 14%-15%.

For our under construction capacity, which is powering our work, we signed PPAs with Tata Power. This is our first with a private utility. It's with a private discom, a 50 megawatt FDRE, firm and dispatchable renewable energy, which effectively is around a battery of around 250 megawatt hour.

So, in terms of the capex, around INR 10 crore s odd per megawatt capex, and 550 megawatt hour of stand-alone BESS projects with NHPC, which of course is with Andhra Pradesh, and these two PPAs were signed. This takes our total PPA signed capacity to around 2.3 gigawatts, which we are executing.

During the quarter, we won new projects aggregating to 720 megawatt capacity, comprising this 50 megawatt FDRE, which we were able to sign in quick time, the PPA, and 670 megawatt solar plus BESS, thus extending our under construction portfolio to around 4.5 gigawatt, which includes the signed PPA capacity of 2.3 gigawatts.

Both these solar and BESS projects, which is 220 megawatt RUMSL, Morena, and 450 megawatt SJVN, represent distinctive opportunities with strong strategic and financial merits, ACME Solar Holdings Limited
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and with a strong counterparty in place. Firstly, the 220 megawatt RUMSL Morena solar park, this project was secured at a competitive tariff of around 2.764 per unit, entailing four hours of peak supply, and two hours each in the morning and evening, while maintaining a maximum annual CUF of 35%.

Attractive tariff is supported by several cost efficiencies, including non-applicability of ALCM, so you can buy Chinese cells in this. And this was the last one to catch that timeline. Reduced GST rates, again this is the first one to catch this reduced GST rates. And free nights charging by DISCOM, which is again a first, because in all our PPAs earlier, we were charging ourselves. Here, the free nights charging by DISCOM, which sometimes comes at a premium, for meeting morning peak demand, while tariff remains unchanged on discharge and bundled infrastructure within the solar park. So that all comes along with this whole package, making it easier to execute, making it easier to operate.

With land and connectivity infrastructure above 33 KV level to be provided by RUMSL, the project benefits from significant capex savings. Additionally, the presence of

an identified off-taker, because here there is an off-taker which is very keen to sign the PPA as soon as possible. It is expected to expedite PPA signing.

Collectively, these factors ensure a strong risk-adjusted return for the project. As for analysis, we estimate that after accounting for all project benefits, the effective tariff for the bid now

should be around equivalent of around INR 3.5/ unit plus for a solar plus 2 -hour BESS configuration, delivering mid to high teen risk -adjusted returns.

Secondly, the 450 megawatt SJVN project with peak power we won , which is an ongoing 2,200 megawatt hour of battery we will put, at 6.75, this is again a very attractive tariff. It entails only peak hour supply for 4 hours to the off -taker. And this is one of a new kind of projects which will definitely solve a demand because the peak power deficit is a reality.

Of course, the solar hour deficit is no longer there for most states, but peak hour deficit is there for most of the states. So, this solves a problem which will find more takers. And we are getting great demand for this project with various off -takers. So we are very hopeful of signing this.

And of course, the SJVN took consent of various buyers before winning the bid, which has been the scenario now for all the upcoming bids.

So, in this particular bid , the solar generation will primarily be used to charge the battery with surplus energy sold on power exchange. Given the unique project design, the project is expected to deliver a stronger EBITDA to capex yield of around 14 %-15% and a strong counterparty demand anticipated to drive new PPAs signing.

With these new bids, our total portfolio now stands at around 7 ,390 megawatt, including 13.5 gigawatt hour of BESS capacity and 5 ,180 megawatt of PPA signed capacity. We have also placed new orders for 2 gigawatt hour BESS with global suppliers this quarter. This takes our total BESS orders to 5.1 gigawatt hour till date, which is expected to get installed in a phased manner starting in Q4 FY'26.

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As communicated last quarter, we have successfully commissioned our pilot BESS project of 10 megawatt hour at our ISTS plant to assess the effectiveness in different configurations, which will help us reduce costs and increase efficiency for our FDRE BESS suited projects.

Moving to our financial performance now, our total revenue for the quarter stands at INR601 crore, a 104% increase year -on-year. One key point to note is that because of early commissioning by a quarter and delay in commissioning of one of the connectivity lines, the Narela K3 line, the ACME Sikar project of 300 megawatt hour is currently operating under a temporary GNA / STOA, basically short -term open access.

Having said that, the connectivity line is anticipated to be operational by December as per repeated assessments by CTU and of course confirmation at the highest possible level, post which the plant will shift to LTOA, long -term open access and achieve full revenue potential. So, EBITDA for the whole quarter comes in for us at around INR534 crores, again up by 108% with a margin of 89% as against 87% last year. PAT is at INR115 crores, with a PAT margin of around 19%.

We continue to maintain a strong balance sheet discipline. Our net operational debt to EBITDA stands at 4.3 x and our net debt to net worth stands at 1.9 x. Further, the days of sales outstanding has dropped to a record low of 27 days as the proportion of central offtake has increased in our operational portfolio, thus giving us a lot of cash flows, a new realization of our revenue.

Coming to the capital optimization efforts, we achieved a significant interest rate reduction of approximately 75 basis points on existing INR2,080 crore s debt for our operational projects driven by the credit rating upgrade. Additionally, one of our ope

rationals projects has been

refinanced with INR1,100 crores at an optimized interest rate of around 8.4%, which we see coming down further.

On the greenfield side, we secured financing to the tune of around INR7,000 crores this quarter for our 680 megawatt FD RE projects from SBI and REC, which will reduce our costs on the ongoing rate of greenfield because we will be taking buyers credit and LC mechanism, which is possible with the bank financing.

On the credit rating, we had a very significant positive, which is like ACME solar is now upgraded to AA handle. It is rated AA -, by both CRISIL and ICRA, which is a very significant positive for us this quarter. Additionally, our 1 ,100 megawatt of operational projects received a rating of AA -, from ICRA and CRISIL . That's something which happened this quarter on the capital optimization efforts.

On the operational metrics, just to wrap up, in quarter 2, we generated around 153.9 crore s units, which is up from over 134% year -on-year. Also, our capacity utilization factor improved to 24.1% from 22.2% last year, with both plant and grid availability above 99%.

With that, I now open the floor for questions. We will be happy to take them. Thanks a lot.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

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Mohit Kumar: Yes, good afternoon, sir. And thanks for the opportunity. So, my first question is, do you see any risk of cancellation of the projects where PP A is yet to be signed? Do you see a few of the projects which are under LOA getting PPA in the next couple of months?

Nikhil Dhingra: Right, right, Mohit. So, yes, there is an increased urgency from the central government to basically take a decision for the states to sign the pending PPAs. And that is why you see in the last six months, the bids have been low because the government wants to clear up the existing projects first before they go for new bids.

And also, the new bids are now coming with a pre-demand locked in, such that the PPA signing is not extended. Because as far as government is concerned, they want to realize the connectivity utilization. They want to improve the connectivity utilization such that there is no connectivity which is not utilized in the earliest possible time. So that's a wastage of national resource.

So as far as our signing is concerned, we have attractive tariffs across hybrid, across FD RE. And we have ongoing conversations where either the consent letter is coming or the project is at a board stage.

So we have, you can say, with four counterparties split equally almost with all the four counterparties. So we are quite advanced in a couple of them. And, of course, we are not advanced in one or two of them. So now what is happening is because of this urgency, we will see that some of them will get signed earlier and some of them will get signed later.

But if there is a decision taken to basically, let's say, but our tariffs are attractive. So we remain confident because the directive is not to do the legacy PPAs which are not finding any takers.

So that sort of determination of no demand. So we are not seeing in any of our PPAs that there is no demand for it from any state. There is a demand for the state.

But the procedure is a multi-legged sort of procedure at the state where first Discom and the regulatory commission approves. So we are in discussion with all the DRs, wherever we have got. And fortunately, in our cases, there is a demand from states. So we will, as soon as we have clarity on any of these, we have no negative confirmation from anything that they are not finding because we are personally also in touch with most of the states.

So we are not seeing that there is no taker for, let's say, any of these PPAs because

cause the tariffs are

competitive, like we mentioned and some of them the tariffs have not fallen like in terms of the FDRE with four hour peak power, there has not been any tender which has come up, which has beaten that tariff because we have throughout the spectrum of that.

And what makes the earlier ones slightly attractive is that they are coming up in shorter timeline where ISTS waiver is not expiring. So there is a benefit to the buyer if they buy that. Because if a new bid comes, they will surely have to pay the whole ISTS charges. And also, there is a benefit of ALCM because, as you know, there is a big difference between Indian modules and the Chinese cell modules.

So these are the benefits which are appealing. Now, the only thing is it's up to the states to take early decisions and given that we are now picking up on the energy demand. We are hopeful

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that some of the large states will take up early decisions. So that's where we are on the PPA timeline.

Mohit Kumar: Yes, understood. The second question is on the transmission issues. It seems like the transmission projects are facing a lot of issues in terms of commissioning. How do you see the risk to the under-construction project which can delay our commissioning timeline?

Nikhil Dhingra: Sure. So we assess this every fortnight in terms of the connectivity timelines of the substations where our projects are coming up. So just to give you some examples, we like Fatehgarh substations. There are STOA available so we can evacuate power from the STOA. And you look at Neemuch, you look at Bikaner 3, they're all coming within the timeline.

At max, one to three months kind of timeline delay and they are all within the PPA. Like Neemuch plant of ours, which we have signed up with Damodar Valley Corporation through NHPC. So that is actually coming up early because the Neemuch connectivity is operational. It depends on the choices of substation you allotted to that PPA and whether that is coming on time or not. So what we do is the PPA, which has been signed and what our best connectivity is, which are well within the timeline of that PPA. So max delay of a quarter from the signed PPA dates is what we are seeing.

And as an additional mechanism to prepone our revenue, as we mentioned before, we have lined up the battery installations earlier. So that's a separate point, but that is something we are doing on top of this to increase the revenue. But connectivity-wise, from our PPA timelines, we are

not seeing delay more than a quarter in the allotted connectivity.

It is also a function of whether you have taken the liberty of allotting connectivity, which are getting delayed and using the maximum possible time allowed in the PPA or you are looking for early commissioning. And also the inventory of the connectivity available with each and every sort of player. So as far as we are concerned, we have quite a lot of connectivity coming up at various timelines in '26.

So that gives us a lot of flexibility wherever and we have taken connectivity with flexibility, basis Land and basis bank guarantees, which allow you to allocate the connectivity across PPAs. And very little connectivity we have basis letter of award, which kind of lock you in. So that's through our allocation and connectivity inventory, we have been able to address, let's say, if there are delays, then they are allotted to later PPAs.

Mohit Kumar: Understood, sir. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good afternoon, sir. Thank you so much for the chat. Sir, there's a bridge tariff...

Moderator: I'm sorry to interrupt you, Mr. Balasubramanian, but your voice is breaking. Can you please use a handset while speaking?

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Balasubramanian: Right now it's clear, madam?

Moderator: Yes.

Balasubramanian: So this current under construction weighted average tariff is around 4.2 per kilowatt hour, which is relatively higher than current operational portfolio of INR3.4 per kilowatt hour. And this trend is sustainable, especially driven by FDRE or B ESS or do you anticipate any tariff compression as the renewable market measures and becomes more competitive?

Nikhil Dhingra: Sure, Bala. Thanks for inquiry. So, see, in renewable sector because the kind of bids is very dynamic. So I will request you to look at return on capital employed or EBITDA divided by revenue or EBITDA divided by tariff as a metric because all these PPA, let's say the peak power tariff of 6.5, 6.75 looks high on a top line perspective, but the capital requirement is also high.

So I would not compare, I would not do a weighted average of tariffs to realize whether everybody is going up or not, because it is also because it takes a lot of batteries there, it takes a lot of solar there to charge. So the weighted average tariff is sometimes misleading, unless you adjust that for capex. And unless you adjust that for what is the component of that, because each source either generates or stores.

So wind, as you know, sometimes generates higher CUF in certain geographies where the capex is slightly higher. The battery is storing and realizing the benefit of the peak power. So, of course, the tariff has gone up, but the configuration of PPA is also important. What are you giving there? Let's say somewhere you have a leased kind of a project where you are giving lakh per megawatt of, let's say, 2.5, 2.2 lakh odd megawatt monthly.

So the market has got slightly more varied for us to do a weighted average tariff analysis. Of course, for estimating our revenue and capex, but revenue should be looked at with capex. So what guidance we can give you is we will always bid for projects with the 14%, 15% ROCE. That is something we really want to stick to, but tariff and revenue, I would request you to not look at it on a standalone basis.

Balasubramanian: Okay, sir. Sir, on that B ESS side, I think we have operational 10 megawatt hour pilot with two different container configurations. What are the key learnings regarding efficiency in terms of round-trip losses, degradation rates and operation reliability?

Why I'm asking this question earlier, we have our decision to import complete B ESS containers which is prioritized reliability over cost. Just want to know about the key learnings. And is there any long-term service agreements with our vendors, especially for specific terms regarding durations, performance guarantees and degradation losses?

Nikhil Dhingra: Right. So, see, we have a mix of technical and contractual reasons to basically prepone the battery capex like we explained the last time and before last time. So, the contractual reason is that it allows us to capture the arbitrage between the peak power prices and the solar prices prevailing.

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So, you can use solar to charge or lower rates to charge the batteries and sell it on the merchant.

So, that makes a compelling business sense. And, of course, the capex is well within, much

below the range we targeted when we had bid for these projects. So, that makes the commercial part of the decision about getting the batteries early. In terms of the technical part, we, of course, have been operating battery in the group on the Green Ammonia side for the last four or five years.

But here we were trying to, let's say, work out the various combinations of the PCS, of the battery management system, of the inverters, how we can operate with a particular equipment, without a particular equipment. So, we are pleased to say that we have been able to increase the efficiency.

By efficiency, I mean reduce the capex and generate the same sort of energy.

And also, basically, get the reliability in terms of the round trip efficiency numbers which we have contracted and in terms of the discharge rates we have contracted and we have bought. And these all 10 megawatt hours each have been done using some of the suppliers which we are going to work in the future. So, that allows us to reduce the installation time also as we get these large batteries coming up starting early next month.

So, it allows us to reduce the installation time, not any sort of surprises we may get in terms of the various equipments. And also reduce the bill of material for the future projects because some of the configurations we have tested allows us to reduce the capex for our ongoing projects where we are yet to order various equipment. So, it has been quite successful.

And, of course, it will help us because in some projects you need to charge only batteries so you have a little more headroom. In some projects you are installing batteries where solar is already installed so it gives you less headroom. So, I can tell you, let's say, our RUMSL project where we are getting nighttime power from the customer.

So, that gives us some more flexibility to try out this experiment. So, it is dependent on the configuration of the PPA where you can apply some of these tests we have done. So, we will apply each and when and this allows us to improve our convictions on those configurations. So, in terms of the long-term agreement, like we mentioned last time, we have long-term service agreement for 15 years with the vendors we have signed up BESS for.

So, of course, we are paying them annual maintenance fee also and they will have on-ground people and they will have on-ground reserves to service, to guarantee the availability and the round trip efficiency they have told us. And, we have done the factory test in both of our vendors we have done the factory test also with the required levels of efficiency. So, before the dispatch from the third party. So, they are in the range and they are now getting logistics. So, they are on the way to come to India.

Manoj Upadhyay: Nikhil, let me also reply. Here, my name is Manoj. Let me give you one more reply that we were testing the battery for the EMS requirement where we wanted to see that how the battery will behave in the various conditions of discharge, not only what is given in the PPA, but also in the support of if we need the battery for what is called ancillary support in the afternoon or in the morning for short time.

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So, we were testing and it was a very successful test. We did in two configurations and both the configurations helped us to improve not only the long-term discharge, but also very short-term discharge. That was the first. And, second question I think what you had is whether the round-trip efficiency is okay what we have taken in the bid. Fortunately, we were able to improve by 4-5% of the round-trip efficiency because of these configurational adjustments.

So, what we wanted to achieve I think with these two golden containers. We call it golden containers because they come first and we do the whole installation testing. And, with that we are able to ascertain what we have bid and beyond that some of those improvements which Nikhil mentioned we could achieve it.

Balasubramanian: Okay, sir. So, my next question, I think we have refinanced nearly 1,100 crores to 8.4%. So this is a fixed rate or floating rate and what is the average debt tenure and is there any significant near-term bullet repayments are there? And, are we having any hedging strategy given the expectation of volatile interest rates?

Nikhil Dhingra: Right. So, all of our debts which we have refinanced is for a tenure of 20 years average because that is what

we have done. And in terms of interest rates, we are effectively getting a rate of around 8% because it is linked to MCLR plus 10 basis points spread. That is the typical rate we are getting. Of course, because the rating upgrades have happened.

In this project where we have reached 8.4%, it is shortly likely to be reduced to 8%. And that is the rate we are seeing in all of our refinancings for a AA asset from bank financing. If we go for a bond financing, we could catch maybe a better effective rate.

But of course, because of the pre-payment fees and because of the short-term nature of mutual

funds and financing because typically mutual fund players are only there in bonds. Insurance is currently not very highly present for the long-term, where infra-debt funds are typically fund spreading along with banks in the long-term only. So, we are able to capture them in the bank financing.

So, 8% is the typical rate for all the refinances and we are hopeful that we will get all of our portfolios, whichever can be refinanced closer to that rate. And that is a significant upside for us, because -- and this is all floating to your other question. It is floating because we are able to capture the downside in the interest rate -- the down cycle in the interest rate.

We have, of course, done one refinancing last quarter which we did with Bank of America. That was on an NCD. So, that was fixed at around 8.5% which we achieved last quarter. So, that is one fixed.

So, we maintain a proportion of fixed and floating. So, some of the projects which are coming up for refinancing, we will try and see if we can get a longer term bond. Because a three-year tenure, we can do. But we are just going to take a decision about that in terms of the economics of it because it requires you to refinance at a shorter interval.

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In terms of the payments come up, there is no payment which is not backed by a refinancing sanction in place. So, we have refinancing sanctions in place for whatever is coming up for refinance.

Moderator: The next question comes from the line of Ketan Jain from Avendus Spark. Mr. Ketan, you are not audible.

Ketan Jain: Hello. Hello. Hi. Good afternoon, sir. Am I audible now?

Moderator: Yes, sir.

Ketan Jain: Yes. Sir, it is a follow-up for the first question. There was a media article saying that out of the 93-gigawatt of capacity awarded in FY '24 and '25, 42-gigawatt is still pending to be signed.

PPA is pending to be signed and they are planning to cancel these awards and re-bid these awards. How do you think this will impact the industry and how does it impact our projects?

Are these only solar projects which they will cancel or even the complex and FDRE projects are in the risk of getting cancelled?

Nikhil Dhingra: Right. Right. Sir, you are right. So, basically, their target is primarily the solar projects which have been bid, and because they were bids very long back also. And like you know that the government has come up with guidelines that no project should come up without storage on a central bid and that is no longer happening, because storage is now a key part of all the upcoming bids.

So in terms of the take-up at the states of these capacities, so there has been a lot of traction in the last three months to six months about the improvement in the PPA signing. Like, SECI has effectively around 6-6.5 gigawatts of PPA left and same -- and the status with the others are also kind of. So these 42 gigawatts may have gone down. I think if you look at some numbers, they would have gone down.

And the other thing is the regime under which they have been done, that is also sometimes very, the states also like that, what plan is coming up with what timeline it allows them to give ISTS waiver or not. So these -- and if you look at it, these are significant commitments for the state

. Each of these projects will have a revenue of at least \$100 million or something if you look at the overall bid and maybe in some cases more than \$200 million if you look at the 1.5-gigawatt bid. So significant decisions for the state.

Of course, the bids were done in a quick time, and of course, the inventory clearance takes time.

But like the mandate from the government is to -- for the states to make a decision. And of course, if there is no demand, let's say, if somebody is saying that they don't want to buy a plan in solar, right?

They basically have no demand for plan in solar, because if they had surplus solar in some states, they will basically -- But some states still have demand. You see some of the states are not reaching renewables themselves and they have some shortage. And of course, they are looking at some bids where they call batches in their state at each substation.

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So we are quite hopeful that this will find takers. It's a matter of time. And of course, it's a matter of government policy whether they -- I think each REIA will take their own decision in terms of each PPA. So, it will not be a very uniform that out of 40, 20 have been cancelled or something.

For a government, the decision is about not letting the connectivity go waste. So all this is coming up from the point of view of, if, let's say, somebody is sitting with an LOA. Their dates have expired for that connectivity. But still they are hanging on to that LOA, neither building the plant. So, that is a scenario government effectively wants to avoid as per my reading and that is something which you will see most likely this will converge towards.

So not to basically -- whenever there is a dialogue going on, whenever there is a probability of something happening, I think, the time will be given. And whenever somebody is putting up a plant in anticipation and there is a fair progress towards building the plant, those will be allowed to continue and there will be -- so that's how we are thinking about it.

Ketan Jain: Understood. Just in our under construction projects, these -- there are two solar projects for which I think PPA has not been signed. One is ACME Sigma Urja and ACME Omega Urja.

This is 300 -megawatt, one with NTPC and one with SJVN. What is the status on these projects? One of these projects is not there in the current presentation. Are these at the risk of cancellation, sir?

Nikhil Dhingra: So, this NTPC project, I think we had updated a couple of months back that, it was done in a pooling mechanism with NTPC. I think there was -- we had announced to the stock exchanges also. So, that project, because the pooling scheme has been cancelled by Ministry of Projects. Basically, they were pooling thermal with renewable. The NTPC itself was doing that on their own plants. But I think that is under litigation with Bengal. So, that project is, of course, that is why...

Ketan Jain: Understood.

Nikhil Dhingra: That scheme itself is not there and that we had announced a couple of months back. But that is a special case. That 2.52 with SJVN, that is under consideration, because that is under consideration with some states which need that because it is the most competitive tariff in terms of the solar. Now, the decision is how they use that solar is up to states. So some of the states have shown interest. If you notice, you can basically track these all PPA things through tariff filings. So, if you look at...

Ketan Jain: Right. Tariff.

Nikhil Dhingra: Punjab -- tariff filings in the various regulatory commissions.

Ketan Jain: Okay. Understood. Understood. Understood.

Nikhil Dhingra: What -- so, you will get to know which all states have signed, which all states have got tariffs. So, if you look at this specific solar side, you look at Punjab which has recently bought a 2 - gigawatt of solar, right? And the

you want -- that shows that they can want more. So, they are putting it up to the regulatory commission. So, because it is a multi -state process.

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So, some states have something like Punjab as a particular demand. Even in summer, they need peak power for their agricultural load. So, there are some states, specific states which need that power. That is why SJVN is trying, SJVN is looking at and some states have called bids like Madhya Pradesh was considering it.

They have called -- and they have filed it in the tariff also. But what happens is sometimes they call their own bids. So it is a function of each state. So, I would not say this is a low probability. This can get signed. We have to go and it is a state -by-state situation.

Ketan Jain: Understood. Just the last question, book -keeping question on capex. I think we have spent around INR1,400 crores in first half. Our target was around INR12,000 crores to INR14,000 crores. Are we on track for that at capex?

Nikhil Dhingra: See, we have ordered batteries. Like we told you, we have ordered around 5 -gigawatt hour of batteries. So, LCs have been opened. You cannot account for the capex in the balance sheet until the goods have arrived. So, it is very, very lumpy. Like the batteries arrive, you will see this capex doubling or increasing, because a battery typically around a INR1 crore or so once it is fully installed in terms of the capex.

So, INR5,000 odd crores of capex will be done once we have done with this 5 -gigawatt hours of batteries which are coming up in phases starting from January onwards. So, INR5,000 crores on batteries, you can say the modules of course are the last item to come. They are typically 50% to 60% of the overall capex now with Indian modules.

So, that is also lumpy, right, because that -- like the plants which are getting commissioned in June, you will see that modules start coming in January to February there. So, modules for , you can say , around 1 -gigawatt - 1.5-gigawatt which is targeted around June. So, you will see that that will again have a significant capex on them.

So, INR12,000 crores may get split to June. But I think we are by and large there in terms of the capex plan and we have given orders which are in sync with the INR12,000 crores. The delivery timelines are on track like battery has got postponed. Like I said in the connectivity answer that

a quarter of connectivity delay may be there. So, a quarter of capex delay may be also there at max.

Moderator: The next question comes from the line of Puneet from HSBC.

Puneet: Yes. My first question is you talked about division of transmission between solar and non-solar hours. How are you trying to use the non-solar part of it? If you can talk a bit more, can you use it with the existing plants or will you have to put up additional capacities?

Nikhil Dhingra: Right. Thanks a lot for the question. So, see, non-solar connectivity is a very significant GNA amendment which has come and it is basically aimed at utilizing the connectivity which is operational but not to be utilized because of the intermittent nature of renewable and because of, let's say, 6-8 hours of operation of solar.

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So, it allows you to basically put up a plant, a pure plant which generates clean non-solar hours. So, you can put up solar there and you can put up batteries there to charge. The solar is charging that battery and you can basically discharge during any of the non-solar hours and you can also send that solar output after, let's say, even the solar you have put up to charge battery. That can also supply through that connectivity if there is a room available in that connectivity because the solar goes like a sinusoidal wave. So you have -- that is a non-solar hour connectivity. You can use the

output of that solar when you are not charging the batteries to supply through the grid through that connectivity.

So, the aim is basically to use the connectivity to the maximum possible extent and that is where these guidelines really help. And also they have allowed you to charge it from the batteries from the grid. If somebody doesn't want to put solar to charge the batteries, they can draw power from the grid. They are allowed through this mechanism that has also been done in this amendment like we mentioned in the introduction. So, these are the ways in which you can use connectivity.

Puneet: Okay. But for that you will need to put up additional solar plants. There is no way you can use the existing solar plants because you overbuild and optimize. That room is not possible in this.

Is it fair to assume that?

Nikhil Dhingra: So -- yes, so you can use -- you can install batteries. For the existing solar plant utilization, what you can do is, let's say, if you have a 300-megawatt plant, right? And if you in some -- and you generate more than 300-megawatt because of, let's say, excess utilization and because of, let's say, if you have some sort of curtailment or some sort of situation where your power is not getting utilized. Then what you can do is, take a counterparty approval and then supply the excess power into the battery and that is also allowed.

Basically, let's say, we are seeing it, but let's say, for 1 hour of the day you generate more than 300-gigawatt. So, that power can go to the battery and that power can basically you can sell outside the PPA also. So, that is allowed. Of course, you need to be going above the rated capacity to do that, because in that rated capacity there is a right of first refusal with that counterparty.

Puneet: Okay. Okay. Understood.

Manoj Upadhyay: Just -- I want to clarify that clipping, if your question was whether the...

Puneet: Yes.

Manoj Upadhyay: Clipping power can be charged.

Puneet: Correct.

Manoj Upadhyay: Yes. Clipping power can be charged but you have to take NOC from the existing PPA holder.

Puneet: And you have to supply it to the PPA holder at the same price this clipping power...

Manoj Upadhyay: Not necessary.

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Puneet: Or can you supply it...

Manoj Upadhyay: No. No.

Puneet: At the market price also?

Manoj Upadhyay: You don't need to. You don't need. Because it's a clipping power, you can charge...

Puneet: Yes.

Manoj Upadhyay: The battery and supply it in the evening to the market or we see whether any other...

Nikhil Dhingra: They don't have a right over 300-megawatt plus, but of course, you need to apply to them. As per the PPA, they have a right of first refusal only till the rated capacity.

Puneet: Understood. And secondly, you talked about the GST reduction also potentially benefiting. Are any DISCOMs coming back and asking for a reduction or that's not being discussed at all?

Nikhil Dhingra: No, no. For the -- see, that change in law is good without saying that any benefit you get, you have to pass it back. Of course, depending on the regulations. So, we are talking more about the demand perspective that it gives renewable an edge over thermal or any other source, because they are by and large constant, but renewable have got this advantage of significant GST reduction.

So wherever states are thinking about their future capacity expansion, they will have more reason to buy renewable. So in that context, the GST helps. And of course it helps to reduce the upfront capex, but of course your tariffs will be adjusted for any GST reduction. That's the -- so in terms of wherever the PPA allows. So that's the -- it's a future benefit, it's not a current benefit.

Manoj Upadhyay: Actually just to clarify, all our existing PPAs, right, which is getting implemented, we have to pass on this benefit to whichever is i

mplemented in the regime -- in the 5% regime. We will pass on that benefit to the customers.

Puneet: Is it automatic pass-on or will the DISCOM have to apply for that change in law?

Nikhil Dhingra: DISCOM will have to apply.

Manoj Upadhyay: They have to apply.

Nikhil Dhingra: Of course, will have to apply. We have been in touch with DISCOM So, it is basically as per the, I think there is some technical thing where currently the DISCOM is not mentioned in some PPA transmission. It is mentioned because it is flowing from main guideline, but that's a technical point. But as far as the regulations allow, we will have to give that change in law.

Puneet: Understood. And lastly on the new capacities that you have set up in the last 1-year, what kind of CUF have you experienced for your solar and wind?

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Nikhil Dhingra: As a plant at Sikar, right, adjusting for curtailment, it is doing excellently well. And they are done using domestic modules. So, of course this is our first plant using domestic modules. So we have been doing in the, let's say, in the June quarter 30% plus CUFs. And of course in the wind, we have installed wind also like you know. So we had a very good quarter on the monsoon quarter.

And of course the second quarter was a normal quarter. So, we are on track as per our business plan on the wind side. Of course it is early days because we have 78 megawatts only of wind.

So we are yet to see the full year. But by and large as per our predictions.

Puneet: So, in terms of, if you can talk in terms of bit of P90, P75, are they hitting...?

Moderator: Mr. Puneet, I am sorry to interrupt you. But if you have further questions, please rejoin the queue.

Puneet: I will join back. No worries. Thank you.

Moderator: Thank you.

Nikhil Dhingra: So, Yes, solar is close to P50. Wind is also around P75. But the wind is early days because we are yet to see the seasonal. Because the seasonal element is very high in wind. So of course the expectation in the monsoon season is quite high and it is delivered. We are yet to see on the, let's say, non-monsoon season. So till now it is around P75.

Moderator: The next question comes from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: Yes. Hi, sir. I just wanted to reconcile. I think my question is sort of answered. We talked about 720 megawatts of project wins. But when I look at the change in size of portfolio, it is only 420.

I am guessing that is to do with the NTPC 300 which is taken off from the project portfolio.

Nikhil Dhingra: Right. You are correct. Yes. Sure.

Murtuza Arsiwalla: Thank you so much.

Nikhil Dhingra: Okay.

Moderator: Thank you. The next question comes from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Thanks for taking my question, sir. As you explained the capex details for FY '26, but can you give us some funding details in terms of the debt and equity portions for FY '26 capex and next year also based on your operating cash flows?

Nikhil Dhingra: Right. So, in terms of the capex, like, we have a target of INR12,000 crores capex like we discussed. So, all of our capex is between 75-25 to 80-20 debt equity. Lately, we have been getting 80-20 and debt sanctions. But typically, historically, it has been 75-25 debt equity.

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So for INR12,000 crores, it will be INR9,000 crores debt and INR3,000 crores equity. And on

20-80, it will be basically INR2,400 crores equity and you can say around 10,000 -odd from debt. So, that's the basic breakup of each project. And of course, we have the debt. 80% of our signed PPA projects have got loan documents done ready to disburse kind of debt. In some cases, we have drawn the first disbursement. Most cases, we have taken the first

e first

disbursement. And the rest of the 20% where the timeline is '27, and we are getting the sanctions done in this quarter also. So, that's the broad number on the capex side. Like we mentioned that bulk of the capex is done when the LCs are open. Let's say for batteries, we have done the capex. To an extent, we have got the batteries LC open.

Now, we have also wherever the modules you do 4 to 6 months before commissioning. So, let's say, starting December, January, you will get modules at the site also. So it's back in it. It helps us to reduce the interest during construction component, getting the capex done at the -- we getting the -- and also it helps you to deliver just in time in terms of the equipment.

So some of the long-lead equipments like transformers, the GIS, they have been open long back and we are getting delivered earlier also. But some of the equipment which is available in plenty and which contributes a large, let's say, turbines and all, they come just in time, let's say 3 to 4 months before the target COD. And of course, the whole execution is planned around that.

Yogesh Patil: Just follow-up on that side, considering the INR12,000 crores kind of a capex in FY '26, our operating cash flows are not such as strong enough to support the INR12,000 crores kind of a cash flow. In that scenario, we will utilize our cash of INR3,000 crores which are already in the balance sheet. But for next year, from where we will get the equity portion?

Because the next year also in FY '27, we are planning a INR12,000 crores to INR13,000 crores kind of a capex. And to manage that 30% or 25% of the equity to fund that capex. So, just wanted to understand on that side, if you could be a little bit elaborate on that side?

Nikhil Dhingra: Sure, Yogesh. See, like you said, we have that cash in the balance sheet for the current capex. We have undrawn securitization proceeds, which is the debt proceeds, the refinancing proceeds of around INR1,000 -odd crores, which we have not drawn. And there are some refinancing coming up which will add another INR1,000 crores to that.

So, you know, when the project gets operational and you are going from a 9%, 9.5% rate to 8% rate, it leads to the securitization or a refi proceeds getting added to that project. And then to add to this sort of number, we have the, you see the annual PAT plus tax depreciation, right? Which is half a year, we've done around 275 to 260 kind of numbers.

So, if you analyze it, that is the annual cash flow we generate, right, on this side. And as you do, let's say, an 8% to 10% margin, which is on the EPC side, that will also generate some cash flows from the -- from that organic cash flow generation. Plus, of course, the debt reduction will further, the interest rate reduction will further aid into that cash flows.

So, and in terms of the capex itself, right, the INR12,000 crores number will allow us to do more projects because the effective rates of the prices of the things have reduced in terms of battery, ACME Solar Holdings Limited

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in terms of solar. And of course, we have shifted to solar heavy configuration like we have told you earlier. So that has also reduced the capex required to be done.

So, INR12,000 crores number will get us to a fairly higher capacity as compared to the earlier.

So, we think that in terms of the equity drawdown, because of -- and the battery, like we mentioned, 1 gigawatt hour will give us around INR170 crores of cash flow. So that is another early sort of revenue generation, which will help us improve the numbers we told you from the past profitability.

Manoj Upadhyay: I think I would like to also, just a minute, I would like to also add that this year, most of the expenses, what we have done is we have done through equity. So out of INR12,000 crores, INR3,000 crores was the equity. I think initial investment, what we have

done is all through

equity. So, technically what you see, 3,000 is left in this one. Only the small portion of that will be used in these projects and the rest will be used for the next year project.

Yogesh Patil: Okay. And the last one, other expenses have gone up sharply and other income was also higher. Any thoughts on that side?

Nikhil Dhingra: Right. So the other income, we had a hedging gain, which contributed because we had hedged for batteries, which have now started dispatching. So there was a gain on the hedging side, which has contributed to the other income increase from the last quarter to this quarter. So that is the reason for the other income. On the other expensive side, I think it is the increase in the ESOPs and other things which have led to that.

Yogesh Patil: Thanks. Thanks a lot, sir. And best of luck.

Nikhil Dhingra: Thank you.

Moderator: Thank you. The next question comes from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta: Yes. Hi. I just wanted to understand on the bid curtailment front. I just want to clarify, actually, that is it only related to, I mean, is it related to demand? Is it related to the, I mean, the transmission lines not being available on time or, I mean, and what kind of capacity is exposed to such issues going ahead and in the current quarter, last quarter gone by?

Nikhil Dhingra: Right. So, see, the curtailment, wherever you are seeing, is only because of transmission line delays. There is, because in all the PPAs, there is a must-run clause for renewables. So, whenever you have got a long-term open access, you are, you have a legal right to get the full evacuation or full payment for your power which you have generated.

So what happens is when the line is, let's say, our Sikar plant, which we mentioned, got commissioned right in June. So the timeline for that line was around September from the power grid and it got stretched to December now. So it is on the delay of that last mile connectivity because the land prices in Delhi region was asked to be higher than before and there was an election in there.

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So that led to the prices of that ROW or a land parcel in the transmission line, which was falling in the Delhi region, led to delay in that. So it is mostly because of transmission line and the only project in which we are impacted is this Sikar project and that is because of early commissioning and we are better off doing it early commissioning than not.

We do the math, are we better off or not, and then we are overall better off doing it early commissioning. Of course, it will have an impact of 1.5% - 2% on the annual revenue, but that is in an overall sense beneficial because of early commissioning.

Akash Mehta: So, I mean, go ahead. So if we commission on the PPA timelines and obviously there is no transmission availability because of some reason, we get compensated, but in this case, because of early commissioning, we won't be getting compensated, right?

Nikhil Dhingra: In early commissioning also, see, if you get a LTOA, then you are within the rights. In the STOA, of course, you can ask for compensation, but that is dependent on the merits of the case. But in LTOA, you are 100% likely to win the case.

In STOA, it is the precedents are yet to be established. So that is what we of course try, but there are no precedents currently because it is a new sort of case. So, we will let you know when we get a positive hearing on that. But LTOA, there is no issue. So, how we typically plan is because it was a very short, it was a June '25 bid where you had to commission projects for June '25.

So it was, you can say, a one-off sort of bid where the gap between PPA and commissioning was very short and overall it made sense to commission it. But typically, you don't commission until you have the LTOA

. So that is where I was saying that this is more of an exceptional situation than a normal situation. But you get -- in that case, you get the full damage. In STOA, we are yet to see the precedents.

Akash Mehta: Sure. I think that is quite helpful, Yes. That is it for my side. Thank you.

Nikhil Dhingra: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question for today's call. I would now like to hand the conference over to Mr. Rupesh Sankhe for closing comments.

Rupesh Sankhe: ACME Solar Holding Management, for giving opportunity to host this call. We also thank all the investors and the analysts for joining this call.

Moderator: On behalf of ACME Solar Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2026

Leading Through Innovation

ACME Solar Holdings Limited

(formerly ACME Solar Holdings Private Limited) CIN: L40106HR2015PLC102129

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February 04 , 2026

To To

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Dept., Corporate Relationship Dept.,

Phiroze Jeejeebhoy Towers, Exchange Plaza, Plot No. C/1, G Block,

Dalal Street, Mumbai 400001 Bandra -Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 544283 Symbol: ACMESOLAR

Reference: Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, as
amended and our earlier intimation dated January 20, 2026
regarding Schedule of Earnings Call for Q3 FY 2025 -26 results with
analyst(s)/institutional investor(s)

Subject: Earnings Call transcript of the Investors Conference Call held on the
Unaudited Financial Results (Standalone and Consolidated) of the
Company for the quarter ended December 31 , 2025 (Q3 FY 2025 -26)

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with Part A of Schedule III of the Securities
and Exchange Board of India (Listing Obligations and Disclosure Requirements)
Regulations, as amended , please find enclosed herewith the transcript in respect
of Earnings Conference Call with the Analysts/Investors held on Friday, January
30, 2026 , on the Unaudited Financial Results (Standalone and Consolidated) of
the Company .

The Transcript of the conference call has been uploaded on the Company's website
and the same can be accessed from the link provided below:

[https://www.acmesolar.in/assets/pdf/Webcasts-and-
Transcripts/04.02.2026_Q3_FY26_Earning_Call_Transcript.pdf](https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/04.02.2026_Q3_FY26_Earning_Call_Transcript.pdf)

You are requested to take the same on record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

"ACME Solar Holdings Limited's Q3 FY'26 Earnings
Conference Call "

January 30, 2026

MANAGEMENT : MR. MANOJ KUMAR UPADHYAY – CHAIRMAN & MANAGING DIRECTOR , ACME SOLAR HOLDINGS LIMITED

MR. NIKHIL DHINGRA – CHIEF EXECUTIVE OFFICER , ACME SOLAR HOLDINGS LIMITED

MR. RAJAT KUMAR SINGH - GROUP CHIEF FINANCIAL OFFICER , ACME SOLAR HOLDINGS LIMITED

MR. ANKIT VERMA – HEAD (CORPORATE FINANCE) , ACME SOLAR HOLDINGS LIMITED

MR. ARUN CHOPRA , HEAD (FINANCE & ACCOUNTS) , ACME SOLAR HOLDINGS LIMITED

MODERATOR : MR. ABHISHEK NIGAM - MOTILAL OSWAL FINANCIAL SERVICES LIMITED

ACME Solar Holdings Limited
January 30 , 2026

Moderator: Ladies and gentlemen, good day and welcome to ACME Solar Holdings Limited Q3 FY '26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Nigam from Motilal Oswal Financial Services Limited . Thank you and over to you, sir.

Abhishek Nigam: Thank you. Good morning, everyone, and thank you so much for joining in.

On behalf of the Company we have with us today, Mr. Manoj Kumar Upadhyay – Chairman & Managing Director , Mr. Nikhil Dhingra – CEO , Mr. Rajat Kumar Singh – Group CFO , Mr. Ankit Verma – Head of Corporate Finance and Mr. Arun Chopra – Head of Finance and Accounts.

Now, without any further delay, I will hand it over to the Management for opening comments. Over to you, sir.

Rajat Kumar Singh: Good morning, everyone. Thank you all for joining us today. I am Rajat Kumar Singh – Group CFO of the Company. I am joined by our Founder and Chairman – Mr. Manoj Kumar Upadhyay, Mr. Nikhil Dhingra – our CEO, Mr. Ankit Verma – Head of Corporate Finance, and Mr. Arun Chopra – Head of Finance and Accounts. It is my pleasure to share the highlights of our Q3 performance. I would like to start with sector highlights and their implications on us :

India continues to maintain strong momentum in capacity addition with 30 gigawatt of solar and 4.5 gigawatt of wind addition in nine -month ending FY '26, taking cumulative renewable energy capacity to 258 gigawatt. Further, power demand rebounded sharply in December '25 with energy demand at 138 billion units, a 7% year -on-year increase, followed by subdued power demand during April to November '25, when energy demand was flat on account of early monsoon. We expect the demand revival to continue going forward, resulting in increased PP A signing.

Further, China has announced withdrawal of VAT export rebates for solar products and phased withdrawal of VAT export on batteries from April '26. While this represents a policy shift, the impact will ultimately be governed by supply -demand dynamics, which we expect to remain favorable for buyers. Against this backdrop, for our FY '27 planned contracted capacity of 1.5 gigawatt, we have already procured 1.7 gigawatt peak -up modules and a large amount of B ESS within the budgeted ACME Solar Holdings Limited

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cost covering, about 50% of module requirement and entire B ESS requirement, which doesn't have any impact of planned VAT reduction in China.

On the orders procured , there is a saving of more than 10% in the overall CAPEX from the budgeted cost. We are pleased to inform, we have signed order for additional 5 gigawatt hour of B ESS within the budgeted cost. So, marginal cost for procurement done post VAT announcement done in China for both modules and battery is well within the budgeted cost. Therefore, we don't foresee any impact on budgeted cost of Chinese announcement. On curtailment, there are two kinds of curtailment, transmission -linked and grid -stability -related. We would like to assure you, there is no impact on

revenue from grid -stability -based curtailment on ISTS side as it's completely protected by G NA regulations. There is only transmission infrastructure -related curtailment due to in -process transmission links, which is temporary. This doesn't impact any long -term GN A holders as once granted, there is no impact of such curtailment.

For us, we faced one -time curtailment loss of about 17.5 crores in our 300 megawatt Sikar project due to operations un

der temporary G NA during the quarter. Excluding this, curtailment across the remaining portfolio was negligible, less than Rs. 1 crore, reflecting the overall robustness of our assets base. Thus, in all, there was less than 1% of loss of annualized revenue due to curtailment. Importantly, now with commissioning of Narela Khetri line with effect from 14th December 2025, ACME Sikar is operating at full capacity without any curtailment.

Now, coming to our Company's performance :

During Q3 to date, we commissioned 72 megawatt of wind capacity, taking our total operational portfolio to 2962 megawatt with EBITDA to CAPEX yield of approximately 14.5%. Cumulatively, with 422 megawatt commissioned year to date, we remain firmly on track to achieve our FY '26 commissioning guidance of 450 megawatt with a balance 28 megawatt at advanced stages of construction.

Further, as highlighted in our previous earnings calls regarding the operation of 1 gigawatt hour of BESS on a merchant basis in Q4 FY '26, we are pleased to upgrade this guidance to 2 gigawatt hour of BESS becoming operational in this current quarter and additional 2 gigawatt hour in the Q1 of FY'27. Towards this, 1,150 megawatt hour of B ESS has already been delivered at 3 sites and is at advanced stages of commissioning.

With respect to our under construction capacity, we have committed total CAPEX of Rs. 8,200 crores which includes CAPEX incurred of about INR 2,550 crores and purchase order aggregating to about Rs. 5,700 crores. Also, connectivity is available for all under construction projects including unsigned PPAs. We signed PPAs of 450 megawatt capacity which includes 200 megawatt of solar plus ESS with SE CI and 250 megawatt FDRE project with NHPC taking our PPA signed portfolio to about ACME Solar Holdings Limited

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2.7 gigawatt. The 250 megawatt FDRE NHPC PPA has been signed yesterday at a tariff of Rs. 4.33 per unit and is allocated under the Greenshoe option. Also, we won 130 megawatt round the clock project at a tariff of INR 4.35 per unit with REMC Limited expanding our under construction portfolio to 4.8 gigawatt. This project is for procurement of power by Indian Railways and requires a minimum annual availability of 75% for the first three years from commissioning and 85% thereafter. The tariff discovered demonstrates the competitiveness of renewable over thermal power generation at competitive price. With this addition, our total portfolio stands at 7,770 megawatt including 16.0 gigawatt hour of B ESS capacity and 5,630 megawatt of PPA signed capacity.

Now coming to our financial performance :

Our total revenue for the quarter stands at Rs. 617 crore, a 54% increase year on year driven by capacity addition and higher CUF. EBITDA margin of 91.5% in Q3 FY '26 as compared to 89.6% last year on account of favorable operating leverage and optimized operational efficiency. PAT stood at Rs. 114 crore with a margin of 18.4%. Also, we generated cash ROE of 20.6% for December '25 driven by higher cash PAT following operational capacity additions. In terms of balance sheet strength, our net operational debt to EBITDA stands at 4.2 x, net debt to net worth stands at 2 times.

Coming to our debt optimization efforts :

Through successful refinancing efforts and credit rating upgrades across parent and subsidiary levels, we have reduced the weighted average cost of our debt of our operational portfolio to 8.45% per annum down by over 100 fixed basis points from December '24. Also, the weighted average cost of debt for entire outstanding debt covering operational and under construction projects stands at 8.6% per annum. As of date, debt has already been tied up for more than 90% of PPAs signed under construction portfolio. This one excludes 250 megawatt which we signed yesterday. On credit rating front, our 2.5 gigawatt operational rated portfolio, 75% is AA category and balance is

A category,

underscoring the continued strengthening of our credit profile.

Now at last, coming to operational metrics for the quarter :

We generated 1,567 million units, up over 49% year -on-year. Our CUF improved to 24.3% from 22.7% last year. Further, our grid availability and plant availability stands at more than 99.5%.

Now at last, I would like to briefly outline our strategic priorities till FY27 :

As part of our capacity build -up plan, we intend to execute approximately 1.5 gigawatt of contracted renewable capacity in FY '27 and more than 10 gigawatt hour of BESS commissioning by calendar year 2027. In terms of execution readiness for FY '27, debt has been secured for almost entire capacity. Land acquisition has been completed for majority of the projects. Connectivity is fully

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secured and majority of modules and BESS capacities have been ordered and have started delivering at sites and getting commissioned in phases.

This level of preparedness gives us strong visibility on timely execution and disciplined capacity addition. As a strategy, we are fast tracking BESS installment of 10 gigawatt of our FDRE projects by calendar year 2027, to unlock value early. By deploying batteries at existing operational sites, we are optimizing the use of available transmission infrastructure, saving transmission CAPEX of about 20 lakhs per megawatt, avoiding execution and right-of-way challenges. This approach is expected to enable early cash flow generation while ensuring seamless integration of BESS with the respective FDRE projects upon full commissioning where they will continue to operate under long-term PPAs for 25 years. PPA signing continues to remain a key focus area with near-term visibility of approximately 770MW. This includes invitation received for signing of 130 megawatt REMCL PPA and PSA consent secured from the Discoms for 640 megawatt with regulatory approval at an advanced stage.

Further, as a measure of readiness, we have about 7.5 gigawatt of secured and applied connectivity inventory available for upcoming bids over and above existing portfolios, coming live in phases till FY'33. Also, we will focus on winning new projects that meet our threshold return criteria to progress towards a target of 10 gigawatt operational capacity by 2030.

With that, I now open the floor for questions. Our team would be happy to take them. Thank you very much.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question comes from the line of Aniket Mittal from SBI Mutual Funds. Please go ahead.

Aniket Mittal: In your opening remarks, you mentioned that there has been some increase in the marginal cost of procuring modules. If you could just quantify that in the current environment, what is the cost of procuring modules now? And accordingly, what would be the capital cost for us to set up a solar project?

Nikhil Dhingra: Right, Aniket. So, like we mentioned, there is a withdrawal of the rebate, which is different for modules and which is different for battery. So, basically, what we are seeing is there is a marginal increase in the prices of cells because right now, for our projects, we need to only procure cells from there. The rest of the BOS is all from India. So, there is only impact on the cells to the extent of, you can say, around an overall module cost, it's not more than Rs. 1. Basically, the impact of this change is only Rs. 1 if you look at the landed cost of modules for us because there is a China procurement, there is a FTA procurement. So, suppliers are able to supply from either of these. And we look at the overall landed cost to us, which is not more than Rs. 1. And from our budget, it is, let's say, less than by Rs. 1-Rs. 1.5 even after this increase.

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Manoj Kumar Upadhyay : Now,

the other thing is important to share here. 50% we have already procured, which was where this Rs. 1 was not counted for or it was not there. So, technically, 30% to 40% of our additional capacity, this Rs. 1 will be applicable.

Nikhil Dhingra: The other thing is in terms of the impact. Usually, we have seen in the past, this kind of impact happens at the transition phase of the procurement. What we also do is we procure quite a lot of modules before March. We expedited our orders and we have lined up deliveries for quite a lot of modules prior to March. And of course, there will be a disruption and there is a Chinese New Year coming up in February. So, usually, we see that these kinds of disruptions are caused to increase prices of Chinese products, which basically even out as we go in supply and demand because ultimately, this is all driven by their regulations. There is no change in their supply-demand dynamics. So, this is temporary because there is, of course, a glut there and we do not see this impact of even Rs. 1 lasting for more than a couple of months.

Aniket Mittal: Okay. Just to understand from an overall capital cost perspective, what would be the CAPEX or megawatt on which you can set up a solar plant on the current prices?

Nikhil Dhingra: So, it was, let us say, around 3.3, it would have gone to 3.35.

Aniket Mittal: This is on a DC basis?

Nikhil Dhingra: Yes, on a DC basis, yes.

Aniket Mittal: Okay. And this includes soft costs?

Nikhil Dhingra: Every cost, yes, all the costs.

Aniket Mittal: And, sorry, just to clarify again, this is for a non-tracker system?

Nikhil Dhingra: Yes, we do not do trackers.

Aniket Mittal: Okay, great. Just one more question was, our wind project has delayed quite a bit and while you have been commissioning, it is taking us some time to commission. Could you just highlight on that?

When do we expect this project to get completed and the reason for delay?

Nikhil Dhingra: So, wind project is expected to be completed in February, early part of February. So, the reason for delay was there was a sand mining ban in Gujarat, which was there, due to which you could not take the sand from the neighboring areas, which impacted this in the last phase, in the last couple of

1Stated "early part of February" during the call. However, "within February" is the correct reference
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months. But of course, we have overcome that kind of issue and we have been able to build it within the timelines. Basically, in terms of pathways and the rains , of course, where there were extended rains last year, which again impacted the timeline, because we have basically seen that the pathways construction is almost like a right -of-way construction in wind, which is like building a transmission line in solar . So, it takes time and of course, we got extension also because of these reasons and we are building within those timelines.

Aniket Mittal: I got that. I will join in the queue for follow -ups. Thank you.

Nikhil Dhingra: Thank you.

Moderator: Thank you. The next question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes, good morning and thanks for the opportunity. My first question is on the 250 megawatt you signed yesterday. Is this 250 megawatt part of the NHPC where you have signed the Greenshoe capacity? And can I expect this entire capacity to be commissioned in the F Y'28? And related question is, have you given a discount on the initial numbers? I think the rate was 4.56, right?

Nikhil Dhingra: So, just to answer your three questions, the first two are yes, the Greenshoe is part of the original capacity allotted. And of course, this is expected to be commissioned in F Y'28, definitely. And of course, on the tariff discount, yes , there is a discount because there is an impact on the IS TS charges. It could be there f

or Discoms because of the delay in PPA signing. So, there is some discount there, which is to factor in those charges which the Discom may face.

Mohit Kumar: Have we got the Discom approval or Discom PSA signed for this 250 megawatt? Or is it still awaiting?

Nikhil Dhingra: See, the process is that the PSA gets signed between NHPC and Discom and then the PPA gets signed between the NHPC and us. So, both of these activities have been completed. The only thing pending is the regulatory approval from Punjab regulator and also a similar thing from the C ERC. But the PPA has been signed with NHPC and the PSA has been signed between Punjab and NHPC.

Mohit Kumar: Understood , sir. Can you please help us with the COD for 680 megawatt and 190 megawatt FDRE projects?

Nikhil Dhingra: Right. So, in terms of the 190 megawatt projects, we are targeting FY '27 for the project. And for the NHPC projects, it is FY '28. And these are in sync with the substation timelines at both these projects.

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Mohit Kumar: Understood. My last question is , how do you see the impact of the new DSM regulations, which are going to kick in from April '26, and our preparedness as an industry?

Nikhil Dhingra: Yes. So, there is a lot of deliberations happening on this DSM regulations at all the industry forums, at the Power Ministry, at the Renewable Ministry. And it is a matter of high discussion. And all the top decision makers are apprised of the difficulty, which the wind projects primarily may face more than solar. And of course, the thing is, you can overcome this. Of course, it is coming in phases. As you know, it is coming in phases till 2030. The thing is, with batteries coming up, the overall instability caused by the renewable power will reduce. So, there is a lot of emphasis on installing batteries on the existing plants. So, Power Ministry and MNRE are together working on resolving this issue. There are a couple of solutions being floated around. One is that making it prospective and not retrospective. The other solution is being contemplated is to install batteries at the existing plants to take care of the unpredictability of the radiations and these wind flow. So, and of course, allowing that excess battery to be sold in merchant to compensate the developer. So, different solutions are being worked out for wind and solar. And also looking at the prospective implementation. So, this is something being happened. In terms of solar, it has a much lesser impact as compared to wind. And the other thing is, it is not impacting on the battery -based projects because they don't have such problem. So, it is also very important to note that most of our projects in Rajasthan, they are all being fitted with the battery. So, technically, in all those projects, there will be hardly any impact because the battery will be able to take care of that.

Mohit Kumar: Understood, sir. Thank you and all the best. Thank you.

Moderator: Thank you. The next question comes from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta: Hi, sir. Thank you for taking my question. First, just wanted to check in terms of the battery, in terms of your capacity addition of 2 gigawatt hour that has happened, how much, I mean, in terms of profit, if you look at the run rate is about Rs. 2,000 crores -Rs. 2,100 crores, right, in terms of operating profit. So, how much this could kind of, the battery projects could kind of add in profit if you just help us understand in terms of 1 gigawatt hour if you sell it in merchant in terms of next couple of quarters?

Nikhil Dhingra: Right. So, 1 gigawatt hour of battery results in around 170 crores of EBITDA if operated for 12 months and this is assuming a Rs. 5 arbitrage between buy and sell price. So, that's the broad maths.

Akash Mehta: Okay, I think that's quite helpful. And if you, I mean, next year,

I mean, going into fiscal '27, you

mentioned 1.5 gigawatt will be added, right? I mean, for ACME?

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Nikhil Dhingra: In terms of battery, yes, in FY '27, we plan to install around 4 gigawatt hour, FY '27, it's around 4 gigawatt hour and CY '27, 10 gigawatt hour.

Akash Mehta: No, in terms of total capacity addition, I mean, in terms of the ...

Nikhil Dhingra: Overall plans? Yes, so FY '27, 1.5 gigawatts of contracted capacity we will install and battery addition is, let's say, 4 gigawatt hour in FY '27 and which is, of course, in some cases part of the project, in some cases merchant and around 6 gigawatt hour more in rest of the CY '27.

Management: So, 1.5 gigawatt of capacity which is scheduled for commissioning in FY '27 will require roughly battery capacity of roughly 3-52 gigawatt hour. And over and above, anyway, this will get installed and be integrated to FDRE projects. And over and above, roughly 1.5 to 2 gigawatt will further get installed.

Management: So, these are 1.5 gigawatt mostly FDRE. So, they technically will be 3-3.5 gigawatt of solar, some 400-500 megawatt of wind and 3-53 gigawatt hour of battery.

Akash Mehta: Okay, I think that's fair. So, this will come in over quarter or this is more of first half or second half? I mean, if you can help us with that?

Nikhil Dhingra: Yes, basically, you see, this is the connectivity timelines for each substation. So, yes, it is coming actually in very, there is some capacity which is coming up in the first around Q2 of FY '27. So, starting from Q2, these will all come up.

Akash Mehta: Okay, and that helps a lot.

Nikhil Dhingra: Of course, the battery installation will happen from this quarter only. But in terms of the full project commissioning, FDRE commissioning, that will start from Q2.

Akash Mehta: Okay, and lastly, on the industry level, have you seen any pickup in terms of the PPA signing? I mean, the existing around 40 gigawatt of PPA that's there in the system. But I mean, what's your view and how much time it will kind of take for the market to kind of absorb this?

Nikhil Dhingra: So, see, everybody is trying to make an effort to streamline the takeoff. And of course, as the power demand has gone up, so, of course, there are a couple of elections also coming up. So, we will see that there will be a takeoff in terms of the PPA at the industry level. Couple of reasons for that. One is that the bids are now coming with the demand-centric bids. And there is a lot of reduction in the new bids which are coming, which is, of course, increasing the demand for the existing PPAs. The

2 Stated as 3.3 gigawatt hour during the call, however, 3-5 gigawatt hour is the correct reference

3 Stated as 3-3.5 gigawatt hour during the call, however, 3-5 gigawatt hour is the correct reference

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other thing with existing PPAs is they are to be done with Chinese cells. And of course, the cost which a developer is able to offer is competitive. And also the ISTS waiver, because the connectivity is tagged up with these projects are coming up early, like '26, '27, '28. Every state wants to take benefit of the ISTS waiver charges, because it's a very tangible number. So, there is an incentive inbuilt in these bids for the projects to take up. And of course, now with streamlining of REIA, which is being contemplated, wherein no competing bid for an existing bid will come up, which will further increase the takeoff. Because what happens is one REIA comes up with a bid, which is undercut by another bid, which is unlikely to happen in the future. So, that is why PPA will take off. As far as we are concerned, we have near-term visibility of, we have signed PPAs, as mentioned in our presentation. And we have near-term visibility of 770 megawatts. We have signed around 450 megawatts this quarter. So, as you can

see, we are an example of that these PPAs are happening. And

of course, it will happen. What happens is, states are trying to aggregate large procurements. They are doing it in phases, because quite a bit of pipeline is there, like you rightly mentioned, 40 gigawatts. So, everybody is picking and choosing in terms of what they want to buy. Most of the states have peak power requirements. So, they are trying to fit their peak power requirements along with the available pipeline. So, we think that there will be a good takeoff in the next 1 or 2 quarters, because there has been quite some time where people have deliberated each state. And there are large states, 5-7 states, which are likely to buy.

Akash Mehta: I think that answers my question. Thank you a lot and all the very best.

Management: Thank you.

Moderator: Thank you. The next question comes from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.

Apoorva Bahadur: Hi, sir. Thank you for taking that question. I had a query around the battery commissioning. When should we expect the first BESS to be commissioned? And secondly, will it be modular, as in, like solar modules, can we keep on adding these containers and probably start operating them parallelly, or do we have to require for a site to reach a critical size before commissioning it?

Nikhil Dhingra: Thank you, Apoorva, for the query. Basically, it is modular. We have already taken CEA approval for around more than 580 megawatt hour of battery commissioning. We are doing it parallel execution at three sites. You will see that each of these sites, there are one gigawatt hour plus of installation at two sites, and one site is around, you can say, closer to a gigawatt hour. At each of these sites, we will take them to the 4-gigawatt hour, which we spoke about in the next, you can say, 6 to 9 months, starting from this month, February, starting from February. So, it is modular. The only thing which you need to do is just call, we need to take up the CEA approval, which we can do in phases. There is a seven-day prior notice, which you need to give for the approval. It is completely modular. What you need to have is basically the transmission infrastructure to enable the supply of

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power, which we have at all places. So, the long lead item which is required, which is the transmission connectivity, which we have at all sites. The rest of all is modular. The battery, the PCS, the electrical infrastructure, that is all modular.

Manoj Kumar Upadhyay: So, we are starting with the 500-megawatt hour, as Nikhil mentioned. So, every three sites, the capacity is around 100 to 150 megawatts to start with, and we will keep on adding more and more batteries as they are coming on the site. And in this process, we have to just inform CEA to come and visit at every time when we add.

Nikhil Dhingra: Just to add on this, we have 1.2 gigawatt hour lying at our sites, out of which we have taken approval for only 600 megawatt hour. So, you will see that we will take more and more because it is all modular. And of course, it is helpful for the grid. And we have got approvals also, the connectivity approvals. But of course, since we are doing the charging at a large scale, it will be done in phases.

Apoorva Bahadur: And so we will be charging these using the merchant power?

Nikhil Dhingra: Yes. For time being, until our FDRE plants come up, we will be charging using merchant power, you're right, during solar hours.

Apoorva Bahadur: Sure. Also quite commendable, I think we managed well on the curtailment side. The industry has been suffering. Would be curious to know about this revenue recovery on C TU curtailment? Who will pay? Is there a clear structure that a Discoms need to pay, even if it's a grid stability reduced curtailment or there's any other mechanism? Secondly, are we receiving th

ose payments or sitting in our receivables?

Nikhil Dhingra: So, we are receiving those payments. How it works is this is part of the ancillary regulations of the transmission guidelines. What it means is that for the stability of the grid, they can do a TRAS -Down. Basically, what it means is that for the grid stability, if the CEA or NRLDC chooses to adjust your power, the state can't adjust its schedule. State has to get the same amount of units it was supposed to get. And because it has got those units, it has to pay for it. And we don't have to adjust our schedule. We are also paid as per our schedule. And both sides are there for supplying and they are taking. And our bill does not get adjusted because this is done purely to adjust the grid stability. So, there is a very clear regulation. The state doesn't know that we were being curtailed also because this is completely done at the central grid level. And the state has no involvement in this whole TRAS -Down scheme.

Apoorva Bahadur: Sure. And sir, where we are connected to the state grid, how has been the situation on curtailment?

Nikhil Dhingra: So, state grid, of course, we are trying to get the similar regulation done in their transmission rules because generally what happens at the state level, the transmission and GENCO both are owned by
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the state government. So, there is a common officer or the regulator who is taking care of that. So, there is actually a very minor curtailment which happens in the state, which we have mentioned that it was around less than one crore on the state level portfolio. So, there also the regulator is sympathetic to this cause because the now states also have significant solar assets, which are also impacted. And they are trying to put a lot of batteries at state level, as you know, with the VGF, which is coming up at the state level. So, we see this again as a temporary problem because states have aggressively picked up the batteries. There will be less inability they will have to adjust their grid. So, there is an impact in Rajasthan, but which is very minor. And of course, we are trying to solve it regulatory and states are themselves trying to solve it through batteries.

Apoorva Bahadur: Okay, fair enough. So, last question from my side, and this pertains to the other entity, promoter entity, which houses the green hydrogen business. Understand that we have won a couple of SECI auctions. Any update on that as in how should we expect the build out over there? And secondly, will there be any sort of arrangement between ACME Solar and ACME Cleantech of sale of power and how would that work?

Nikhil Dhingra: Right. So, see, we have won the auction. And of course, there is that GAPA, which is going to get signed. So, it is, of course, not yet signed. And there will be in a quarter or so, it may get signed. So, they will make their own arrangement regarding power in terms of the power. So, there is no requirement from our side to supply that power. Of course, they will be buying through various mechanisms, including procurement from REIAs, including their own CAPEX, and maybe from C&I, because it will involve some bit of connectivity sharing. So, that is the broad. We have not yet evaluated in detail whether it makes sense for us to supply or not. So, we will be able to tell you once we make that analysis. So, right now, there is no plan to supply to them for that power, because there are certain regulations which they will need to see in terms of the EOUs, in terms of the NFE. So, it is evolving space, because there are a lot of regulations which are enabling the green hydrogen today in terms of transmission waiver, in terms of these export-oriented units. So, I think that regulatory framework is still getting frozen. So, they have not yet, of course, there is a lot of connectivity available with them. So, they can

do their own power also. So, there is no decision as of now whether we will be supplying or not, because we have our own CAPEX plan. We have our own sort of demand coming up from the utilities. So, there is no decision that we are going to supply to that company.

Apoorva Bahadur : Understood, sir. Thank you very much.

Moderator : Thank you. The next question comes from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal : Yes, sir. Thank you so much. I had a structural question on the curtailment thing. We understand how it happens and all those. So, the point is, assuming that India keeps adding about 25, 30 gigawatt and probably even more annually, and your demand goes by about 12, 15 gigawatt on an incremental

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basis, there is an excess of solar supply every time. Probably, batteries will address it to some degree, but then there could be timing issues, the cost issues, and multiple issues. So, it seems this curtailment thing, unless I am wrong, this curtailment thing could be a bit structural. So, just wanted to understand, is it fair to assume 5% or probably 10% impact on revenue because of curtailment for future projects? Or you already build that when you forecast in terms of how your IRRs are going to get built up, or the whole understanding itself is wrong?

Nikhil Dhingra : See, Dhruv, you are right on the numbers in terms of the structural, but how it works is the regulation.

Basically, it is a regulated sector, right. So, you are right in terms of the, let us say, supply-demand match. And of course, there will be an impact of battery, which you rightly said it will be adjusted.

But the thing is, there is a difference between curtailment and payment. So, in terms of our revenue, because of the regulations, there is no impact. Because this was made keeping in mind the must-run status of renewables, keeping in mind that the revenue needs to be paid because nobody is at fault here in terms of the developers. So, there will be no revenue impact, of course, on the net and the states also, and the buyer will get whatever units they are getting because it is at the central grid. It is not a one-to-one correlation between the supplier and demand. If it was a one-to-one correlation and we were not on the national grid, let us say, it was a C&I thing, which is the buyer is curtailing us that is not the case. It is a grid stability thing. So, even despite this supply-demand, there will be no impact on the revenues.

Manoj Kumar Upadhyay : Now, the other thing I think you should know, Dhruv that the government is adding, the government and the state, central government and the state, both are adding large amount of the battery. And these batteries, what they are doing is, as you rightly said, 12 gigawatt. Even if you add 25 gigawatt of solar, if you add enough battery, technically it is 6-7 gigawatt of round-the-clock power. So, what most of the states are doing, they started with 2 hours of battery, now 4 hours of battery, now they are talking of 8 hours, 10 hours of battery as the battery prices have come down. So, you will see that more or less they get optimized. And the government is also thinking this by giving them this VGF. So, from the central government, instead of building additional transmission capacity, they found out that giving this VGF for the battery, what will happen is it will also create additional capacity from existing grid.

Nikhil Dhingra : So, in terms of the two facts, the power grid is also building the ancillary batteries on a large scale. They have come up with a tender for, in South, they are building their battery. Power grid also has a plan to put batteries. And NEP has a 300 gigawatt hour plan by 2030 for the batteries. So, of course, everybody is aware of this issue. But as far as our payment is concerned, that is not at risk.

Dhruv Muchhal

I : Sure. No, sir just extending, sorry to just extend this a bit. I understand the batteries will happen, but the only risk that we see, at least from a few years perspective, is that the bids that we have seen in batteries are probably for the external guy, it seems extremely, some of the players have bid extremely

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low. And given how the battery prices have changed, some of these bids might not actually convert

to physical assets. And that realization will happen over a period of time, and the states will then rebuild and all those things will happen. So, this creates a timing gap, probably, I don't know, 2 years, 3 years, or probably it can be lower. So, during the timing gap, can this be a thing? I understand you are assured because of your payment, and there is a difference between a dispatch and your payment. But if the quantum keeps on increasing, do you have a pushback from the system that this is too much now, we can't handle this? So, just trying to understand how the system works?

Nikhil Dhingra : No, of course, it is a very valid problem, which, see, there is a lot of discussion going on about converting the existing solar into battery, and freeing up the existing connectivity, which is there at ISTS. So, there are various solutions for reducing the peak supply of solar power, because we have around 52 gigawatts of CTU connected renewable today. And this 52 gigawatt of solar and wind, out of which wind is only 10 gigawatts, it can be converted into peak power in the existing construct of the PPAs. So, there are some low hanging fruits in terms of solving this problem, which everybody is mindful of. And in terms of the bids, there is a large capacity coming up from credible developers in terms of the FDRE, in terms of the peak power. If you even adjust the state level bids, which are there, and that is mostly at STU, the state level bids where you are seeing excessive competition, they are mostly at STU, and they are not at CTU. We are talking mostly about CTU here, right. Because our playing field is CTU. So, there you have not seen those kind of bids and those kind of irrational competition, because that has happened at the state level where there is a VGF. And so you should separate the two, the credibility of the developers doing the CTU projects, the power grid, which is highly credible, and the developers which are doing not standalone batteries, but a battery cum solar, which you require extensive connectivity, extensive land purchase. So, the issues you are seeing is mostly on the STU level bids at the state substations. And plus the government is mindful of the CTU level issue, which they are trying to solve.

Dhruv Muchhal : Got it. Sure. Thank you. And just one quick question is, on slide 7, you mentioned about connectivity inventory for upcoming bids. So, this is over and above the LOA bids you have, right? For the future bids that you will be playing, this is the connectivity for that?

Nikhil Dhingra : Yes, you are correct.

Dhruv Muchhal : Got it. Thank you so much and all the best.

Moderator : Thank you. The next question comes from the line of Nikhil Abhyankar from UTI AMC. Please go ahead.

Nikhil Abhyankar : Sir, a couple of questions. So, first related to the BESS system. So, what are we exactly targeting away? Will we look to cater to both the morning and the evening peaks? Will we be able to do any terms more than one to the system?

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Manoj Kumar Upadhyay : Yes. We can do that both. It depends on, because what we are trying to get is, we are trying to get arbitrage of the cheap power versus the peak power. So, if the morning arbitrage, for example, in the morning time, solar time, we charge the battery, we will be able to do in the evening. Even the nighttime, especially between 12 o'clock to 2 o'clock, again, the power cost goes

down. We can

charge it and do it in the morning. So, we are flexible. Our batteries, actually, they are designed to work for two cycles.

Nikhil Abhyankar : And this guidance of Rs. 170 odd crores based on one turn or more than one turn?

Manoj Kumar Upadhyay : Yes, it is based on one. If we do two, it will be double.

Nikhil Abhyankar : Sure. And sir, just in addition to that, will there be early commissioning for BESS system in fact or IRRs for which the BESS is being procured, the life of BESS system is considered to be around 11 - 12 odd years. So, early replacement, will it impact the project system, the project IRR?

Manoj Kumar Upadhyay : No, it is not. In fact, today's modern batteries, they are actually designed for 18 -20 years. And in fact,

they are designed for 1.6 cycles a day. 1.6 cycles a day means someday 2 cycles, someday 1 cycle.

In our business model, normally, we have kept this 12 -13 years of replacement of the battery. So, technically, we are not affected for 1 year, 1-1/2 years of this operation.

Nikhil Dhingra : And in terms of the battery replacement, when we talk it as a cell replacement only, the associated infrastructure does not need to be replaced. And secondly, when we are realizing revenue early, we are making a good IRR on that particular CAPEX. So, that will also add up to the utilization because this is good EBITDA for the CAPEX done.

Nikhil Abhyankar : And just on the under construction portfolio, can you just give us the timeline in terms of expected capacity which you expect to get commissioned in say next 2 years, FY '27 and '28 and the related CAPEX as well?

Nikhil Dhingra : So, yes, like we said, 1.5 gigawatts is likely to happen by FY '27, right. And in addition to that, around 2 gigawatt hour of battery, which is, of course, these are the best part of it. So, 1.5 gigawatt by FY '27 and 1.1 gigawatt by FY '28. So, let us say we have around 2.6 gigawatt of signed PPAs, right. Because let us track the signed PPAs because as and when PPA gets signed, we can upgrade this thing. So, let us simplify things. So, FY '27, 1.5 gigawatt, FY '28, 1.1 gigawatt. CAPEX is around Rs. 12,000 crores for this FY '27 till capacity and you can say around Rs. 10,000 crores for the 1.1

in FY '28.

Nikhil Abhyankar : And this includes the BESS cost as well?

Nikhil Dhingra : This includes the BESS cost as well, yes.

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Nikhil Abhyankar : And sir, on the unsigned PPA projects portfolio, do you expect any movement or not really?

Nikhil Dhingra : No, we do expect a movement. We have tried our best to accommodate the status also in the presentation. We have said that in the near term, 770 megawatts of additional PPA signing in addition to what we have done of 450 megawatt. So, we expect those to move for reasons we mentioned earlier during the call in terms of the attractiveness of because of the IS TS waiver which is currently going on, the timeliness of land purchase and every availability which the supply side has. So, we expect the movement and also because of the less bids which are coming of a similar sort of construct. So, we expect these PPAs to move and large states to buy.

Nikhil Abhyankar : And just a final question, of the current under construction portfolio, can you give us how much DCR modules will be required in the next few years?

Manoj Kumar Upadhyay : We don't need any DCR.

Nikhil Abhyankar : Got it. Thank you and all the best.

Moderator : Thank you. The next question comes from the line of Yogesh Patil from Do lat Capital. Please go ahead.

Yogesh Patil : Thanks, sir. I have a couple of questions. Questions related to again a connectivity. Till date we have 6.1 gigawatt kind of capacity is under LOA. If you could give us how much of this capacity is having a GNA approval and a temporary GNA approval at this stage. And correct me if I am wrong, correct understanding

that all of our PPA signed capacity has a full GNA access ?

Nikhil Dhingra : Yes. So, basically you get in-principle approval, then you get a final approval. That is at the , you can say pre build out stage, right. So, we have got the connectivity approval for the whole capacity where PPA is signed. And this GNA, whether it is a short term or a long term is operationalized when the system is built, right. So, when your system is fully built, you get a long -term GNA and in terms of let us say , if there is any element which is not complete, you can get a short -term GNA and you can supply power. So, this connectivity agreement operationalization is signed when it is built out. So, right now we have full connectivity allotted for the PPA signed and unsigned, both, like we said, and we have access inventory of around 7 gigawatts of additional connectivity. This GNA, of course, we have dates for each and every substation within the timelines we are targeting. And that is why we have given the current schedule of those transmission lines. We have scheduled the CODs. And also in terms of a regulatory point, that if there is a delay due to any element of the transmission line, there is an automatic extension given in the PPA for that sort of delay, which compensates. And we also track on a monthly basis, actual site visits to that CTU substation, where are they in terms of the actual progress of that transmission link . And of course, if there is a delay at their end, we adjust our

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CAPEX to save on the IDC. So, in our existing ongoing projects, we are fully tracking that and we have synced up our transmission, our commissioning dates as per that.

Yogesh Patil : Yes. So, the second question, I need a small understanding on procurement of the equipment for the project , at the time of entering into the contract with the equipment supplier from India or China , do you sign this contract generally in case of Indian rupee terms or US dollar terms?

Nikhil Dhingra : So, with all the Indian suppliers and it includes the Chinese suppliers who are based in India, like the turbine suppliers, the transformer supplier, the inverter supplier, there are actually quite a lot of Chinese suppliers who have manufacturing or assembly in India. So, they are all done in rupees. I can give you examples of a lot of these suppliers who are Chinese but based in India. So, they are all rupee. Most of that is rupee. The only bit which is done in dollars is the batteries and cells by the module supplier, not by us. So, the only thing which is done is the batteries. And in some cases, we have tried and bought, you can say GIS, which is again bought out from India, again from a Chinese supplier, but they are billing it from India. So, only batteries is in dollars, rest is all in rupee.

Yogesh Patil : And the last one, do you sign the fixed price contract with the equipment supplier or a flexible price contract? If the solar module, raw material prices goes up, goes down, who takes the losses or the profits of this contract?

Nikhil Dhingra : So, we have realized over a period of time that signing these flexible contracts have not much value sometimes because of the regulatory changes or any change, these prices are difficult to hold. Even if you take, you can say a CPBG or any sort of regulatory mechanism, it is difficult for anybody to service. So, we always sign a fixed price contract with no linkages. And these are all short -term contracts wherein the supply starts from, let us say, maximum couple of months, including the shipping time. And we try and sign with the large suppliers who have such kind of monthly capacities, such that they are able to service a large volume within a month of production. So, we don't sign flexible contracts.

Yogesh Patil : Thanks a lot. All the best.

Moderator : Thank you. The next question comes from the line of So

urabh Arya from Oaklane Capital. Please go ahead.

Sourabh Arya : Yes. Hi, sir. Congrats on a good set of numbers. Couple of clarifications. The first one is the Greenshoe which we have won with NHPC. So, just want to understand, this was not part of the last quarter presentation. Is it like a new win one should consider?

Nikhil Dhingra : Right, Sourabh. So, you are right. It was not part of our presentation. Because see, Greenshoe is something which happens later than the original allotment. Our PPA, as you know, got signed for the ACME Solar Holdings Limited
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original allotment quite a long while back. So, we had no clarity on the signing of this PPA. Till the time the regulator, the NHPC told us that they are seeing the demand for this power considering the connectivities we have, considering the availability of supplying power we have. And then very short term we were able to get this signed and this happened between the last quarter and this quarter. So, that is why we are updating. Because till the time we don't take Greenshoe projects until they fructify because that is something which is tentative. So, that is the reason they were not part of our last presentation.

Sourabh Arya : But then, let us say, you were already building this project. And it had scheduled timeline of Jun '27. So, would this be accommodated at same place in terms of connectivity, land and everything? So, how can the planning be so quick within a span of 12 months for something which is just one?

Nikhil Dhingra : So, see, as we have told you, we have got connectivity for even 7 gigawatts post the allotted this thing. So, we are not treating the under-construction projects and the PPA signed projects as far as the land and transmission line are concerned. Because they are long lead items. And connectivity, of course, without connectivity, you can't hope to be in business, even bidding is not advisable. So, we have land transmission line, right, which is going on. And also, we have, let us say, long lead items also, like a power transformer order. Because we are very confident that these things will happen. If this PPA does not get signed, the other PPA can get signed. So, when we plan a project, we plan a particular set of sites, which we keep on developing. Of course, we don't order batteries, we don't order modules, and we don't take any financing, till then we push through our equity, and this is not sudden. These are all sites which are developed. When we are telling you that 770 megawatt of PPA will also get signed, right. So, for those sites also, we have land and transmission line. Because of this transmission waiver thing, you need to do that. If you don't do that, you will not get a customer for your PPA. Because the customer wants the power before the June '27 or before June 28. Because these are the timelines. Post June 28, everybody is equal, right. Because there is no differentiation in terms of the transmission waiver. And it reduces the attractiveness of the CTU connected projects. So, it is important to do that. And we have been doing that.

Sourabh Arya : Sure. And if you could break up this 770 megawatt, which is further PPA signing you are expecting, does it pertain to old projects or new projects?

Nikhil Dhingra : So, yes, this 770 megawatt is a mix of old and new projects. And of course, like I said just before this, it is a function of the preparedness. When a state is looking at the, of course, he looks at his own requirement in terms of peak power. So, all these have a peak power element. And also, they have a high peak power element. Basically, they look at the mix of how much peak power are you able to supply, how much wind power also sometimes. They have particular requirements depending on each state to state, depending on their power profile. So, it is a mix of old and new projects. And of course, it is based on their

requirement and also the timelines in which we are able to supply and the
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readiness. Because, see, a lot of states have procured power which are not coming on time because of the connectivity delays, because of the land delays. So, they are really trying to see whether you can deliver that power within the timeline. Because everybody is very conscious about these timelines now. So, this is a mix of old and new. We have not disclosed the exact thing because we would like to disclose once the PPA gets signed. But of course, they are in advanced stages of regulatory approvals.

Sourabh Arya : Fair enough. Thank you very much, sir. All the best.

Moderator : Thank you. The next question comes from the line of Pradyumna Choudhary from JM Financial Group. Please go ahead.

Pradyumna Choudhary : Yes. Hi. Thank you for the opportunity, sir. Just one question regarding the project cost, like in the PPT as well. And in your opening remarks, you spoke about the equipments currently being ordered within the budgeted cost. So, what really do we mean by this budgeted cost, like what sort of target IRRs or the budgeted project IRRs are we assuming that could help us get more sense of the kind of prices we are bidding for?

Nikhil Dhingra : Sure. So, we take care of high-teen returns. That is the threshold. We don't bid for anything lower than 16% return. I think we mentioned that in the past also. So, high-teen returns is our threshold. And when we look at, for us, let us say, 1.5% movement is a very significant movement in IRR. So, when we say there is no impact, it is less than that usually. And in terms of the CAPEX, like we said, we have changed our strategy, basis, let us say, preponing the batteries to utilize that CAPEX. We are able to order batteries at a short time because we have connectivity which are operational and which can take batteries. See, nobody will be able to keep batteries for more than 6 months because they degrade, right. And because there is a CAPEX involved, there is an interest during construction. So, only a developer who can make them operational will be able to get those batteries. So, that is why these returns are not impacted because we are able to get those batteries because there is so much capacity established in the world, primarily China, so there are very few guys who are able to take deliveries, let us say, in March, April, May, right. That is how the world works, right, in terms of what actually can you take. There may be somebody who is willing to give them an order for next year, but they will not put a price for that guy.

Pradyumna Choudhary : All right. But like, my concern relates more to the fact that the tariffs have already been decided and I am assuming the batteries or the solar modules are ordered towards the end of the project CAPEX, right? So, there, how are we really protecting ourselves? Even there, we are within the budget and especially for the ones where 50% of the remaining, like you said, that 50% we have already ordered and for the remaining 50%, it is still yet to be ordered. So, what are our plans for the remaining 50%?
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Nikhil Dhingra : Right, Pradyumna. So, why do we say that we are within budget is because, see, the policy change. There is a policy change in China, right. So, post that policy change in April, we have April delivery, which is happening at a price which is, you can say, much less than the budgeted cost, which is a high-teen returns. So, that is why we are saying that we are within budgeted cost, because the marginal delivery we are taking in April basis the April price, post the regulations, is also well within the range. And 50%, of course, we have procured where we are installing them that is well within the range also. So, on that basis, we are saying that we are well

within the budgeted cost.

Pradyumna Choudhary : Understood. And on the PPAs, I believe now around 800 megawatts, 2000 megawatts is what we don't have near-term visibility, right? Like, where we are yet to sign the PPAs and there is no near-term visibility. So, what sort of timelines are we looking there, like, especially when you say that we have a near-term visibility for, say, around 750 megawatts. So, by near-term, you are meaning the next 3-6 months is that what is reasonable to assume? And what about the remaining months? Again, the reason, if you can just repeat the reason you gave for us expecting acceleration in PPA signings, I know you answered to one of the previous participants, but I didn't really understand it. So, if you can just repeat the reason as well?

Nikhil Dhingra : No problem. Completely understand your query. So, in terms of the beyond 770 megawatts, right, there is a very, when we say near-term, we basically say that when there is a buyer approval. Basically, the first thing you need in a PPA discussion is the buyer approval, whether they are okay to take that offering or not. So, we have buyer approval for this much capacity. We don't have written buyer approval for the rest of it. That is why we did not say near-term number, but there is a very good chance of those PPAs also getting signed in the next quarter only, right, which is around 700 megawatts more other than 770 megawatts. And why did we not put it? Because there is no written buyer approval we have, right. And there are differences in how each state procure power. Somebody takes a prior regulator approval, somebody takes a post-signing approval. So, there are various stages in a PPA implementation. The PPA gets signed. Somebody takes a prior approval, which is good for us because it includes definitiveness. Somebody takes a post-facto approval. That is also fine. We have to go along with it. So, that 750 megawatts more of FDRE hybrid PPA, that is, again, at a very advanced stage. And also, there is a timeline difference between each state. So, we have not put it because we only want to put it where we have a buyer consent, but there is a 700 megawatt more of PPA, which is under advanced discussion. But I don't have a written thing to write. So, that is why we did not write it.

Pradyumna Choudhary : Understood. And the reason you were saying that overall in the industry, we are expecting the PPA signings to accelerate. Could you just repeat that again?

Nikhil Dhingra : Yes. So, the reason primarily is that these set of players who have won these bids, right, of course, they are serious players and they have made, because see, they have made significant investments on
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getting connectivities, on offering earnest money deposit, performance bank guarantees, and they have got huge fixed cost in terms of teams. So, most of the players who have won these bids, 42 gigawatt of bids, are quite serious about building those projects in 2026, 2027, and 2028. And this is the period which gets you ISTS waiver as a buyer. Basically, you are aware that ISTS waiver is expiring on the central grid in 2026, in phases. So, the states find it, and states which don't have a

good renewable at their own state, they don't have flexibility to build state -connected projects because they are expensive because the sunlight is not there. So, those states particularly will be very keen to buy these CTU -connected projects, which have a transmission waiver element built in. And who can supply to them? Nobody, where the bid happens today, will be able to supply with the ISTS waiver in hand, right . Because the bid cycle itself is very long. They take 90 days to do an auction, and then there is a LOA. And there is, of course, the element of buying the Chinese cells or Indian cells also, which makes the price slightly costlier. And of course, it will

take time. So, because of the

preparedness of the supply side, and also on the demand side, this ISTS waiver expiring, these two are making an attractive win -win proposition. The only hitch which was coming was, there are concurrent offerings of similar kind outstanding from various bidding agencies, which is making the choice difficult for these buyers. So, that is the reason the PPAs were taking time, because it was actually done, let us say, on a standalone basis by all 4 agencies, which created a sort of glut of supply of these PPAs, which leads to delay. So, as people choose what they want to buy, and the suppliers also customize their offerings and choose what they want to sell, how it will be attractive to the buyer, I think it will clear. And of course, the power demand in last year also plays on people's minds, that how do I see the power demand coming up. So, some of these, and of course, there are elections, every state, every year we have some election, which also delay these things. And there is a cycle itself, which takes time. So, we are expecting these things to happen because of the preparedness and also because of the regulator y ISTS waiver thing.

Pradyumna Choudhary : And usually this ISTS waiver, how much on per, like in terms of the tariff, can it cost additional for the projects commissioning post 28?

Nikhil Dhingra : So, see, there is, each state has a different sort of charges, depending on how much their transmission infrastructure is utilized currently. So, let us say , if there is no rebate, it could go to up to Rs. 1 , more than Rs. 1 , if there is no rebate.

Manoj Kumar Upadhyay : For solar, actually, this will be at a different this CUF . So, for example, if it is only solar, it may go up to Rs. 1. 30, Rs. 1. 40 paisa. If it is solar plus battery, it can come down to 80 paisa. If it is FDRE, it can further come down to 30 -40 paisa. That is why you will see more and more power is round the clock power or FDRE to reduce the impact of the FDRE, to reduce the impact of ISTS waiver in future.

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Nikhil Dhingra : It is very substantial. For each state, we have seen, it is very substantial because NHPC and SECI and all these agencies are very mindful that can you give it before 27 -28? And it is very important. We have not seen a state who does not care about it.

Pradyumna Choudhary : All right. And my last question is regarding the under -construction projects. So, are we, like, of course, our execution has been brilliant, but on the grid construction, are the grids also corresponding, are they coming up on time or are we expecting certain delays over the next couple of the projects that we plan to launch commission?

Nikhil Dhingra : See, there was a, it is a very hotly reviewed project thing at all levels. So, in terms of the planning of these transmission projects, there are a lot of changes which have happened over the last few years. They have given a, let us say, earlier, they used to plan it in 18 months. Now, they are giving a 24 - 30 month period to these transmission period. They are planning it early. They are coming up. So, this gives a lot of time for these guys to come up on the committed time and not getting extended. So, of course, there, what we are seeing is we have kept a buffer of a quarter delay in all our planning. And of course, this can happen because depending on what are they upgrading, right . In some cases, they are building a transmission line. In some cases, there is no transmission line. So, if there is a transmission line, there could be, let us say, a one quarter delay because of ROW issues and other things. But if there is a local installation of, you can say, infrastructure, electrical infrastructure only, then the delay is very much unlikely because these are a local execution. But by and large, we track the various cycles of these transmission infrastr

ucture. And we don't see a delay in where there is no

transmission line. But where a transmission line, a 3-month delay can be there and we keep on monitoring our CAPEX as per that. If we foresee that it could extend, we defer that CAPEX and also, we can take the strategy of, we have already done that, right . To hedge that risk, we had called batteries at the operational substation. We have broken the plant into two, right . The batteries at the operational sub station where there is no risk at all and then the modules at those plants where the new infrastructure is coming up. So, you can take multiple ways to solve this problem because this is beyond our hands.

Pradyumna Choudhary : All right. Thank you and all the best.

Moderator : Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you and over to you, sir.

Manoj Kumar Upadhyay : I would like to thank you. Thanks to all of you that you had a very important question you asked us. And I hope my team must have given you the input. If there is any further input, we will be very

happy to provide. We can assure you that we are working on the technology. We are working on the execution. We are working with the government on the policy advocacy. And we are also working on the regulatory framework. So, as a company, we believe we are not only just doing execution, we are also creating a policy framework for the entire industry and we are also doing something on the technology side.

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I think I must have shared with you in my last presentation that we are already testing Perovskite technology. And we believe that will be very useful in the coming years. So, we have already started. That will give the industry as well as ACME as input to see whether the technology moves from the current silicon-based to Perovskite-based. We are also doing robotic installation. That is one of the challenges in this industry. If you want to increase from 2 gigawatt per year to 5 gigawatt per year, one of the biggest challenges in the industry was how to install 5-gigawatt, 6 gigawatts of modules manually. So, this year, we are doing automation of that. We have created a very special team only focusing on the future technology, which can help us to install without the manpower. So, that is what we are doing, that automation and implementing robotics. That is the second thing we are doing. Third thing, we have applied for the patent on the 2-3 areas. That is also one of the significant improvements by our R&D team, where we will be working on the optimization of the battery, renewable wind, so that we can provide almost like a base load power similar like nuclear or similar like this one, and much cheaper than thermal or nuclear. So, those are the areas ACME is always known to work on, and I can assure you we will be continuously working and taking it forward.

Thank you.

Moderator : Thank you. On behalf of ACME Solar Holdings and Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Leading Through Innovation

ACME Solar Holdings Limited

(formerly ACME Solar Holdings Private Limited) CIN: L40106HR2015PLC102129

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May 14, 2026

To To

BSE Limited National Stock Exchange of India Ltd

Corporate Relationship Dept., Corporate Relationship Dept.,

Phiroze Jeejeebhoy Towers, Exchange Plaza, Plot No. C/1, G Block,

Dalal Street, Mumbai 400001 Bandra-Kurla Complex,

Bandra (East), Mumbai 400 051

Scrip Code: 544283 Symbol: ACMESOLAR

Reference: Regulation s 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements)

Regulations, as amended and our earlier intimation dated April 28, 2026 and May 08, 2026, regarding Earnings Call for Q4 and FY26 results with analyst(s)/institutional investor(s)

Subject: Earning Call transcript of the Investors Conference Call held on the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended March 31, 2026 (Q4 and FY26)

Dear Sir/Madam,

In terms of Regulation 30 and 46 read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, as amended, please find enclosed herewith the transcript in respect of Earnings Conference Call with the Analysts/Investors held on Friday, May 08, 2026, on the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended March 31, 2026.

The Transcript of the conference call has been uploaded on the Company's website and the same can be accessed from the link provided below:

chrome-extension://efaidnbmninnnibpcajpcglclefindmkaj/https://www.acmesolar.in/assets/pdf/Webcasts-and-Transcripts/08.05.2026_Q4_FY26_Earning_Call_Transcript.pdf

You are requested to take the same on record.

Thanking you,

For ACME Solar Holdings Limited

Rajesh Sodhi

Company Secretary and Compliance Officer

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"ACME Solar Holdings Limited

Q4 & FY26 Earnings Conference Call "

May 08, 2026

MANAGEMENT : MR. MANOJ KUMAR UPADHYAY – CHAIRMAN
AND MANAGING DIRECTOR – ACME SOLAR
HOLDINGS LIMITED
MR. NIKHIL DHINGRA – CHIEF EXECUTIVE
OFFICER – ACME SOLAR HOLDINGS LIMITED
MR. ARUN CHOPRA – CHIEF FINANCIAL OFFICER
– ACME SOLAR HOLDINGS LIMITED
MR. ANKIT VERMA – HEAD OF CORPORATE
FINANCE – ACME SOLAR HOLDINGS LIMITED

MODERATOR : MR. NIKUNJ SETH – MUFG

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Moderator: Ladies and gentlemen, good day and welcome to the ACME Solar Holdings Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Nikunj Seth from MUFG. Thank you, and over to you, Nikunj.

Nikunj Seth: Thank you, Neerav. Good morning, everyone. Welcome to Q4 and FY 26 Earnings Conference Call of ACME Solar Holdings Limited. From the management we have with us Mr. Manoj Kumar Upadhyay, Chairman and Managing Director; Mr. Nikhil Dhingra, CEO; Mr. Arun Chopra, CFO; and Mr. Ankit Verma, Head of Corporate Finance. Now I would like to hand over the call to the management for their opening remarks. Thank you, and over to you, sir.

Nikhil Dhingra: Thank you, Nikunj. Good morning, everyone. Thank you all for joining us today. I'm Nikhil Dhingra, CEO of the company. I would like to begin by expressing my sincere gratitude to Rajat Kumar Singh for his valuable contributions to the company during his tenure as the CFO. He has decided to pursue career opportunities outside of ACME. I wish him all the best in his future endeavours. Arun Chopra has now been appointed as the company's CFO. And I would like to invite him to take over and walk us through the highlights of Q4 and FY '26 for us. Arun?

Arun Chopra: Thanks, Nikhil. It's my pleasure to share the highlights of our Q4 and FY '26 performance. I would like to start with sector highlights. India has observed its all-time highest peak electricity demand of 256 gigawatt on 25th April '26. This milestone surpasses the previous all-time high of 250 gigawatt recorded on 30th May '24 and exceeds the peak of 245 gigawatt observed on 9th January '26.

The rise in demand is in line with the progression of summer conditions across the country with electricity consumption witnessing a significant growth of 8.9% during the month of April '26.

India continues to maintain strong momentum in capacity additions with approximately 55 gigawatt of RE added in financial year '26, taking cumulative renewable energy capacity to 283 gigawatts.

Total power generation during FY '26 reached 1,845 billion units with share of non-fossil fuels in total generation reaching 29%, roughly 538.97 billion units. In a significant milestone, India achieved 50% of its cumulative electric power installed capacity from non-fossil fuel sources in June '25, 5 years ahead of the 2030 target set under its nationally determined contribution to the Paris Agreement.

In terms of the regulatory updates, SECI has been notified as single REIA by MNRE, which is expected to drive a more streamlined, focused and structured bidding framework going forward.

In terms of BESS installation, the sector has witnessed strong regulatory tailwinds. MNRE has clarified that BESS charged from conventional power under FDRE bids can sell power in

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merchant mode without buyer NOC till the time corresponding RE is not commissioned, speeding up BESS deployment.

Also, CTU has started processing BESS connectivity requests under RoFR, speeding up

commissioning with 36 months of grid charging allowed from the GNA effective date. CERC has issued a draft suo moto order to extend SCOD timelines under the connectivity and GNA regulations by up to 1 year with compensation, giving regulatory certainty to delayed projects nearing connectivity deadlines.

Thus, transmission delay in Brownfield projects provides an opportunity to utilize BESS merchant operations. Now coming to our company's performance. In line with our continued focus

on early BESS deployment, we successfully commissioned approximately 2.3 gigawatt BESS capacity to date.

These BESS capacities are running on merchant and short-term contracts, capturing the tariff arbitrage between sale and purchase of power during peak and nonpeak hours respectively. As of date, it is delivering net realization value of approximately INR2.2 crores per day. Also from an operational standpoint, the BESS is currently delivering a round trip efficiency of approximately 88% to 90%, in line or maybe better than our expectations.

In addition to BESS, our operational generation contracted capacity now stands at 2,990 megawatt. With respect to our under construction capacity on order book front, we won 301 megawatt peak power FDRE projects with SECI during the quarter, expanding our under construction portfolio to 5.1 gigawatts and total portfolio to 8,071 megawatts, which will also require installation of around 17 gigawatt hour BESS.

Out of the total under construction capacity, the PPA signed capacity stands at 3,280 megawatts. In terms of capital deployment, we have committed total capex of INR12,475 crores, which includes capex incurred of INR6,445 crores during the year and purchase orders aggregating to INR6,030 crores.

Continuing to our financial performance. Our total revenue for the quarter stands at INR 705 crores and INR 2,507 crores of FY '26, 31% and 59% increase year-on-year respectively, driven by capacity addition and higher CU F. Total revenue for the quarter includes other income of INR 157 crores.

This primarily comprises recurring interest income from cash generated from power sales at SPV until it is upstream to ASHL. It also includes recurring interest from DSRA balances maintained in line with debt covenants. Since the DSRA is largely funded from debt proceeds, the corresponding finance cost is accounted for accordingly in the finance cost.

EBITDA margin of over 90%, both for the quarter and full year on account of favorable operating leverage and optimized operational efficiency. PAT stood at INR138 crores for the ACME Solar Holdings Limited

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quarter and INR498 crores for the year with a margin of 19.6% and 19.9%, respectively. Now at last coming to operational metrics for the quarter.

We generated 1,720 million units in Q4, up 13% and 6,464 million units in FY '26, up 61% year-on-year. Our CU F stood at 26.9% in Q4. Further, our grid availability and plant availability stand at over 99% for the year. Coming to our debt optimization efforts. During the year, we secured financing of around INR15,000 crores for various under construction projects.

And refinanced debt amounting to INR3,300 crores for various operational projects, resulting in reduction of rate of interest of the refinance projects by approximately 150 basis points. Also, the weighted average cost of debt for the operational projects stands at 8.4% per annum. As of date, 2.2 gigawatt of operational projects have an assigned credit rating of AA- stable.

Going forward, our key focus remains on timely execution alongside healthy order book additions with the following priorities. We will continue to focus on advancing commissioning and operation of large-scale BESS capacity, which will utilize transmission infra of existing operational projects and will run on merchant on short-term basis.

Upcoming future operational capacity is expected to have an operating battery portfolio of around 10 gigawatt hour, along with 1.5 gigawatts of contracted generation capacity, subject to timely availability of transmission connectivity and other external factors. In terms of order book additions, while we remain focused on long-term 25-year contracts, we also intend to actively participate in short- and medium-term BESS opportunities to capitalize on evolving market demand and merchant market dynamics.

With that, I now open the

floor for questions. Our team would be happy to take them. Thank you.

Moderator: The first question comes from the line of Puneet from HSBC.

Puneet: Congratulations on good performance. My first question is on your battery side. Can you talk about how much of the battery cost you capitalized in the previous year? And how much have you spent so far in the 2.3 gigawatt that is now fully commissioned?

Nikhil Dhingra: Puneet, thanks for the query. So in terms of last quarter, this quarter we have done approximately around INR1,200 crores of capex on the battery. I think for this quarter, it is still going on. So we will update you once this quarter finishes. But in the last quarter, we did around -- basically last quarter was around INR1,000 crores to INR1,200 crores.

Puneet: And how much was commissioned till last quarter? Yes, just in capacity terms as well?

Nikhil Dhingra: 1.3.

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Puneet: 1.3. Okay. Second is, if you can also give a sense of what is the run rate EBITDA you are making out of your existing capacity with and without BESS so far?

Nikhil Dhingra: So, 87% is our EBITDA for this year, right . It is in the range of 88%, 89%.

Nikhil Dhingra: 90%.

Puneet: No, I meant run rate EBITDA in rupees, crore from the 2,990 capacity ?

Ankit Verma : Please look at FY '26, so majorly, whatever this 3 gigawatt is operational so that was primarily running in '26. So give or take for the last full year, our EBITDA, including other income has been around INR 2,200 -odd crore. This primarily includes revenue from sale of power only from the PPA projects. However, given that the batteries came in various phases in the last quarter, especially in March.

So probably the run rate EBITDA you will realize in this quarter itself. But having said that, like I mentioned, 2.3 gigawatt hour is currently operational. And of course, it is running on a merchant basis. And as Arun highlighted earlier, so it is delivering, give or take, average net realization of INR2.2 crore s per day, which is effectively more than INR60 crores per month, this capacity which is running.

Nikhil Dhingra: And last quarter there was almost nothing from the battery. This quarter, we have -- in March quarter, there's almost a negligible amount from battery because it just was getting started. It was not even started at various places.

Ankit Verma : Yes.

Puneet: So INR2.2 crore s per day on a 2,300 megawatt hour battery, right?

Nikhil Dhingra: Yes.

Ankit Verma : Yes.

Puneet: And lastly, if you can also talk about how have your new solar plants been operating in terms of PLF. So what was commissioned in FY '25, what sort of PLF did they end up generating for '26?

Nikhil Dhingra: So our Sikar plant basically got commissioned in this year, right? And it is doing close to around 29% to 30% year CUF -- for the overall year.

Ankit Verma : So majority of the projects, Puneet, are in Rajasthan. And roughly the capacity is roughly 2,200 megawatts. So for the last quarter, I think, see PLF has been around 28% plus for these plants.

Puneet: On a full year basis, 29% to 30% is what you said?

Ankit Verma : And overall -- sorry?

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Puneet: For full year basis, you said 29% to 30% from the new plants? It is a blended number sort of?

Nikhil Dhingra: Yes, for the new plant it is because we have a higher DC installed there. So it has a higher CUF, yes.

Ankit Verma : For the full year, it's been close to 26% for the entire portfolio.

Nikhil Dhingra: He is asking about Rajasthan. New plant.

Puneet: Got it. And lastly, there was this SECI ISTS hybrid tranche scheme, which got a regulatory approval for 3.25. And now it says that there is a battery inclusion. Can you talk about how has the economics changed there?

Nikhil Dhingra: You're talking about the -- the PPA is not yet si

gned, right?

Puneet: Yes. But it got approved, right? I mean, that has 3.25?

Nikhil Dhingra: Yes, it got approved, right. So basically, it is -- what happens is most of the states want battery installation along with the project. So it basically keeps the return in high teens only. So it does not impact really the returns from this thing. But of course, we need to satisfy the customer requirement in terms of the power mix they want because everybody needs peak power now. So that is where we need to offer that 1 hour of battery, yes.

Puneet: Okay. Understood. That's all from my side. Thank you so much and all the best.

Moderator: Thank you. N ext question is from the line of Kart ik Sharma from Anand Rath.

Kart ik Sharma: Hello, sir. C ongrats on great set of numbers. Just continuing from the previous participant, given the rising concentration of projects in Rajasthan and ongoing transmission and grid constraints

in the state, is there any curtailment impact that we've had? And if yes, could you quantify in like what happened in Q4 or the full year in EBITDA loss? And how are you thinking about future project allocations like Gujarat or Maharashtra, if there is any?

Nikhil Dhingra: Right. That's a very relevant point. The key thing is in terms of the curtailment, which -- where are you connected in terms of the transmission system. So we have, you can say, around 2 projects only out of our whole portfolio which are in Rajasthan connected to the state grid. Rest of our portfolio, by and large, is on the central grid where you are compensated for the curtailment through the regulatory mechanism.

So in the whole year, we were of course -- and in curtailment also there are 2 kind of curtailments where you don't get a long-term open access, like which happened with our Sikar plant before the full commissioning because the long-term open access was not active. So that is like a pre-COD or a pre-GNA kind of a curtailment, which is not usually grid-related curtailment. That is where the infrastructure is not yet ready, but you are ready with the plant. So I would not call that a curtailment.

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But adjusted for that, for the whole year, we have only INR5 crores to INR6 crores of impact on the curtailment, which is the real curtailment. And of course, on STU, it was only INR3 crores in Rajasthan for the whole year, state connected projects. And the INR2 crores, INR3 crores was on the account of maintenance done by the grid operator on account of the -- on account of, you can say, the O&M which they do for that. So that was the impact on curtailment on our project during the year.

Kartik Sharma: Understood, sir. And the future project allocation, if you could give any?

Nikhil Dhingra: So all of our projects are in the CTU. So we have consciously built a portfolio with, you can say, all the central counterparties on CTU. So we don't have -- and also, that is another reason we have not gone aggressive on the C&I because they are all state projects we have to do if you want to serve the actual consumer.

So in terms of the -- all our CTU connected projects with CTU connected substations, where you are regulatory protected from the customer payments are there irrespective of, you can say, the grid curtailment. So they are all on the -- you can say, various substations in Rajasthan, Gujarat, Madhya Pradesh, Andhra Pradesh, Karnataka. So once the long-term open access is granted, then you are protected from curtailment on a CTU connected substation.

Kartik Sharma: Understood, sir. So just continuing on that, can I ask my second question?

Manoj Upadhyay: No, just a minute, I would like to clarify.

Kartik Sharma: Yes, sir.

Manoj Upadhyay: My name is Manoj. Most of the CTU connected projects, we are installing the battery. So in fact, such curtailment sometimes provides you opportunity

to sell the power in the peak or in the evening. So all our CTU connected plants, that's what we are focusing. All our CTU connected plant will have a battery available. So whenever that curtailment will happen, we will charge the battery, and we will use that power, right? While we will get compensated for the curtailment, but we will use the free power also to charge the battery.

Nikhil Dhingra: And as the battery installation happens. Just on that, just to finish that point, as the battery installation happens, the curtailment issue will be further reduced because as more and more battery gets installed in Rajasthan. And it is by and large, happening in Rajasthan because they have the largest operational solar. So you will see that the transmission system improves a lot with the battery installation.

Kartik Sharma: Understood. Understood, sir. So we highlighted that there was a sharp improvement in receivables and the DSO has come down to 14 days, which was at one point in time 180 days.

So despite the significant scale up, could you help us understand whether this is largely driven by like onetime collections or is this like a structural shift that you are seeing in the portfolio

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mix when you say that it's going to be more central offtakers and how sustainable this working capital profile is going forward?

Nikhil Dhingra: So see, our portfolio as it gets more operational, it is shifting towards 100% central. All of our under construction projects are 100% central, where they take a cash discount. So it essentially -- and they pay in 10 days. Basically, in 30 days, if you pay, you get a cash discount. So that is where they take a cash discount. So that is why we are getting a 15 days kind of a receivable cycle today. So which is more or less not because of one-off, it is the norm. Yes. So Ankit, do

you want to add?

Ankit Verma : Yes, earlier, I think the higher receivable days you are talking about, so that pertains to very -- you can say FY '23 and before that. And I think at that point of time, like Nikhil mentioned the contribution of central offtake was less. And there are, of course, some payment issues, especially from a couple of DISCOMs as well, especially Telangana and Andhra. Even that payment has normalized now. .

Kartik Sharma: See, is that the effect that we've seen in the trade receivables, which have gone down 13% year-on-year?

Manoj Upadhyay: Yes. Actually that there was a regulatory reform, which was government has implemented called LPS, right? Under that LPS late payment surcharge scheme, 2, 3 states which were delayed actually because of the various regulatory issues, there were some court cases in Andhra Pradesh.

All those dues are now settled and they are paying on time because this LPS scheme is very strict. They don't pay on time, you inform to the PRAPTI portal and they will get disconnected from the power. So this discipline is helping, especially for the state project. But mostly now what has happened, our projects are central projects. So central projects, technically, they are paid in just 6, 7 days because they want to take a cash discount.

Moderator: Next question is from the line of Aniket Mittal from SBI Mutual Fund.

Aniket Mittal: First question was just on the cash flow. So when I look at the cash flow statement, there seems a very large increase in the non-current assets and some other balance sheet items, which is impacting the cash flow from operations. Just wanted to understand that ?

Nikhil Dhingra: Aniket, could you point out which are the -- which number you're referring to and what is the number?

Aniket Mittal: So if I look at the non-current assets in the balance sheet, so looking at the cash flow statement, cash flows from operations have come in lower on a Y-o-Y basis, partly I think because the base for last year was higher.

But when I look at the balance sheet, there's been a sharp jump in the other non-current assets and also on the other financial non-current assets. So just trying to understand?

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Arun Chopra : So it is mainly because of the capex buying which is happening. So it mainly include the capital creditors .

Aniket Mittal: Okay. And what is the capital advances number there?

Arun Chopra : Capital advances, Roughly INR323 crores.

Aniket Mittal: INR323 crores. And this is pertaining to what, like?

Arun Chopra : So this advances basically given to -- for the procurement of material, which has been given to various and the material will come in over a period of time. So these advances have been given to them, maybe a partial advance, let's say, 10%, 20% advance.

Nikhil Dhingra: Let's say, battery contracts, we have typically 10% advance upfront where we get a bank guarantee against it. Similarly, the turbines also we give 20% advance. So these are capital advances you need to give to supplier where they give you a BG against that.

Aniket Mittal: Okay. So this largely because of battery and probably some wind.

Nikhil Dhingra: Yes. On services and domestic procurement, typically, we don't give any advance. But from an international procurement perspective and large equipment, we have to because it helps you to bind the supplier also in terms of the contract honoring and also giving him advance to purchase raw material because if you don't pay advance, he will not have money to purchase the raw material.

Aniket Mittal: Okay. And when I look at the PLF number on a Y-o-Y basis, I see a 1% decline. What's the reason for that for this quarter?

Nikhil Dhingra: For this quarter, Aniket, could be a function of, of course, the lower irradiation or and curtailment. These two could be the only 2 factors which would have impacted. On a Y-o-Y basis, of course, the larger capacity, it is a larger capacity. So of course, the denominator is higher. But these are the 2 only factors because it is determined by seasonality as well. So these are the factors in terms of -- we can give you a site-by-site, I think, analysis. But broadly, it is because of these factors.

Aniket Mittal: Okay. In the presentation within the under construction portfolio, I also see a merchant BESS of 654 megawatt hour. Are we putting some purely on a merchant basis? What does this pertain?

Nikhil Dhingra: Actually, it is merchant as of now. It is slated to go to a PPA, which we are supposed to sign very shortly. Most likely -- because it is pure battery, which is taking power from the grid and giving to the grid, it can fit in any of these peak power projects PPA we have, which we have not yet signed with a tariff of either 6.28 or similar, and there are a lot of bids coming in where we can deploy this BESS . It gives us some flexibility.

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And we also wanted to get it financed on a merchant basis because it gives us some flexibility in terms of getting ready for early installation because it does not tie you to a specific PPA. So in terms of the financing and in terms of the early commissioning, we have installed it like this. But of course, it will go to a PPA.

Aniket Mittal: Okay. And for FY '27, how are we placed in terms of the commissioning of the SJVN and FDRE project and the NTPC hybrid project?

Nikhil Dhingra: Right. So there are -- on the whole commissioning during the year, I would like to explain. There is a Neemuch substation, which will be the first commissioning from our side because that's the substation which is more or less ready, and it will be charged in June because you know the commissioning are determined by, the FDRE commissioning, since you are asking, they are determined by the solar connectivity being ready.

So that will commission

our 2 plants. One is the NHPC and another is the Tata. So that is the first commissioning from our side on the FDRE. Then, of course, there's a substation at Fatehgarh, which will have the SJVN whole 570. That has a short-term open access available right now. The long-term open access as per CTU is in March '27. So the full FDRE for SJVN, but will be ready by FY '27 end. So that's the FDRE.

And the NTPC, we are ready with the solar. But of course, there is a long-term open access there also which is slated to be commissioned by December '26. And our Pachora wind component is also ready, but that is also slated for, you can say, a couple of quarters later. So by March '27, all this will be commissioned.

In terms of the other commissioning, we are targeting, there is Pavagada, Anantapur, which are also going to come up during this year as per the CTU timeline. What we are trying to do is commission the batteries at our operational substations in Fatehgarh -1, which we have 1,000 megawatt.

Then the Fatehgarh -1, is 1200 megawatt. Fatehgarh -2 is 1,000 megawatt where we have an STOA. In STOA, you can transmit all the battery. And then we have Bikaner 3, again, where bay is ready, so you can transmit the battery power. And, of course, so these, you can say around aggregating to around 2,500 megawatts of ready connectivity for selling battery power during night is what is ready with us from where we are trying to transmit 10 gigawatt hour of battery during the next of the calendar year.

So in terms of commissioning, so the battery commissionings are going to happen early because we have ordered a battery, the battery is arriving every month. And also in parallel, as and when the CTU substations are getting charged, we will commission the solar also. In terms of preparedness, the transmission line, the balance of system, the equipment delivery, they're all on track.

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And we are trying to co-terminus with the CTU timelines of these substations. And we want to also want to prepone our revenue from the battery sales because from the power sales through night time power, which is now allowed as per the PPA construct and as per the clarification given by MNRE.

So we will see a good jump on the revenue side because of the nighttime installations, which will more than compensate for, you can say, the CTU timelines getting shifted from one quarter to another. So that is the reason we have preponed the battery installation, and we are commissioning it at the operational substations and not in the greenfield substations. That is the key thing. And we have 2,500 megawatts of ready substations and connectivity, which are going to go live in the near future.

Aniket Mittal: Understood. What would be the battery total installed base, let's say, 6 months down the line and 1 year down the line?

Nikhil Dhingra: So 10 gigawatt hour is our total target. And of course, it is completely dependent on a number of factors in terms of the supply of material, in terms of the connectivity. But as far as connectivity is concerned, we can do this 10 gigawatt hour because we do have the connectivity. We do have the financing available. We do have the supply tie available. But of course, in terms of the various factors which are interplay in terms of the supply of material, in terms of, you can say, geopolitical factors, those are the only uncertainties. But as far as the CTU linked is concerned and as far as the other dependencies go, it has much less external dependencies than you can say, a CTU-connected solar plant.

Moderator: Next question is from the line of from Ishan from Antique Stock Broking.

Ishan : CERC has recently proposed a new mechanism for LOA -based connectivity. So wherein the capacities have been delayed for 1 year, there is a surrendering exit option for those connectivity. So I just wanted to know

how much of that much connectivity inventory falls under this? And what is your strategy to convert it?

Nikhil Dhingra: Right. No, that's a very welcome move from CERC, which CERC has done. It's a discussion paper right now, and they will formalize it after getting comments from all. So that's a good move. In terms of how it will work is if you are not able to sign PPAs for a certain amount of LOA and the Renewable Energy Implementation Agency really clarifies that these PPAs cannot be signed.

Then of course that developer is free to develop it in a merchant basis or free to use it in another LOA. As far as we are concerned, we have around 6.2 gigawatts of signed PPA, which we are constructing. And so -- which is a very sort of -- so our LOAs are more or less converted into PPA.

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Nikhil Dhingra: Yes. In terms of the construction 3, if you remove the 3 operational for us, we have 3.2 gigawatt of LOA, which have converted into PPA which we are constructing. There is 1.8 gigawatts of PPAs we have won recently, and there are some which are older, you can say around 850 megawatts of older PPAs which are in various stages of discussions.

But we are not anywhere near to that timeline where we -- the REIA will say that, right, PPA will not be signed because they are trying their best and all the agencies are trying their best to get it signed. There are various discussions at various forums to get it signed. But just in case if this happens, these will be for us, our strategy will be to use them for future bids and -- or to use them for, you can say, for battery connected projects in future.

So we will use this connectivity in any case because we have a good pipeline of PPAs where there is a lot of bids which are coming which are now backed by a solid demand from states like thermal mimic, which is coming, which will require a large amount of capex and large amount of solar and battery. And there are a lot of other bids which are coming which we will use the connectivity for. So we will keep the connectivity with us. And we don't foresee that our LOAs will, we will have to surrender. But just in case it happens, we will have a backup plan ready by then.

Ishan : Got it. That's very clear. Just a follow-up on that on the industry level only, we have seen like around 3 -plus gigawatt of PPA conversion from LOA capacity. And overall of the industry there was a huge buildup of LOA capacity. So how, do you see like DISCOM -- what types of capacity are the DISCOM preferring to convert from LOA to PPA? And also, what is your overall view in the RE tendering momentum in FY '27, given the peak demand is growing strong?

Nikhil Dhingra: Right. So the good thing is because of the huge amount of bids, which they did, of course, more than the demand, most of the developers have a sizable PPAs to execute. And that is giving everybody a sizable, you can say, capex opportunity or a revenue opportunity. And of course, there are a lot of unsigned PPAs.

So in terms of the PPAs getting signed and demand coming up, there is a demand for peak power . So, which does not have a battery is hard sell as far as the states are concerned. So everybody needs some amount of peak power at least, if not 4 hours, at least 1 hour, 2 hour. So plain solar is the hardest to sell, right?

But some states have a typical demand for solar because they are putting up their PSP or they are putting up their thermal is a bit, some distance away. So very few states have a plain solar demand. So in terms of the pecking order, you can say peak power selling fastest. The partial peak power is second fastest. And then the wind is selling well, but wind opportunities are very less and people are doing less wind, and the solar is selling the slowest.

In terms of the bids for this year, we see that the bids will be lesser than last year,

but the PPA should be faster again because they are not doing bids until the previous ones get at least
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allocated or signed in some way. So that is -- and the REIA is one. So focus will come in terms of -- there is only SECI, which will now be aggregating demand. So they'll have some sort of, you can say, aggregation power, which being a sole entity gives

them in terms of the -- with the states. So they are aggregating demand for, let's say, a thermal kind of tender or peak power tender or a CfD tender, which is -- which will find takers because that is purely basis demand.

They are doing wind tender, they are doing PSP tender. There are at least 5 gigawatts of tender currently open with SECI, which has -- which is 2 gigawatts of wind, around some 1 gigawatt of PSP, then there is this thermal mimic, there is CfD. So you will see bids of a level of 15 to 20 gigawatts. Of course, this can change depending on the shortage this year.

So the states can change their behavior. And not all states can afford to do state-level bids because there is little renewable in some states. So they'll continue to buy from SECI because of the competitive rates, which these go. And also, there are some states which will do on their own where also they'll be successful like Southern states or Maharashtra or you can see Gujarat. So there also you will see some growth and bids coming up. Like UP recently called for a bid wherein they called for a peak power in their own -- where you could charge from anywhere in the country, but the battery installed in their place. So those kind of bids you will see. So a lot of peak power. Peak power is something which everybody wants. So bids focused around that will be successful.

Manoj Upadhyay: I would like to add here that although the bids will be won with capacity in next year this year, adding state and central will be 20 to 30 gigawatt. But the overall solar or overall the capex requirement will be higher than the last year because what is going to happen in the plain vanilla solar will be INR3 crores, INR4 crores, INR4 crores per megawatt.

But the current bid, which is happening, for example, mimicking the thermal power or mimicking that long hour duration storage, solar storage, they will be -- actually they will carry a very large solar behind the battery. So technically, maybe 25 to 30 gigawatt will technically mean solar of 40, 50 gigawatt. So overall, if you see that the name of the -- actually configuration of the procurement will change, but deployment of solar will remain 40 to 50 gigawatt.

Nikhil Dhingra: Just to add, even if you look at the CERC connectivity rules, when they have asked to put batteries, they have made it mandatory to put solar in the 3 years once you take a connectivity. So the solar is mandatory to be installed if you are taking connectivity under certain guidelines like 5.2 regulation. So they also want their connectivity to be appropriately utilized. So you will see battery-linked solar installations coming up very fast and pure battery installations will be very less.

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Ishan: Yes. Sure, sure. Just one last question on the standalone battery. Just want to know what is our IRR -- expected IRR from that 550-megawatt project? And what is the end of the line value for the BESS in that particular project?

Nikhil Dhingra: So the 550-megawatt hour project is currently -- basically the tariff is adopted with the caveat, so it is not yet started. But in terms of the IRR for that project, you were asking? IRR is in, again, in terms of mid- to high teens for that project because there is not much transmission infrastructure to be put.

It's a 33 kv level installation. But the zero date for that project has not started for us. So we have not really finalized the capex because

the state regulator has really asked that on the trading

margin of NHPC, because in this case it's a pure leasing and they are getting a VGF. So it is in terms of the -- whether they should get a 0.5% margin or INR7 paisa margin.

So that is being debated. So zero date has not yet started for us. We'll be able to update you once the zero date has started. But broadly, we are telling you the bid return when we bid it. And also in terms of the end-of-life assumptions, these batteries are basically slated to run for 8,000 to 10,000 cycles, right? So in terms of -- I think that depends on the PPA, it's a single cycle or a double cycle. I think it's a -- single cycle or double cycle.

Ankit Verma: It's a very small project in the overall portfolio because this is 550-megawatt hour. But correspondingly, for other projects that we have, which are 5 gigawatt under construction, that will require installation of around 17 gigawatt hour battery. So it's more just like the small project that you're talking about.

It's more like a leasing model wherein you are not putting any generation storage, you're just storing the power, which you are getting from the DISCOM and then you are just discharging the batteries.

Nikhil Dhingra: So those are the bids we have -- it's 1 bid out of the overall portfolio of 8 gigawatt hour. So we are not focusing at all on those bids. And so -- and like Ankit mentioned, the batteries which are part of the overall solar, wind and FDRE mix, the peak power mix, those will be, you can say, 99% of the capex. This is less than 1% of the capex.

Moderator: Next question is from the line of Dhruv Muchhal from HDFC.

Dhruv Muchhal: Sir, if I look at your gross block increase for the year, it's about INR3,400 crores Y-o-Y

approximately what you reported. And your run rate EBITDA would have increased by about, I think, INR300-odd crores Y-o-Y. So it was INR1,700 crores last year, it's about INR2,000 crores this year. So the gross block to EBITDA run rate is about 11x, which is very worse off versus what you typically do. I'm just trying to understand what am I missing here?

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Nikhil Dhingra: So gross block has increased by around INR3,000 -odd crores, right, in terms of capitalization. right? So in terms of the -- what you are seeing -- not seeing is the -- you can say the wind, wind has not really started performing, first of all, because wind has got installed in the --

Nikhil Dhingra: In phases.

Dhruv Muchhal: But that's included in your run rate EBITDA of INR2,000 -odd crores, right?

Nikhil Dhingra: No, no. See, the run rate EBITDA is basically in terms of the last month, it basically got commissioned at the fag end of the year -- I think it got commissioned at the fag end of the year.

And so run rate EBITDA is -- what you're talking about is the reported EBITDA or the run rate EBITDA?

Dhruv Muchhal: Run rate EBITDA. So in Q3, you reported run rate EBITDA of about INR2,100 crores. I think largely all your projects were commissioned by then, including the wind, probably small portion was remaining. So is it probably the gross block number includes the battery, which was commissioned by the end of the year for which the run rate EBITDA is not part of it?

Nikhil Dhingra: It definitely includes the -- we can give you the commissioned projects for the full -- basically, the run rate EBITDA is for the 12 months number. We have -- I think we don't have that number in this year because these -- the whole gross block will not be operating for the 12 months.

Arun Chopra: Out of this INR3,460 crores, roughly INR1,000 crores to INR1,100 crores is related to battery, which...

Dhruv Muchhal: I think that explains that, Yes, so that explains it very well. So if I remove INR1,000 crores, gross block has increased by about INR2,300 crores and that explains it.

Manoj Upadhyay: Yes.

Dhruv Much

hal: Got it, sir. Perfect. Sir, the second question is on the MNRE clarification that you highlighted. Now does it mean that for an FDRE project, if you're commissioning a battery early, the charging of the battery can happen through a conventional power, which is now allowed. Is that the approval which we have got or the regulation which has changed?

Nikhil Dhingra: Yes. It is allowed to be sold in the merchant. Basically, it is allowed to be sold outside of the -- because since it's a non-renewable power, you can sell it outside the -- not to your offtaker to anybody you want. Till the time you have not installed renewable behind the battery it is not a renewable power. So it is -- that is the clarification they have explained, which was already part of the PPA, but they have clarified it.

Dhruv Muchhal: So for example if you put an FDRE project

Manoj Upadhyay: No, just I would like to add it here that even if you have installed the solar panel, if you are not connected with the battery, for example, if you're FDRE -- if your LTA is not right now

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operational, most of our projects are actually connected with the Brownfield of power grid substation.

That means we can energize our transmission line, we can energize the project well before our connectivity timeline or our PPA timeline. What we are doing is actually we are installing the solar and we are installing the entire power generation also, but we are not connecting it. Because the moment we connect it, it will be treated as the part of FDRE.

Because right now in the summer the price is very good, we are not connecting that. We are just connecting the battery and charging from the grid and selling it. That is giving us a very good return. So we are doing purposely. But the day that COD timeline comes in, L TGA, LTA, grid comes in, the whole thing will get integrated into an FDRE.

Nikhil Dhingra: And Dhruv, we are deferring the capex also on the solar side because it is not -- doesn't make sense to call modules at site and keep them here because what we are doing is we are deferring the solar part of capex. We are not installing the modules. We are because, of course...

Dhruv Muchhal: You can get the cheaper merchant power from exchange?

Nikhil Dhingra: And also the interest during construction is safe. So there is no reason to do a solar capex until your LTO A is operational. So we are deferring that also, which is helping us improve our returns.

Dhruv Muchhal: Got it, sure. And sir, last question is, you mentioned about the commissioning target of your generation assets for this year. But if you can give the number what you're targeting to

commission based on -- of generation assets based on whatever transmissi on visibility you have in megawatt terms?

Nikhil Dhingra: So we are targeting 1.5 gigawatts of projects in this financial year, right, and around 10 gigawatt hour of battery. So this 10 gigawatt hour of battery may be for those projects which are not included in this 1.5 because for 1.5 it will be maybe 5 gigawat t hour, but we are charging the battery ahead of time.

Moderator: Next question is from the line of Dhruvin Shah from HDFC Securities.

Dhruvin Shah: I think my question was answered in the previous question. But I just wanted to clarify, the 10 gigawatt that you said we are planning to commission this year, how much of it would be on merchant basis? And what is the kind of EBITDA margins that we can e xpect on the capacities that operate on merchant basis? That's it.

Nikhil Dhingra: Yes. So see, other than the -- you can say around 1,200 megawatt hour to 1,500 megawatt hour, which will be commissioned on the FDRE format because of the Neemuch substation, which I mentioned earlier. Rest of it will start on the merchant basis in this f inancial year because the substations will get start charging in the fag e

nd of the year only. So you will see around 8.5

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gigawatt hour out of this 10 gigawatt hour would be on merchant. And 1.5 gigawatt hour would be in the FDRE format. In terms of the EBITDA realization, Ankit, I'll request you do it.

Ankit Verma : Yes. On the EBITDA margin, look, it's a function of at what cost you are procuring and of course at what price you are selling. But assuming a tariff arbitrage of INR6, which means selling the power at INR8, which of course more than that we are currently seeing and purchasing the power at INR2. So give or take, the margin will be around 75% to 80% EBITDA margin.

Moderator: Thank you. Next question i s from the line of Aanchal Jalan from Lotus Wealth. Please go ahead.

Aanchal Jalan: Hello. Thank you for taking my question. So sir in the first slide for under construction portfolio a total of 3,280 megawatt .

Moderator: Aanchal sorry to interrupt you, you are sounding distant, can you come closer towards the phone and come.

Aanchal Jalan: Yes. S o my question is that in the first slide for under construction portfolio, a total of 3,280 megawatt plus 12 gigawatt hour of BESS portfolio is given. So by when will this be completely commercialized, the whole under construction portfolio?

Ankit Verma : Yes. There is a second slide also, which is PPA yet to be signed. But on the PPA signed, yes, so these will be commissioned by FY 28. Battery we are putting up early, like Nikhil mentioned earlier.

Moderator: Thank you. N ext question is from the line of Sweta Jain from Anand Rathi.

Sweta Jain: Thank you for taking the questions. A coupl e of questions on this BESS arbitrage that we're talking about using conventional power and then discharging at peak demand. How long do we see that this arbitrage situation should sustain into the future?

Nikhil Dhingra: This is anybody's guess in terms o f that.

Manoj Upadhyay: Nikhil, let me take this answer. Yes. Actually, right now, the current calculation of C EA is you need around 200 gigawatt hour of battery to come to this if you don't add any more solar. But what is happening is also another 40, 50 gigawatt of FDRE and this one where the tender has happened, they will get added in the daytime.

So technically, what is happening as long as you are adding more and more daytime solar, you need a more battery in the unit. So that's a formula. Right now, that formula tells we need 200 gigawatt hour. But what has also happened is that the thermal power in the evening, it is already at INR6.5 if you run at full capacity.

And most of the capacity thermal power cannot come up fast and cannot go down. So they operate around 60%, 70% capacity. So considering their capital cost, full capital cost in this one, they are around INR9 and INR10. So battery will remain -- my guess is battery will remain at

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INR9 to INR10 in the peak hour time. And as a country, we will need around 200 to 300 gigawatt hour considering the current installation and the planned installation of this year. But as and when we are adding more and more solar, it will keep on going up.

Nikhil Dhingra: So if you look at the history, if you look at the last few years, we have seen that the annual price remains at around INR7 to INR8 for the last few years, even when we have low demand. In terms of the last few years, we had relatively less demand than before. But even in those slow years, we had a realization for pe ak power for around 7, 8 years.

But now that the gas is constrained, it is slightly elevated, and it is likely to be elevated. And we are seeing some peak demand, which is much, much higher than last year. So we see that like Manoj ji mentioned, at least for around 4, 5 years, we don't see this going down.

Sweta Jain: That's helpful. Secondly, sir, on -- when you mentioned that

majority -- almost 80% of our

projects would be on the CTU side of the business, wanted to understand the transmission and distribution angle. Are we facing lag in terms of substation connectivity at the STU level or the CTU level from an industry perspective? And how do you see the projects getting commissioned when we shift the portfolio to this 80% mark that we're looking at?

Nikhil Dhingra: So see, in terms of the CTU substations, what happens is there is a lot of linkages. They are mostly on time with regards to their local infrastructure regarding bay construction and equipment ordering. Where they lag is the components relating to transmission line interconnection and right-of-way issues because of which there is a timeline delay at their end. And the central transmission utility is in turn dependent on the various companies which bid for them. So they get a timeline basis, the delay on their part. So the CTU is a very structured entity where they give you a firm date every quarter when their substation is coming up.

So as far as we are concerned, we plan our project basis that declared date because that's the obligation on our part to commission the project by that date, and we get extension till the time that thing is coming up. So till date, they have done a wonderful job of give and take 6 months delay. They have done a wonderful job of coming up with the transmission capacity. And we have also been in sync with that, let's say, a delay of 6 months. We also try and sync our capex and sync our work along with that.

As a renewable player, we can't really function without the transmission. So we have to sync up. So there has been a delay. But for a grid of this size and scale, which is the largest in the world, single grid, I think that has done a good job. So 6 months delay is, I think, very much -- should be taken in a good light.

As far as the STU is concerned, we are not building any projects on STU. The Gujarat project of wind that we did was the only project we have done on the state grid. There is no project in our pipeline other than the battery we are installing on the Andhra Pradesh, very small 550 megawatt hour.

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There is no project on the state grid. And state grid is a different organization structure. It depends on each and every different states. Some states are more efficient, some states are not. And some states don't have renewable energy potential, so they don't really develop their grid as much. But states like Gujarat are quite good, I must say. And of course, in terms of getting the transmission up and running on time. But it varies from state to state.

But as far as we are concerned, state -- STUs are not a factor. And as far as the portfolio realization and risk and everything is concerned, CTU is a much better place to be in terms of the curtailment and in terms of the predictability of the substation coming up on time and in terms of central grants and monitoring at every level.

Sweta Jain: Got it. And just lastly, so our project blueprints already factor in the 6-month kind of a delay on a nominal basis?

Nikhil Dhingra: Yes. So what we -- see, typically, this can't be generalized. This is on a generic overall portfolio level. But some substations, you can say around 60% are on time. The maximum delay is typically 6 months. In some cases, because of some unfortunate event, it could be more. But typically, some -- like I mentioned, our Neemuch substation is on time.

Some substations are delayed. So not every substation is delayed. But wherever it is delayed and we know it from now, we will not call for our modules. We will defer our capex. What we can do about it? I can tell you what we can do about it. We can defer our sizable capex of modules because modules are available just in time and there is sufficient capacity of that available in India.

So we

will not call for modules because it's around 60% of a solar plant capex or sometimes more. So you don't do that. You keep the service-related work ready, the transmission line ready, the substation ready because those are typically, you can say, 20%, 25% of the overall project cost. But these are long lead items.

So you do that, you don't call your modules. You keep your -- everything else ready. And that's how you defer the capex. And that is how the industry has been doing and syncing up with the power grid or CTU. And also there are extensions also. The good thing is you don't get any penalty because of the delay because of this because -- and that's how the central renewable program has been running because -- in sync with the grid.

Sweta Jain: Sir, just one last question. So there is no risk in such cases and on -- there would be no risk in terms of PPAs getting not signed or getting the DISCOMs not eager to sign the PPAs from the developer's perspective?

Nikhil Dhingra: So see, that's a different question. See, in terms of the -- if you don't have a connectivity, there are 2 things on PPA signing bids, right? PPA signing when you go to a DISCOM, they look for what is the declared date of your substation, right? And they look for a declared date of substation getting charged in near term.

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So if you are somebody who has a substation getting charged in 2027, you will get a better priority from a DISCOM because customers have more visibility to your project, right? Because if there is somebody whose substation is coming up in, if the connectivity he has is for 2029, then he'll get a second priority .

He'll not get a seat at the table, right? Because the state will say - I don't want power in '2 9, I want in '2 7. And there are certain ISTS waivers also which are expiring in 2028. So this determines your attractiveness to the customers, right, in terms of the connectivity date, right? But if they get delayed in future , the states also don't get penalized because they are also part of the same sync up formula, where the ISTS waiver also they are eligible for depending on the original date declared by CTU. S o that's a good regulatory setup where nobody is basically penalized for the delay on the behalf of CTU, neither the states nor the developer, right, gets penalized because it is something beyond their control, right?

So the only thing which a state needs to take care of when they are signing PPA, what is the declared date of that substation, right? As long as that is '27, they will get the same window of ISTS waiver, which is applicable during that particular year, ev en if the substation gets delayed to '28 and '29.

Moderator: Ladies and gentlemen, that will be the last question for today. On behalf of ACME Solar Holdings Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.